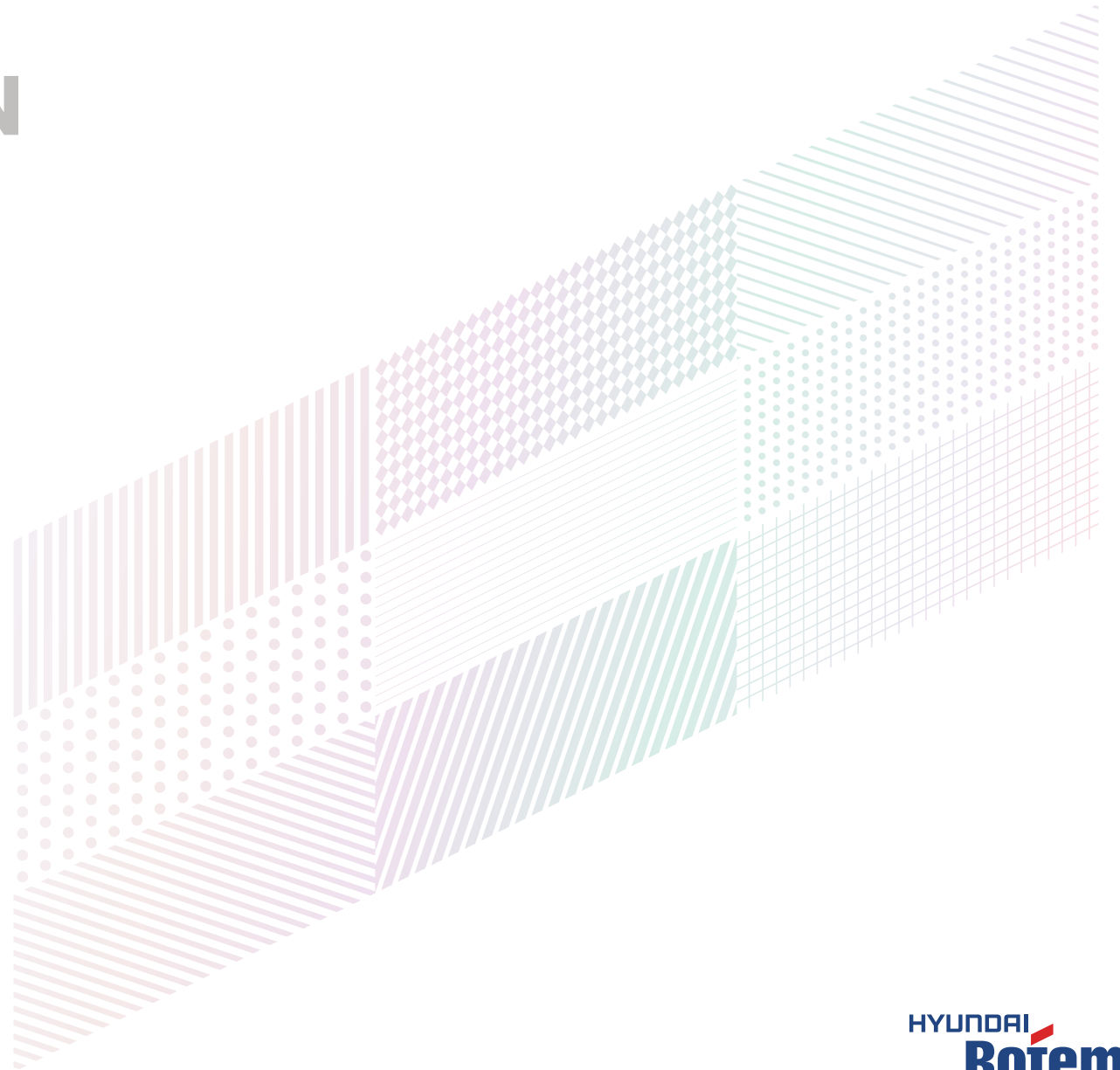


2026 Hyundai Rotem Sustainability Report

CREATIVE INNOVATION FOR A BETTER FUTURE



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ABOUT THIS REPORT

Overview

This is Hyundai Rotem’s sixth sustainability report, which transparently discloses the company’s environmental and social activities and performance over the past year to actively communicate with stakeholders.

Third-Party Assurance

To enhance internal and external credibility, this report underwent independent third-party assurance by BSI (British Standards Institution), ensuring the reliability and fairness of the preparation process and disclosed data. The Independent Assurance Statement is provided in the Appendix.

Interactive User Guide

The 2026 Hyundai Rotem Sustainability Report is published as an interactive PDF, featuring internal page navigation and external webpage links. Click the icons within the text or the table of contents on the left side of each page to navigate directly to the respective sections.

- ⌂ Go to the Cover
- ≡ Go to the Table of Contents
- 🔗 Go to the Related Webpage

Reporting Standards and Scope

This report has been prepared in accordance with the GRI (Global Reporting Initiative) Standards 2021, the international standard for sustainability reporting. Economic data is presented based on Hyundai Rotem’s consolidated financial statements in accordance with Korean International Financial Reporting Standards (K-IFRS). Environmental and social data primarily cover Hyundai Rotem’s Uiwang, Dangjin, and Changwon sites. For some activities and achievements, overseas sites are included in the reporting scope, and these cases are specified within the report.

Revised Information

Any material changes to the information reported in the previous year are indicated in separate footnotes.

Contact Information

This report is available for viewing and download on the Hyundai Rotem website. For further information, please reach out to the contact provided on the right.

Reporting Period

The reporting period for this report is from January 1 to December 31, 2025. For certain non-financial performance indicators, data from the first half of 2026 has been partially included. To illustrate trends, the report provides key quantitative performance data for the past three years (2023–2025). Any information deviating from these criteria is indicated with separate footnotes.

Forward-Looking Statement

This report contains forward-looking statements regarding Hyundai Rotem’s ESG goals and strategies, which are subject to risks and uncertainties. While these statements are based on reasonable information and assumptions, various risks and contingencies may cause actual results to differ materially. The company assumes no obligation to update these forward-looking statements to reflect future events after the publication date of this report.

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Train / Mirae Kang, Hyundai Rotem Employee

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CEO Message



Dear valued stakeholders,
I would like to express my sincere gratitude for your unwavering trust and support for Hyundai Rotem over the past year.

Despite the complex business environment compounded by global supply chain restructuring and geopolitical risks, Hyundai Rotem solidified its foundation as a leading global company by achieving remarkable performance across all of its business divisions : Defense Solution, Rail Soutlion, and ECO Plant driven by our core competencies of ‘perfect quality’ and ‘on-time delivery’.

We achieved meaningful progress across all three core sustainable management pillars: ‘**Climate Smart**’, ‘**Responsible Partner**’, and ‘**Green Innovation**’.

Climate Smart

Regarding climate change, we laid a practical foundation for our renewable energy transition by installing solar power generation facilities at the Changwon Plant and Hyundai Rotem Smart Electric America (HRSEA) to achieve 2050 net zero. The US HRSEA Plant is on track to achieve RE100 by 2026, and we plan to accelerate renewable energy transition to achieve RE100 across all domestic and overseas sites by 2040.

Responsible Partner

In the social dimension, we are building a virtuous cycle of shared growth with our suppliers. Guided by three core strategies, strengthening the foundation for sustainable growth, creating an innovation ecosystem, and cultivating a culture of shared growth, we support initiatives ranging from enhancing technological competitiveness to cultivating talent for shared growth. Furthermore, to ensure sustainable supply chain management, we expanded ESG assessment and due diligence system to major domestic and overseas suppliers. We strengthened our supply chain ESG risk management system by conducting on-site audit on suppliers identified through the written assessment as requiring improvement, conducting on-site audit to review weak areas, driving corrective actions for material ESG-related risks, and monitoring progress. In terms of governance, we solidified integrated ESG risk management system by introducing the sustainability disclosure platform and establishing an internal control framework through new sustainability disclosure regulations.

Green Innovation

We continued to move forward as a leading global company, fulfilling our responsibilities and mission by proactively securing future core technologies, including hydrogen mobility and aerospace, to create sustainable long-term value. In hydrogen mobility, we are expanding our portfolio, starting with the hydrogen fuel cell tram that has entered the world’s first commercialization phase, and extending to hydrogen electric locomotives and hydrogen-powered vehicles. We are also taking a leading role in fostering a hydrogen mobility ecosystem by designating the Saemangeum Global Innovation Growth Hub project as a platform for realizing eco-friendly mobility, and building an integrated hydrogen value chain encompassing hydrogen production, storage, transport, charging, and utilization. In the aerospace sector, we have accelerated the development of core methane engine technologies for reusable space launch vehicles, significantly reducing resource consumption and addressing space debris issues associated with launch vehicle production, while establishing technological leadership for a sustainable space era.

As a result of these efforts, we achieved a number of external recognitions in 2025, including A+ KCGS rating for the second consecutive year, Leadership A rating and the Excellence Award in Water Security at the 2025 CDP Korea Awards, the Presidential Commendation at the Leading Circular Economy Company Awards, and the Sustainable Quality Grand Prize as the first large company to receive this honor.

Guided by our sustainable management vision, “Creative innovation for sustainable and inclusive growth,” Hyundai Rotem places the ‘Principles of Governance’ at its core. Together with all stakeholders, we will build a sustainable future where the planet and people can prosper together.

We extend our deepest gratitude for your unwavering interest and support, and kindly ask for your continued encouragement on our journey toward a sustainable future.

Hyundai Rotem CEO, **Yong-Bae Lee**

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Company Profile

Introduction to Hyundai Rotem

Founded in 1977, Hyundai Rotem is a global heavy industry enterprise that has contributed to the development of national core industries. As a member of Hyundai Motor Group since 2001, the company continues to achieve sustainable growth by leveraging its innovative technology and creativity across all of its business divisions : Defense Solution, Rail Soutlion, and ECO Plant

	Company Name	Hyundai Rotem Company
	CEO	Yong-Bae Lee
	Establishment Date	July 1 st , 1999
	HQ Location	488, Changwon-daero, Seongsan-gu, Changwon-si, Gyeongsangnam-do, Republic of Korea
	Number of Employees	4,562 employees
	Key Businesses	Defense, Rail, Plant
	Total Assets	KRW 9,318 billion
	Revenue	KRW 5,839 billion
	Operating Profit	KRW 1,005.6 billion
	ESG Rating (KCGS)	Overall Rating: A+ (Environmental: A+, Social: A+, Governance: A)
	ESG Rating (CDP)	CDP Climate: B CDP Water: A

As of December 31, 2025

Vision

LEADER IN TECHNOLOGY CREATING CUSTOMER VALUE

Mission

CREATIVE INNOVATION FOR A BETTER FUTURE

Management Philosophy

Realizing the dream of mankind by creating a new future through ingenious thinking and continuously challenging new frontiers

We realize the dream of mankind by creating a new future.

Unlimited Sense of Responsibility

We are committed to delivering quality and customer value.

Realization of Possibilities

Challenge is embedded in our DNA. We do not fear failure because we dream big.

Respect for Mankind

At the heart of our aspiration to deliver better products and services is our commitment to enrich people's lives.

Core Values

Customer First

We put customers at the center of our business, and work tirelessly to improve our products and services.

Challenge

We strongly believe in possibilities and the power of creativity.

Collaboration

We create synergies and build strong partnerships with all of our partners through communication.

People

We endeavor to create a corporate culture so that our employees, the drivers of our future, can reach their full potential.

Global Oriented

We respect diversity and aspire to lead in our field as a global corporate citizen.

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Global Network

Driven by a creative spirit of challenge toward the future, Hyundai Rotem has expanded into 56 countries worldwide and established a global network anchored by 40 business sites, including its domestic operations. Leveraging advanced technological capabilities and exceptional quality, the company fulfills the diverse needs of its global customers to create a sustainable tomorrow.

Subsidiaries Branches Offices Headquarters Sites in Korea

Business Sites Overview

Domestic	Headquarters	Subsidiaries	Overseas
	· Uiwang Site/Technical Research Center · Changwon Plant · Dangjin Plant	· Maintrans · Rotem SRS Co. Ltd. · S-Trans Co. Ltd. · Gimpo Goldline SRS Co. Ltd.	· 33 sites (10 subsidiaries, 23 branches)



1) Establishment of the Uzbekistan branch in February 2026
2) Ukraine subsidiary (Rotem SRS), Egypt subsidiary (Rotem SRS)
3) Gimpo Goldline SRS Co. Ltd.
4) Maintrans, Rotem SRS Co. Ltd., S-Trans Co. Ltd.

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Our Business

Business Overview

Hyundai Rotem leads national core industries, focusing on securing future growth engines through its Defense Solution, Rail Solution, and ECO Plant businesses. Building on its core capabilities in K-series tanks, the Defense Solution business is elevating the status of K-Defense by accelerating the transition to future defense technologies, including robotics and manned-unmanned teaming systems. The Rail Solution business is expanding beyond rolling stock manufacturing into comprehensive railway systems and services, demonstrating its global leadership by successfully securing large-scale projects in regions such as North America and Africa. Leveraging a solid foundation in steelmaking and automotive production facilities, the ECO Plant business is creating new growth opportunities by diversifying its portfolio into eco-friendly future businesses, such as smart logistics and hydrogen infrastructure. Through the innovative strategies of each business division, Hyundai Rotem is responding to the rapidly evolving market environment and shaping a sustainable future.



DEFENSE SOLUTIONS

Defense Solution

Contributing to the safety and peace of the nation.

The Defense Solution Business Division provides core combat capabilities for national security through the research, development, and production of ground weapon systems, successfully deploying various platforms including the world-class K2 Tank. Succeeding the K1A1 Tank as the main battle tank of the ground forces, the K2 Tank has earned strong domestic and international recognition for its exceptional performance and reliability. Building on this foundation, the company is actively expanding its overseas exports and technical support projects.

In accordance with the 2022 export contract with Poland for 180 K2 Tanks, the company ensured sequential on-time delivery through timely production each year, successfully fulfilling the entire order by 2025. Notably, the company demonstrated the global competitiveness of its defense solution by securing a second contract with Poland in 2025 valued at approximately KRW 9 trillion (comprising 180 K2 Tanks, 81 variant tanks, and technology, production, and MRO supply and support). The rapid execution of this large-scale defense export validated the company’s production, quality, and delivery management capabilities on the global stage, significantly strengthening international market trust in Hyundai Rotem.

Integrating Hyundai Rotem’s defense and mobility technologies, the Wheeled Armored Vehicle is a proprietary platform that ensures both mobility and operational efficiency. Its adaptable structure enables the development of various derivatives, meeting the military’s demand for force diversification. The vehicle is emerging as a core asset in the modernization of mobile forces aligned with defense reforms, and it continues to secure a competitive edge by incorporating Hyundai Motor Group’s automotive technologies. In November 2024, the company entered the Latin American market for the first time by winning the contract to supply Wheeled Armored Vehicles to the Peruvian state arsenal. Subsequently, in December 2025, the company signed a Framework Agreement for the supply of K2 Tanks and K808 Wheeled Armored Vehicles, establishing a bridgehead for future projects.

In addition, the company provides stable maintenance and performance upgrade services for K1 and K1A1 Tanks, bridge-laying tanks, and recovery tanks. By developing the unmanned K1A1 Tank, the company further advanced its technological maturity, building on the expertise acquired from creating multipurpose unmanned vehicles equipped with future manned-unmanned teaming technologies, including autonomous driving, AI, and remote control. Leveraging these technologies, the company developed specialized unmanned firefighting robots to help build a disaster-resilient society. Hyundai Motor Group subsequently donated four of these newly produced robots to the National Fire Agency. Furthermore, the company is utilizing its manufacturing expertise to transition toward a future-oriented business structure. To expand into robotics, manned-unmanned teaming (MUM-T) weapon systems, and aerospace, Hyundai Rotem is securing advanced engine technologies and strengthening its project execution capabilities. Building on these achievements, Hyundai Rotem is leading the globalization of K-Defense and continues to grow as South Korea’s comprehensive defense enterprise encompassing both land and space domains.

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Our Business



Connecting the world with advanced mobility to realize a sustainable future.

The Rail Solution Business Division supplies a diverse range of railway vehicles to domestic and global markets, including electrical multiple units, high-speed trains, trams and light rail vehicles, locomotives, and double-deck passenger cars. The division is continuously expanding its business scope into railway services, such as railway systems and vehicle operation and maintenance. Furthermore, it has strengthened its technological competitiveness by localizing core electrical components for railway vehicles—such as the train control & management system, traction motors, the propulsion control system, and auxiliary power supply units—using proprietary technology. In the E&M sector, the division provides integrated solutions across the entire railway system, encompassing signaling, communications, power, and PSD.

In February 2025, the company once again demonstrated its competitiveness in the global market by securing the Morocco double-deck EMU Project, the largest single overseas project for electrical multiple units. In May 2025, building on its proven project execution capabilities in Taiwan, the company signed a contract to supply unmanned electrical multiple units to Taichung City. In August 2025, the first shipment of trams for Edmonton, Canada, secured in 2021, arrived on-site. This achievement marks the company's first entry into the North American tram market, laying the foundation to strengthen its position in the global tram market based on differentiated technology and a proven track record.

In September 2025, the company completed its first U.S. manufacturing plant for railway vehicle electrical equipment, establishing a foothold to stably execute and expand local operations in response to growing U.S. railway demand. In December 2025, the company achieved the early delivery of high-speed trains to Uzbekistan—marking the first overseas export of domestically produced high-speed trains—along with the second-generation KTX-Eum, KTX-Cheongryong, and the new SRT. This milestone showcased the excellence of domestic high-speed rail technology accumulated over more than 30 years. In February 2026, the company secured a contract for the Edmonton light rail in Canada, becoming the vehicle supply partner for all light rail lines operating in the city.

In addition, the company is actively conducting sales activities based on customized order strategies tailored to each strategic country. Hyundai Rotem plans to further strengthen its technological leadership in the global railway market through advanced mobility solutions for a sustainable future. To this end, the company is advancing continuous research and development of new technologies and products, and will accelerate its expansion into overseas markets based on its domestic market presence.

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ECO PLANT BUSINESS

ECO Plant



We are pioneering a prosperous future with advanced plant technology.

Backed by outstanding technological capabilities, Hyundai Rotem’s ECO Plant Business Division has secured a distinct competitive edge in industrial infrastructure by successfully building steel and smart mobility facilities domestically and internationally. Furthermore, the Division is leading core technologies of the Fourth Industrial Revolution by expanding into the robotics and hydrogen sectors, while continuously strengthening its capabilities to realize a global hydrogen economy and transition to a hydrogen society through the construction of hydrogen infrastructure, including hydrogen charging stations and hydrogen extractors.

In 2023, the company supplied and commercialized a biogas-based hydrogen extractor production facility in Chungju, contributing to the establishment of a circular hydrogen ecosystem. In 2024, the company further expanded its hydrogen infrastructure business by completing the Hi-Station Tongyeong Hydrogen Charging Station in June and securing a series of contracts to build hydrogen charging stations in major regions, including Sejong, Paju, and Ulsan. Following this, in 2025, the company partnered with Hyundai Motor Company to secure a biogas-based hydrogen extraction project in Indonesia to drive overseas expansion, and won a contract for a hydrogen charging project for the Ulsan Jangsaengpo hydrogen tram to establish a hydrogen train ecosystem.

The company continues to deliver meaningful results in the robotics sector. In 2022, it laid the foundation for port automation by supplying Korea’s first port AGVs (Automatic Guided Vehicles) for the fully automated port construction project at Busan New Port. In 2024, it secured a contract from the Yeosu Gwangyang Port Authority to supply 44 AGVs for the automated terminal construction project at Gwangyang Port, and in 2025, building on the successful operation of the fully automated port at Busan New Port, signed an additional supply contract for 57 AGVs from the port operator, Dongwon Global Terminal. Through this project, the Dongwon Global Terminal at Busan New Port will, by 2027, have a total of 117 electric automatic guided vehicles (AGVs) alongside an integrated control system. By replacing conventional internal combustion engine tractors, these unmanned AGVs are expected to enhance operational efficiency and help prevent safety incidents by reducing reliance on manual labor.

Additionally, Hyundai Rotem donated four unmanned firefighting robots, based on its multipurpose unmanned vehicle (HR-SHERPA), to the National Fire Agency. Co-developed with the agency in 2024, these robots are designed to respond to high-risk fires where human entry is restricted by toxic gases, explosion risks, or limited visibility from smoke. The company verified their performance and effectiveness by deploying them in actual fire scenes. After securing product competitiveness by accumulating operational data through initial deployment at high-risk locations within the Group, Hyundai Rotem plans to sequentially supply approximately 100 unmanned firefighting robots to the National Fire Agency.

The Hyundai Rotem ECO Plant Business Division will continue to lead sustainable technological innovation in hydrogen energy, robotics, and steel and automotive industrial facilities, contributing to the stable growth and sustainability of future industrial ecosystems.

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Defense Solution

Defense Solution R&D Strategy

Hyundai Rotem’s Defense Solution Business Division is focusing its capabilities on developing next-generation combat systems centered on unmanned and electrification technologies to proactively respond to the future defense environment. Building on the technological expertise of its core defense products, including advanced tanks and armored vehicles, the company contributes to strengthening national security by maximizing combat efficiency while minimizing human casualties. Furthermore, Hyundai Rotem is advancing a strategy to integrate next-generation innovative technologies—such as unmanned systems, AI, hydrogen energy, and aerospace—into its defense business. The company is strengthening its leadership in future business sectors by developing methane engines for reusable launch vehicles, multipurpose unmanned vehicles (HR-SHERPA), and hydrogen fuel cell-based unmanned platforms.



Methane Engines for Reusable Launch Vehicles



Next-Generation Hydrogen Wheeled Armored Vehicles



Multipurpose Unmanned Vehicles



Unmanned Firefighting Robots

Development of Methane Engines for Reusable Launch Vehicles

Research & development and technological innovation

To create sustainable future value, Hyundai Rotem is pioneering eco-friendly space technology by developing Korea’s first 35-ton-class methane engine for reusable space launch vehicles. In October 2025, the company showcased this methane engine at the Seoul International Aerospace & Defense Exhibition (ADEX 2025) under the theme, “Realizing Cutting-edge AI Mobility from Ground to Space.” Compared to conventional kerosene engines, methane engines generate significantly less soot during combustion. This minimizes engine damage and enables reusability, moving away from traditional single-use launch vehicles. Ultimately, this provides a key resource circulation solution that significantly reduces the massive resource waste associated with manufacturing launch vehicles while mitigating the issue of space debris. Leveraging 30 years of technological expertise, Hyundai Rotem is committed to commercializing these resource-efficient methane engines, securing the technological leadership to drive a sustainable space era.

Hydrogen Mobility

Transition to a hydrogen society

Hyundai Rotem recognizes hydrogen energy as a core strategic technology for future defense and mobility, taking a leading role in the transition to a hydrogen society. Unveiled at ADEX 2025, the hydrogen fuel cell-based unmanned platform ‘Black Veil’ and the hydrogen electrified platform ‘Wheeled Armored Vehicle’ generate zero direct carbon emissions. Equipped with electric motors optimized for ground mobile weapon systems, these platforms deliver superior initial acceleration and responsiveness compared to internal combustion engines. Furthermore, they significantly enhance crew survivability on the battlefield by improving low observability through silent maneuvering and reduced heat signatures. Performance validation of the prototypes is scheduled for completion in 2026.

Multipurpose Unmanned Vehicles

Digital/AI Transformation

In collaboration with Hyundai Motor Group, the company developed multipurpose unmanned vehicles integrating core vehicle manufacturing technologies, including autonomous driving, durability, safety, and design. Designed on an electrified platform, these multipurpose unmanned vehicles are next-generation unmanned systems with the scalability to perform diverse missions, including surveillance, reconnaissance, combat, and the transport of casualties and supplies. The company has continuously enhanced the performance and maturity of these vehicles over more than six years of research and development, evolving from the first-generation prototype to the fourth-generation model based on field operation feedback. Hyundai Rotem initially proposed the HR-SHERPA to the Defense Acquisition Program Administration (DAPA) as a next-generation unmanned system. After exclusively securing the rapid demonstration acquisition project for multipurpose unmanned vehicles in 2020, the company has continued to optimize the system by incorporating actual military operational experience—making it the only product in its category to do so.

Unmanned Firefighting Robots

To protect public lives and safety by transitioning military unmanned system technologies to the civilian sector, the company developed an unmanned firefighting robot based on its multipurpose unmanned vehicles. Following comprehensive internal performance testing—including evaluations of firefighting equipment, camera enhancements, and live-fire conditions—the company sequentially delivered the first two units to the National Fire Agency in 2025. Building on this milestone, the company is exploring diverse opportunities to expand into the commercial sector.

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Our Innovation

Rail Solution

Rail Solution R&D Strategy

Hyundai Rotem’s Rail Solution Business Division is advancing Digital/AI Transformation, low-carbon and high-speed technologies, and business expansion based on global certifications as its three core mid- to long-term R&D strategies. By integrating advanced digital technologies, the division plans to develop smart railway vehicles and secure international-level certification capabilities to strengthen its leadership in the next-generation mobility market.

Rail Solution Technology Development Strategy

Advancing technological capabilities for intelligent, digitalized, eco-friendly, and high-speed railway vehicles through AX ¹⁾ , DX ²⁾ , EX ³⁾ , and GX ⁴⁾		
AI Utilization and Digital Transformation	Low-Carbon/High-Speed Technologies and Energy Reduction	Global Certification and Expansion of High-Value-Added Businesses
· Securing a foundation for future technologies using AI · Enhancing and advancing operational efficiency through digital transformation	· Commercializing low-carbon/high-speed vehicles and expanding the product lineup · Developing and advancing core technologies for energy reduction	· Expanding high-value-added businesses through localization and technology internalization · Expanding entry into new markets through global certifications



Safety Integrity Level 4 Certification



IEC 62443 Cybersecurity Certification for Railway Vehicles



Hydrogen Tram



AI Condition-Based Maintenance

Business expansion based on global certifications

Research & development and technological innovation

Hyundai Rotem is expanding its presence and enhancing its credibility in the global railway market by securing international standard certifications. The company has demonstrated its technological capabilities in system control by consistently achieving SIL4 (Safety Integrity Level 4) certification, the highest safety rating in railway signaling. Furthermore, by securing design certification for the European Technical Specifications for Interoperability (TSI) in 2024, the company established a foothold for entering the global high-speed train market. In addition, the company completed its next-generation security framework by becoming the first in the domestic industry to obtain industrial cybersecurity certification (IEC 62443) in 2025. Leveraging a comprehensive global certification framework that encompasses safety, operations, and security, the company is swiftly responding to the demands of international clients and solidifying its position in the global market.

Development of low-carbon and high-speed technologies

Transition to a hydrogen society

Hyundai Rotem is leading the global market by expanding its hydrogen mobility portfolio and developing next-generation high-speed trains. Starting with the hydrogen fuel cell tram, which has reached the world’s first commercialization stage, the company is driving the establishment of a hydrogen railway ecosystem by expanding its portfolio to include hydrogen electric locomotives and hydrogen-powered vehicles. Powered by fuel cells, the hydrogen electric tram emits zero CO₂ during operation and significantly reduces air pollutants, such as NO_x and particulate matter (PM), compared to diesel multiple units. In the high-speed train sector, the company has supplied vehicles integrating core national technologies, such as distributed power trains, and demonstrated its technological capabilities through exports to Uzbekistan Railways. In 2025, the company established a practical technological foundation for commercialization by completing the development of core technologies for a 370 km/h high-speed train, which maximizes high-speed stability by reducing aerodynamic noise, vibration, and running resistance.

Rail Solution Digital/AI Transformation

Digital/AI Transformation

Hyundai Rotem is building a smart railway ecosystem spanning from design to maintenance by integrating core Fourth Industrial Revolution technologies—such as AI, IoT, and big data—across the entire railway lifecycle. The company maximizes operational efficiency through AI-based autonomous signaling systems and advanced condition-based maintenance solutions, while enhancing productivity through precise design verification using virtual reality (VR) and digital factories.

AI-Based Smart Maintenance	· Enhancing service safety and operational efficiency through condition-based maintenance systems · Detecting anomalies through AI-based monitoring of infrastructure and vehicle conditions · Reducing maintenance costs and time for rolling stock
AI-Based Train Control System and Autonomous Driving	· Enhancing control operations and operational efficiency by implementing real-time operation optimization and failure response functions through an AI-based control system · Strengthening competitiveness in autonomous driving
Digital Factory	· Minimizing design errors and improving production efficiency by establishing a digital twin-based preliminary design verification system for production processes · Aiming to implement an integrated digital factory capable of real-time monitoring and problem analysis of process-specific data in the long term

HYUNDAI
Rotem

1) AX (AI Transformation)
2) DX (Digital Transformation)
3) EX (Energy Transformation)
4) GX (Global & Governance Transformation)

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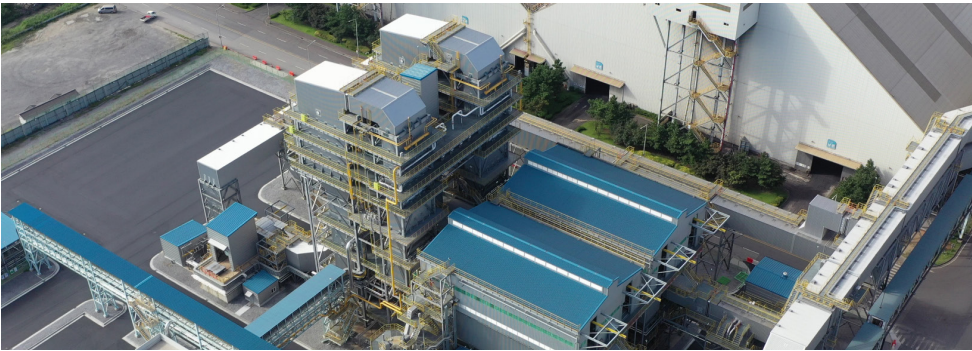
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Our Innovation

ECO Plant

ECO Plant R&D Strategy

Hyundai Rotem’s ECO Plant Business Division is advancing research and development across three core pillars: electrification, unmanned systems, and eco-friendly technologies. Within the electrification pillar, the Division prioritizes the enhancement of Smart Logistics systems as a key initiative. The division is simultaneously developing intelligent, eco-friendly manufacturing solutions and expanding hydrogen charging station infrastructure. For unmanned systems, the division focuses on developing proprietary models of port AGVs (Automatic Guided Vehicles)—the core equipment for port logistics automation. Through these efforts, Hyundai Rotem is strengthening its capabilities in localizing AI-enabled smart port solutions. In the eco-friendly domain, the Division develops and supplies steelmaking equipment technologies that support the transition to a low-carbon and decarbonized future. Furthermore, Hyundai Rotem supports the steel industry’s transition toward net zero through its eco-steelmaking equipment business associated with hydrogen-based steelmaking processes.



Decarbonization.Low-carbon Steelmaking Facilities



Samcheok Hydrogen Charging Station



Smart port AGVs (Automatic Guided Vehicles)

Developing and Supplying Technologies for Decarbonized and Low-carbon Steelmaking Facilities

Research & development and technological innovation

Hyundai Rotem is expanding its business in eco-friendly steelmaking equipment, serving as a core driver of Hyundai Motor Group’s circular business structure. Leveraging engineering capabilities gained from supplying full-line equipment for the blast furnace at Hyundai Steel’s Dangjin Integrated Steel Mill, the company secured orders for electric arc furnace (EAF) equipment in North America. This demonstrates the company’s capacity to supply EAF-based, low-carbon steelmaking equipment that significantly reduces carbon emissions compared to conventional processes. By developing advanced EAF technologies in collaboration with the Hyundai Steel Research Institute, the company has laid the technological foundation for decarbonizing the steel industry. Moving forward, Hyundai Rotem will continue to provide high-efficiency, low-carbon steelmaking solutions aligned with the global steel market’s decarbonization demands, thereby solidifying its sustainable growth engines.

Expanding Hydrogen Infrastructure

Transition to a hydrogen society

Hydrogen is a strategic resource that contributes to energy independence and security by serving as a key energy storage medium to address the intermittency of renewable energy. Recognizing the strategic value of hydrogen, Hyundai Rotem believes that hydrogen mobility can serve as a key driver to establish a stable demand base and accelerate the transition to a hydrogen society. Accordingly, the company is leading the development of a hydrogen railway ecosystem by expanding its portfolio from the hydrogen fuel cell tram—now in the world’s first commercialization stage—to include hydrogen electric locomotives and hydrogen-powered vehicles, while operating SMR(Steam Methane Reforming)-based hydrogen production and refueling infrastructure. Furthermore, Hyundai Rotem contributes to the competitiveness of the hydrogen industry through its integrated solution capabilities across the entire hydrogen value chain. This encompasses hydrogen production, storage, transportation, and utilization, featuring infrastructure such as small hydrogen extractors, hydrogen charging stations, and hydrogen shipping centers.

Developing Smart Logistics Systems and Models for Smart Port AGVs (Automatic Guided Vehicles)

Digital/AI Transformation

In response to the global industrial paradigm shift driven by artificial intelligence (AI) and next-generation energy, Hyundai Rotem has successfully entered the logistics automation market by developing intelligent, eco-friendly manufacturing solutions based on its expertise in constructing automotive production plants and steel infrastructure. In particular, the company is emerging as a leader in the multipurpose unmanned vehicles and physical AI markets by advancing its proprietary model of Korea’s first port AGVs (Automatic Guided Vehicles), which feature integrated autonomous driving software for container transport in smart ports. As electrically driven, unmanned vehicles, Hyundai Rotem’s port AGVs replace traditional internal combustion engine transport equipment. Moving forward, the company is committed to providing integrated solutions in the Smart Logistics sector centered on AGV technology, ensuring both environmental sustainability and operational safety.

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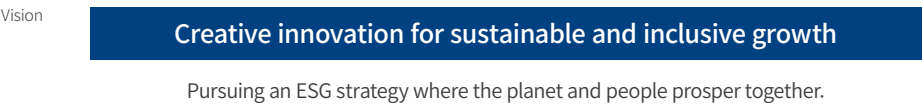
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Sustainability Vision and Strategy

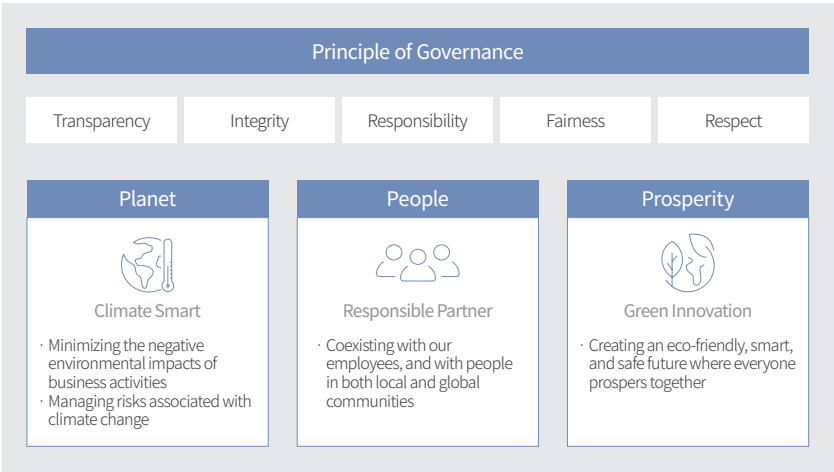
Sustainability Management Strategy Framework

Sustainability Management Vision

Guided by its Sustainability Management Vision of “Creative innovation for sustainable and inclusive growth,” Hyundai Rotem proactively addresses the UN Sustainable Development Goals (SDGs) and ESG (Environmental, Social, Governance) issues. Based on the World Economic Forum (WEF) 4P Framework, the company places the Principles of Governance at its core to realize a sustainable future where People and the Planet achieve Prosperity. Furthermore, the company systematically manages various risks that impact its long-term sustainability and continuously drives shared growth and value creation built on trust with stakeholders.



4 Pillars



9 Key Strategic Initiatives

- ① Eco-friendliness across the entire life cycle of a product

② Sustainable resource management and ecosystem preservation

③ Climate-proof business operations
- ④ Culture of ethical conduct and respect for human rights

⑤ Talent management

⑥ Social contributions for a better tomorrow
- ⑦ Hydrogen mobility and infrastructure

⑧ Eco-Smart-Safe R&D

⑨ Inclusive prosperity

Strategy and System for Promoting Sustainable Management

Hyundai Rotem has established three key directions—‘Climate Smart’, ‘Responsible Partner’, and ‘Green Innovation’ as part of its vision for sustainability management, and has identified nine strategic initiatives to achieve these goals. The company comprehensively manages key ESG issues and risks through a company-wide management committee chaired by the CEO, with joint participation from dedicated teams and business divisions. Following internal review, key ESG agendas are reported to and approved by the CEO and the Board of Directors (BOD) prior to company-wide implementation. The Sustainability Team under the Corporate Planning Group leads the execution of the ESG strategy in collaboration with each division. Furthermore, the company proactively addresses stakeholder expectations by engaging with global ESG initiatives, participating in sustainability assessments, and managing ESG disclosures.

Board of Directors	- The Board of Directors (BOD) is Hyundai Rotem's highest decision-making body, with the CEO concurrently serving as the Chairman. - It establishes the Sustainability Vision and Strategy, and determines business objectives and management direction. - It manages and oversees sustainability-related management issues through the Transparency Management Committee. - The Board of Directors convenes regularly and holds ad hoc meetings as necessary to address relevant agenda items. - It reviews and approves material ESG issues, impacts, risks, and opportunities.
Corporate Planning Group	- The Sustainability Team under the Corporate Planning Group is responsible for establishing sustainability strategies, managing performance, and handling external disclosures and communication. - In collaboration with the ESG Management Task Force, the team identifies key issues and executes relevant strategies through company-wide management committees under the oversight of the Board of Directors.
ESG Management TF	- The executive in charge of the Corporate Planning Group concurrently serves as the head of the ESG Management Task Force. - It handles working-level operations related to net zero and sustainability management, comprehensively manages company-wide activities and performance, and implements improvement initiatives.

Sustainability Management Performance and Plans

Hyundai Rotem officially declared its 2050 net zero strategy and roadmap and is actively advancing the transition to renewable energy across its worksites. These efforts have led to outstanding results in domestic and international ESG ratings. The company achieved an A+ rating from KCGS (Korea Corporate Governance Service) in 2025, marking its second consecutive year at this level. Additionally, it received a ‘B’ score for Climate Change and an ‘A’ score for Water Security from CDP. In recognition of its environmental management performance, Hyundai Rotem earned the highest Leadership A score at the 2025 CDP Korea Awards and won the Excellence Award in water security. Furthermore, the company received a Presidential Commendation at the Leading Circular Economy Company Awards for its circular economy initiatives. Hyundai Rotem also became the first large enterprise to win the Sustainable Quality Award at the Korean Society for Quality Management Fall Conference. Looking ahead to 2026, Hyundai Rotem plans to further advance its sustainable management and proactively respond to evolving ESG regulations by accelerating net zero initiatives, internalizing internal controls, and building a mutually beneficial supply chain ecosystem.

Category	2025 Key Achievements	2026 Implementation Plans
Net Zero	Installing solar power facilities - Four locations, including the Quality and Safety Center and the Main Building at the Changwon Plant	Redefining the net zero strategy and establishing a cost-effective implementation framework
ESG disclosure	Establishing an internal control system - Introducing an IT platform for ESG disclosure and establishing sustainability disclosure regulations	Internalizing internal controls
Supply Chain Management	Enhancing supply chain ESG Risk sensing - Introducing ESG assessments and conducting on-site audits for overseas suppliers	Building a shared growth ecosystem across the supply chain

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ESG Highlight

Environmental Management

- Maintained ISO 14001:2015 Environmental Management System (EMS)
- Scope of certification (Uiwang site, Changwon plant, Dangjin plant)
- Shortened the environmental impact assessment cycle from three years to one year
- A total of 150 employees completed environmental training



Climate Change Response

- Established and implemented roadmaps for 2050 Net Zero and 2040 RE100
- Built an energy monitoring system and completed installation of solar power facilities (640kW)
- Calculated company-wide emissions based on consolidated accounting standard



Resource Use · Natural Capital Protection

- Received the Presidential Commendation at the 19th Leading Circular Economy Company Awards
- Obtained the first EPD(Environmental Product Declaration) Global certification for domestically operated vehicles
- Continuously reduced waste intensity
- 1.12 → 0.81 → 0.63 ton/KRW billion



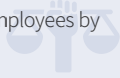
Technological Innovation · Quality Management

- Entered the commercialization stage for hydrogen fuel cell trams
- Acquired the first IEC 62443 certification in Korea for industrial use
- Launched the development of a 35-ton-class methane engine first in Korea for reusable space launch vehicles
- Maintained global quality certifications, including DQMS (Defense Quality Management System), IRIS (International Railway Industry Standard), ISO 9001 (Quality Management System), and ASME STAMP, etc.



Human Rights

- Disclosed transparency statements in major countries, including Australia, Canada, and the United States
- Achieved an 83.4% positive response rate in the human rights impact assessment
- Increased the number of female employees by approximately 24% year-over-year



Supply Chain Management

- Financial support for suppliers including direct support and the Shared Growth Fund
- Conducted 719 technical support cases for suppliers in 2025 (Joint R&D, industrial property rights, testing equipment support, etc.)
- Selected as an Outstanding Win-win Growth Company by Korea Commission for Corporate Partnership (KCCP) for four consecutive years
- Provided technical training to 5,898 supplier employees and ESG training to 140 suppliers



Governance

- 100% board attendance rate
- 29% female directors on the Board
- Established the Board of Independent Directors
- Established a dividend policy



Ethics and Compliance

- Achieved an 'AA' rating for two consecutive years in the external evaluation of the Compliance Program (CP) conducted by the Fair Trade Commission
- 2,414 employees participated in ethics and compliance training
- 1,243 suppliers signed the pledge to practice ethical management



Information Security

- Maintained ISO 27001:2022 (Information Security Management System) certification
- Zero complaints, regulatory violations, or data leaks related to customer personal information
- Collected information security pledges from 100% of employees



Safety and Health

- Maintained ISO 45001:2018 (Occupational Health and Safety Management System) certification
- Scope of certification (Uiwang, Changwon, Dangjin, and Türkiye sites)
- Received 238 submissions for the safety and health idea contest
- Provided consulting on establishing a safety and health management system to 27 suppliers



Human Resources Management

- Organizational Culture Assessment Index increased for three consecutive years (75.4 → 78.4 → 79.3)
- Operating a smart learning platform with approximately 3,200 e-learning content
- Developed job-specialized programs for production and quality, and conducted job training for procurement
- Maintained the Family-Friendly Company Certification since its initial acquisition in 2014



Social Contribution

- Invested a total of KRW 2.11 billion in social contribution activities
- 1,147 employees participated in volunteer activities, totaling 5,159 volunteer hours
- Received three external awards



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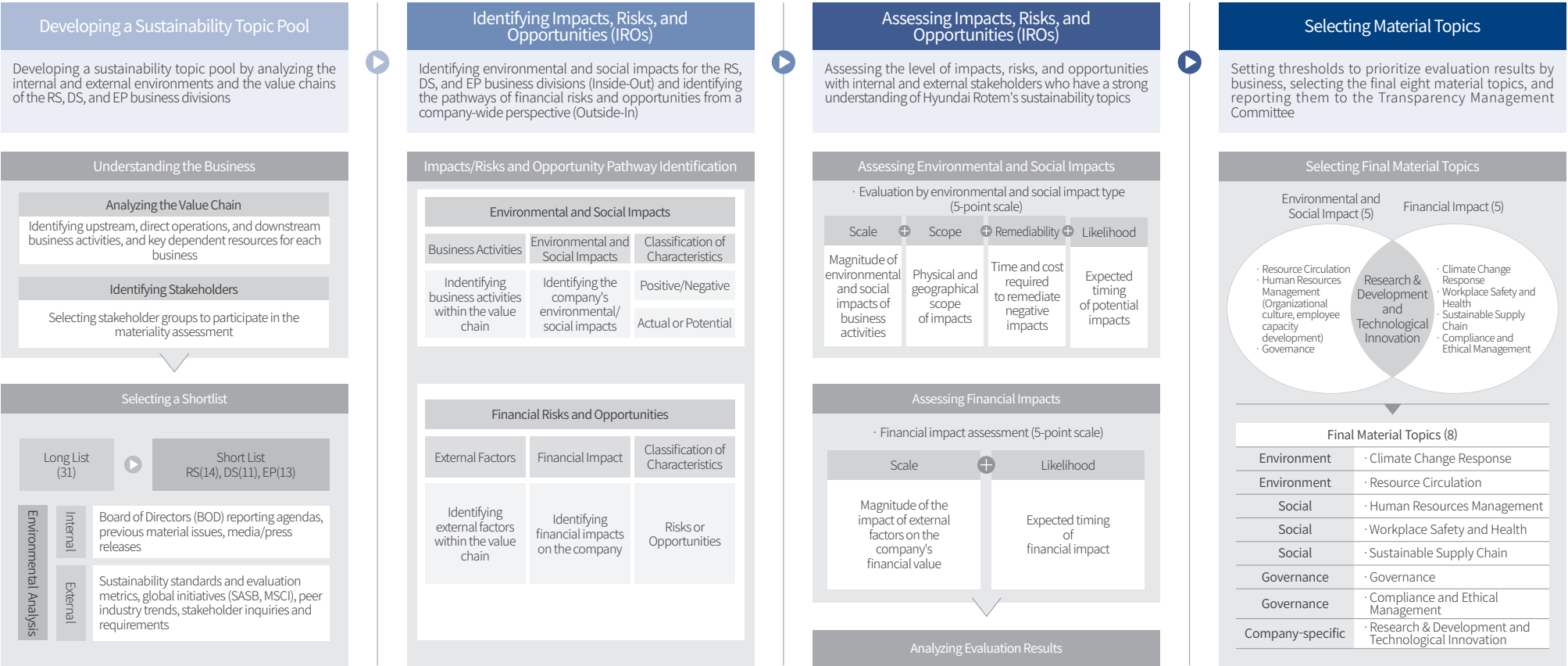
Double Materiality Assessment

Double Materiality Assessment Overview

Each year, Hyundai Rotem discloses key activities and performance related to material topics selected through its double materiality assessment. In this assessment, the company expanded the scope of analysis to encompass the entire value chain, including upstream, direct operations, and downstream activities. Furthermore, the company identified and evaluated the impacts, risks, and opportunities across its Rail Solution (RS), Defense Solution (DS), and ECO Plant (EP) divisions to ensure the selected material topics reflect Hyundai Rotem’s entire value chain.

Based on the assessment results, 8 topics were selected as material issues: climate change response, resource circulation, human resources management, workplace safety and health, sustainable supply chain, governance, compliance and ethical management, and R&D and technological innovation. Of these, resource circulation, human resources management, and compliance and ethical management were newly selected compared to the previous year.

Double Materiality Assessment Process



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Double Materiality Assessment

Double Materiality Assessment Details

Environmental and Social Impact Analysis

Hyundai Rotem comprehensively analyzes the environmental, social, and financial impacts of the material topics identified through the double materiality assessment. The company selects topics as final material topics if they exceed the threshold for either ① environmental and social impact materiality or ② financial materiality. Based on these results, Hyundai Rotem identifies the drivers, impact type, and time horizon for each topic, and establishes specific response measures and future plans to strengthen sustainable management.

Area	Topics (Shortlist)	Position in the Value Chain	Driver	Category	Type	Time Horizon	Environmental and Social Impacts
 Environment	Resource Circulation	Own Operations	· Expanding the use of recycled materials during product design and development	Positive	Actual	Long-term	· Incorporating easily recyclable materials during product design increases material recovery rates at the end-of-life stage and reduces waste generation.
 Social	Human Resources Management (Employee Capacity Development)	Own Operations	· Need to secure highly skilled technical personnel for the Defense Solution, Rail Solution, and ECO Plant business · Expanding training to strengthen employee expertise	Positive	Actual	Short-term	· Operating systematic training and capacity-building programs improves employee expertise and productivity, contributing to the establishment of social human capital.
	Human Resources Management (Organizational Culture)	Own Operations	· Increasing demand for flexible work environments · Increasing demand for respecting diverse employee opinions	Positive	Actual	Short- to long-term	· Creating a work environment that supports work-life balance can improve employees' quality of life and enhance organizational commitment.
 Governance	Governance	Own Operations	· Increasing stakeholder expectations for corporate transparency and fairness · Demand for enhancing board independence, expertise, and diversity	Positive	Actual	Medium- to long-term	· By ensuring transparency in decision-making and securing board independence and expertise, the company can contribute to establishing a fair market order and protecting the rights and interests of shareholders and stakeholders.
 Company-specific	Research & Development and Technological Innovation (Transition to a Hydrogen Society)	Across the value chain	· Continuous development of net zero technologies to respond to growing domestic and global demand for climate change transition technologies	Positive	Potential	Medium- to long-term	· The company can contribute to the transition to a hydrogen society and the achievement of net zero by expanding its hydrogen mobility business, such as hydrogen trams, and developing core infrastructure technologies for the hydrogen energy industry.

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Double Materiality Assessment Details

Financial Risk and Opportunity Analysis

Area	Topics (Shortlist)	Position in the Value Chain	Driver	Category	Time Horizon	Impact on the Company
Environment	Climate Change Response	Across the value chain	· Regulations: Declarations of 2050 carbon neutrality by major economies, including South Korea, the EU, and the U.S., along with eco-friendly transportation, defense, and industrial policies · Dependent resources: Eco-friendly technologies, including hydrogen, batteries, reusable launch vehicles, and low-carbon steelmaking technologies	Opportunity	Medium- to long-term	· Orders for products such as hydrogen mobility and hydrogen refueling infrastructure are expected to increase, driven by global government policies promoting the transition to a net zero society. · Orders for eco-friendly steelmaking equipment are expected to increase as the steel industry strives to achieve net zero.
Social	Workplace Safety and Health	Upstream	· Regulations: Serious Accidents Punishment Act, Occupational Safety and Health Act · Dependent resources: Supplier human resources	Risk	Short- to medium-term	· The company may face fines under the Serious Accidents Punishment Act if a serious accident occurs at a supplier's site. · Supply chain disruptions caused by industrial accidents at supplier sites may delay product deliveries, potentially resulting in penalty fees.
	Sustainable Supply Chain	Upstream	· Regulations: Global supply chain due diligence obligations such as the EU CSDDD¹⁾, the Labor Standards Act, and the Waste Control Act · Dependent Resources: Suppliers within the supply chain	Risk	Short- to medium-term	· Stricter supply chain ESG Due Diligence obligations may increase management costs associated with supplier evaluations, on-site audits, and training programs.
Governance	Compliance and Ethical Management	Across the value chain	· Regulations: Improper Solicitation and Graft Act, Monopoly Regulation and Fair Trade Act, OECD²⁾ Anti-Bribery Convention, US FCPA³⁾, and UK Bribery Act	Risk	Short- to medium-term	· If collusion or bribery is detected during the bidding process, government agencies may impose fines. Furthermore, restrictions on bidding participation could lead to revenue losses.
Company-specific	Research & Development and Technological Innovation	Own operations	· Dependent Resources: R&D personnel and technology investments	Opportunity	Medium- to long-term	· The company expects to expand overseas defense exports and increase market share by securing new technologies in the defense sector, such as reusable launch vehicles. · The company expects to win more high-value-added projects by developing new technologies essential for the transition to a hydrogen society, such as hydrogen mobility and hydrogen infrastructure

1) CSDDD: EU Corporate Sustainability Due Diligence Directive
2) OECD: Organisation for Economic Co-operation and Development
3) FCPA: U.S. Foreign Corrupt Practices Act

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Double Materiality Assessment

Management of Material Topics

Category	Material Topic	Governance	Strategy	Risk Management	Metrics and Targets	Reporting Location
 Environment	Climate Change Response	- Directly link climate change performance to the compensation of C-level executives in each division - Regularly manage and oversee climate change initiatives	- Establishing a net zero strategy across the entire value chain - Worksites: Improve energy efficiency and install solar power facilities - Supply Chain: Enhance product carbon data - Participated in the development project for eco-friendly rolling stock and life-cycle carbon reduction technologies	- Conduct climate change scenario analysis - Analyze business impacts from temperature changes, precipitation, and natural disasters - Conduct product life cycle assessments and respond to stakeholder demands	- Set a 2050 net zero target across the entire value chain - Reduce Scope 1 and 2 emissions by 42% and Scope 3 emissions by 25% by 2030 from the 2022 baseline	25-31
	Resource Circulation	- Company-wide environmental management governance - Report environmental issues to management and the Board of Directors (BOD) - Established Environmental Management policies	- Recycle waste synthetic resins and reduce cutting fluid waste - Recycle 100% of waste activated carbon through regeneration - Expand green purchasing activities	- Reduce hazard risks by substituting hazardous chemicals - Replace old water supply pipes - Operate the Chemical Pre-approval System	- Established mid- to long-term waste management plans - Target a 90% Waste Recycling Rate by 2027 - Target Zero Waste to Landfill (ZWTL) certification	32-36
	Human Resources Management	Established a human resources management system under the Management Support Division	- Provided customized growth programs for employees - Operate the Fast Track system to identify and develop core talent	- Held regular labor-management council meetings - Operate various communication channels, including a grievance mechanism	- Organizational culture assessment index increased for three consecutive years 75.4 → 78.4 → 79.3	55-62
 Social	Workplace Safety and Health	- Company-wide HSE governance - Appointed a CSO (Chief Safety Officer) and health and safety managers - Held Safety Management Meetings chaired by the CEO - Address safety and health agenda items at least quarterly - Establishing a safety management system for suppliers	- Implemented safety and health activities by workplace type - Conduct accident prevention training and implement safety and health programs	- Improved the HSE Audit system - Establish risk countermeasures based on workplace risk assessments - Conduct safety assessments and training for suppliers	- Lost Time Injury Frequency Rate (LTIFR) 1.15 (Employees) - Total Recordable Incident Rate (TRIR) 0.23 (Employees) - Safety and Health Certification - ISO 45001 ('19) - Health-Friendly Company Certification ('23)	47-54
	Sustainable Supply Chain	- Establishing a sustainable supply chain management - Operating a supplier ESG evaluation and management system - Establishing a virtuous cycle of Shared Growth for suppliers	- Establishing a shared growth strategy - Operating Shared Growth programs - Conducting supplier support activities (financial, technical, and training support)	- Incorporating Code of Supplier Conduct compliance clauses in contracts - Regular supplier evaluation (annually) - Supplier ESG assessment (annually) - Monitoring the status of supplier safety management systems and activities	- Conducting on-site due diligence 56 domestic suppliers	63-69
	Governance	- Ensuring a majority of the Board of Directors consists of independent directors - Established Board of Independent Directors	- Supervising major decision-making through Board committees - Operating a Board of Director performance evaluation system	- Stipulating the Board of Directors' code of conduct in the Articles of Incorporation - Operating training programs on the Internal Accounting Control System for the Audit Committee	- Board Evaluation - Board Activity Evaluation: 4.78 points - Committee Activity Evaluation: 4.74 points - Independent Director Activity Evaluation: 4.92 points	81-85
 Governance	Compliance and Ethical Management	- The Compliance Council and the Compliance Officer conducts regular inspection of the Fair Trade Compliance Program - The Shared Growth Manager addresses potential ethical issues with suppliers	- Employees and suppliers sign a pledge to practice ethical management - Operate ethics and compliance training programs	- Establish internal and external reporting systems through the Cyber Whistleblower System - Operate the fair trade pre-screening system	- Ethics and compliance training - Number of training sessions: 6 - Number of participants: 2,414 - Signed the ethical management pledge 1,243 suppliers	86-92
	Research & Development and Technological Innovation	- Established the Digital Factory Team ('23) - Established the AI Application Team ('25)	- Apply advanced technologies, such as digital twins, AI-based predictive maintenance, and Smart Factories, across all business areas - Develop eco-friendly products, including hydrogen mobility and reusable launch vehicles - Form public-private partnerships and foster collaborations	- Foster experts in digital and AI technologies - Form public-private partnerships and foster collaborations	- Securing future growth engines through digital transformation and AI integration - Enhance quality and safety standards - Improve energy efficiency - Develop and commercialize eco-friendly products - Development and demonstration of hydrogen hybrid trains - Conduct research on electrifying tank powertrains and transitioning to hydrogen fuel	11-13
 Company-specific						

ENVIRONMENTAL

To contribute to creating a sustainable future for humanity, Hyundai Rotem has declared its commitment to 2050 net zero and is implementing systematic environmental management. The company identifies potential risks and opportunities through climate change scenario analysis and integrates them into its business strategy to strengthen its climate crisis response capabilities.

Furthermore, in recognition of its contribution to advancing the circular economy, the company received the Presidential Commendation at the Leading Circular Economy Company Awards. This achievement is the result of initiatives such as waste reduction and recycling, and efficient water management, driven by company-wide resource circulation efforts.

Moving forward, Hyundai Rotem will continue to expand its use of renewable energy, reduce pollutant emissions, and continuously develop eco-friendly technologies and products. Through such meaningful initiatives for future generations, we will take the lead in creating a sustainable environment.

Landscape / Yang Se-yeon, Hyundai Rotem Employee

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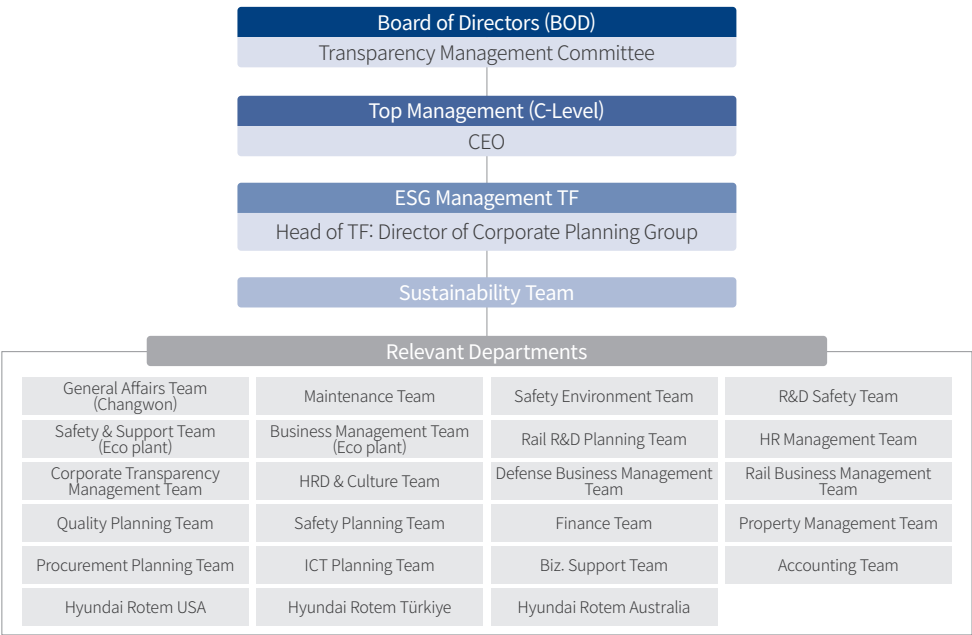
Environmental Management

Strengthening Environmental Management GOVERNANCE

Environmental Management Governance

To ensure the systematic implementation of environmental management, Hyundai Rotem centrally manages company-wide environmental performance through the Sustainability Team, reporting key achievements and material issues to the Board of Directors (BOD) and C-level executives on an annual basis. To effectively execute its resource circulation strategy, Hyundai Rotem directly links achievements in waste reduction and increased recycling rates to the compensation of C-level executives in relevant divisions. Each year, the company establishes specific targets and action plans tailored to the operational characteristics of each division and incorporates them into divisional KPIs. The achievement of these KPIs serves as a key metric in determining the performance evaluations and compensation levels of division heads. This approach strengthens the company-wide commitment to implementing resource circulation.

In addition, to ensure practical environmental management at the site level, the company operates the Safety & Environment Team (Changwon), ECO Plant Safety Support Team (Dangjin), and R&D Safety Team (Uiwang) as dedicated implementation units for each site. These units identify and mitigate environmental risks, manage pollutant emissions, and protect and restore natural capital in accordance with legal obligations and company-wide environmental management goals.



Strengthening Environmental Management STRATEGY

Environmental Management System

Hyundai Rotem has established an Environmental Management Policy to minimize potential negative environmental impacts across its business operations and value chain. This policy applies to Hyundai Rotem's global operations, including all subsidiaries, suppliers, and business partners. The policy outlines the environmental management framework, implementation strategies, and fundamental principles for each environmental factor. Hyundai Rotem transparently discloses this policy to all stakeholders on our website.

Principles by Environmental Element

Hyundai Rotem established basic principles for nine environmental elements within its Environmental Management Policy: raw and subsidiary materials, energy, water, greenhouse gases, waste, end-of-life products, environmental pollutants, hazardous materials, and local communities.

Environmental Management Policy

Hyundai Rotem Environmental Management Policy

Goal

Hyundai Rotem enacts this environmental policy to continuously improve environmental performance through eco-friendly management and to minimize negative environmental impacts throughout its business activities and value chain.

01. It shall recognize the environment as key to corporate success, creates corporate values through proactive eco-friendly management, and fulfills its corporate social responsibility.

02. It shall set out implementable targets to respond to climate change and evaluate their implementation performance.

03. It shall make efforts to use resources and energy sustainably and reduce pollutants throughout the lifecycle of the development, production, sale, and discarding.

04. It shall actively support suppliers' environmental management activities and establish and implement criteria necessary for an eco-friendly supply chain policy.

05. It shall comply with domestic and international environmental laws and conventions and establish and implement necessary policies to promote environmental management.

06. It shall protect bio-diversity and draft a policy to preserve the natural environment.

07. It shall disclose its environmental management performance to corporate members and stakeholders per reasonable and objective criteria.

Environmental Management

Strengthening Environmental Management

STRATEGY

Environmental Management Monitoring

To maintain its environmental management system, Hyundai Rotem continuously monitors environmental issues even after corrective actions have been completed. The company validates its management framework by maintaining ISO 14001:2015 Environmental Management System (EMS), thereby ensuring third-party verification of its management framework. The company also reduces pollutant emissions and promotes eco-friendly production to build environmentally responsible workplaces and minimize environmental impacts on local communities. Furthermore, by establishing and applying its own internal standards that are stricter than the EMS certification requirements, Hyundai Rotem systematically manages environmental issues and lays the groundwork for proactively responding to potential risks. As of 2025, the ISO 14001 certification rate of key business sites stands at 100%.

Environmental Management Certification Status of Key Sites

As of December 2025

Category	Number of Applicable Sites	Number of Certified Sites	Certification Rate (%)
Domestic Sites ¹⁾	3	3	100%
Overseas Sites ^{2), 3)}	1	1	100%
Total	4	4	100%

1) Changwon Plant, Dangjin Plant, Uiwang site

2) Türkiye Plant

3) Pursuing certification for new sites (U.S. and Australia) established in 2025



Changwon Plant, Dangjin Plant, Uiwang site



Türkiye Plant

Employee Environmental Training

Hyundai Rotem conducts annual online and offline training for employees to strengthen the internalization of environmental management. In 2025, the company provided online lectures on net zero to 20 headquarters employees and on hydrogen technology to 84 employees, while also conducting related training on topics such as environmental management and natural capital for a total of 150 employees.

Environmental Risk Management

RISK MANAGEMENT

Management of Major Environmental Laws and Regulations

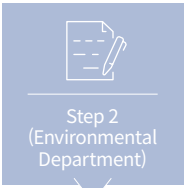
Hyundai Rotem operates the following clear management process to systematically comply with domestic and international environmental laws and regulations. This process aims to proactively identify regulatory risks and elevate the company-wide compliance level.



Step 1
(Environmental
Department)

Legal · Regulatory Monitoring

- Monitor enactments and amendments of domestic and international environmental laws, enforcement decrees, and regulations to promptly identify the latest trends
- Proactively identify legal · regulatory changes that may impact business operations



Step 2
(Environmental
Department)

Establishment and Revision of the Legal · Regulatory Register

- Periodically update the 'Legal · Regulatory Register', a list of all environmental laws and regulations the company must comply with, based on monitoring results
- Maintain up-to-date status at all times by reflecting new laws and regulations and specifying changed requirements



Step 3
(Relevant Teams)

Conduct Legal · Regulatory Compliance Evaluation

- Each business division and operational department conducts self-assessments of legal · regulatory compliance in their respective areas based on the 'Legal · Regulatory Register'
- Conduct regular semi-annual assessments to verify whether actual business processes and facility operations meet relevant legal · regulatory requirements



Step 4
(Environmental
Department)

Monitoring and Management of Legal · Regulatory Compliance Assessments

- Collect and comprehensively review the compliance assessment results from each department
- Request corrective actions for deficiencies or potential risks identified during the assessment process
- Continuously track and manage implementation status to maintain a consistent level of environmental legal · regulatory compliance company-wide

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Environmental Management

Strengthening Environmental Management RISK MANAGEMENT

Conducting Environmental Impact Assessments

Hyundai Rotem regularly conducts environmental impact assessments to systematically identify and manage the environmental impacts that may arise from its activities, products, and services. To enhance the effectiveness of its environmental risk management, the company shortened the assessment cycle from every three years to annually, starting in 2024, enabling a swifter response to environmental changes. The assessment covers seven areas: water pollution, air pollution, soil contamination, noise and vibration, waste generation, ecosystem degradation, and resource consumption. The results are categorized into five levels. Items rated level 3 or higher are registered as major environmental impacts, for which the company establishes reduction targets and detailed implementation plans. The assessment results serve as key data for selecting environmental improvement investments for the following year.

Environmental Accident Response System and Drills

Hyundai Rotem defines environmental accidents as major emergencies and conducts regular employee training to strengthen response capabilities and minimize damage through a systematic framework. Notably, in 2025, the company advanced its site-specific response system by establishing the 'Emergency Preparedness and Response Procedures,' which reflect the unique characteristics and potential risks of the Changwon Plant. Under these procedures, the company conducts emergency response training for all teams at the Changwon Plant at least semi-annually and evaluates the results to continuously assess and improve practical response capabilities. Furthermore, each environmental working-level unit maintains constant emergency readiness by organizing team-specific emergency response charts, managing scenario-based response plans, and maintaining response equipment.

Efforts to Prevent Greenwashing

Starting in 2025, Hyundai Rotem conducts biannual self-inspections to proactively prevent greenwashing risks in environmental labeling and advertising, ensuring the delivery of accurate and reliable information to stakeholders. During the year, the company inspected environmental labeling and advertising content at domestic sites in the first half and at overseas sites in the second half. The company identified 20 posts with potential risks and completed corrective actions, such as clarifying potentially confusing expressions. Furthermore, to raise employee awareness of greenwashing and mitigate operational risks, the company distributed internal anti-greenwashing guidelines and conducted company-wide training in 2025. These guidelines include a greenwashing self-assessment checklist, establishing a framework that enables environmental content creators to independently assess and prevent risks from the planning stage. Hyundai Rotem remains committed to practicing transparent environmental management through ongoing monitoring.

Environmental Management

Environmental Management Activities and Performance

METRICS & TARGETS

Environmental Management Targets and Initiatives

Hyundai Rotem is committed to proactively identifying and systematically responding to increasingly stringent environmental regulations and related issues. In particular, the company establishes and actively implements environmental management targets and innovative initiatives to minimize adverse environmental impacts at its sites.

Environmental Management Targets and Performance by Site

Management Targets	Business Site	2025 Performance	2026 Target
 Reduction of Environmental Pollutant Emissions		· Air pollutants: 15% of the regulatory limit	· Air pollutants: 20% or less of the regulatory limit for the highest emitting item among 9 items
	Changwon Plant	· Water pollutants: 24% of the regulatory limit	· Water pollutants: 20% or less of the regulatory limit for the highest emitting item among 30 items
		· Waste generation per unit of production: 4,833 kg/unit	· Reduced by 5% year-over-year (4,591 kg/unit)
	Dangjin Plant	· Air pollutants: 60% of the regulatory limit	· Emissions of the highest-emitting substance among 9 air pollutants maintained below 60% of the regulatory limit
	Uiwang site	· Air pollutants: Emitted at 83% of the regulatory limit	· Real-time monitoring of air pollutants using IoT sensors · Replacement of activated carbon twice a year
		· Water pollutant emissions: 97% of the regulatory limit	· Biannual self-monitoring of water pollutants conducted by a certified contractor
 Energy Savings	Changwon Plant	· Utility consumption - Power: 47,709 kWh/unit ⇒ 8.1% increase - Gas: 4,303 m³/unit ⇒ 18.8% increase - Water: 447 m³/unit ⇒ 16.1% decrease	· Reduced utility consumption by 5% year-over-year - Power : 45,324kWh/unit - Gas : 4,088m³/unit - Water : 425m³/unit
	Dangjin Plant	· Utility consumption - Power: 4,131,876 kWh ⇒ 21.6% decrease - Gas: 330,967 m³ ⇒ 0.3% increase - Water: 14,800 m³ ⇒ 9.7% decrease	· Reduced utility consumption by 5% year-over-year
 Resource Circulation Management	Changwon Plant	· Waste recycling rate: 87% (3,133 ton)	· Waste recycling rate target: 88.0%
	Dangjin Plant	· Waste recycling rate: 66% (331 ton)	· Waste recycling rate target: 54.0%

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Oversight of Climate Change Issues

GOVERNANCE

Climate Change Governance

Board of Directors and Management

As the highest decision-making body, the Hyundai Rotem Board of Directors (BOD) deliberates and resolves key climate-related agendas, taking responsibility for sustainable business operations. The Board of Directors and management receive annual reports from working-level staff on sustainability management plans, which include climate-related risks and response strategies, and make relevant decisions.

Dedicated Climate Change Response Organization

To address climate change at the corporate level, Hyundai Rotem’s Sustainability Team monitors performance and reports key results to management and the Board of Directors (BOD) annually. The company implements its net zero strategy in collaboration with relevant departments, including the Maintenance Team (Changwon), ECO Plant Safety Support Team (Dangjin), and R&D Safety Team (Uiwang), which serve as the implementation units at each site.



Status of Climate Change Agendas Reported to the Board of Directors in 2025

Category	Date	Agenda
Deliberation	'25.02.21	Approval of the 2025 Sustainability Management Implementation Plan
Deliberation	'25.06.27	Approval of the Publication of the 2025 Sustainability Report
Deliberation	'25.12.18	Approval of the Establishment of Sustainability Disclosure Regulations

In 2025, Hyundai Rotem deliberated and resolved three agenda items related to climate change and environmental management. In February, the Board of Directors (BOD) deliberated on the climate targets and net zero implementation plans for the year. In June, the company comprehensively reviewed quantitative and qualitative performance, including the previous year’s greenhouse gas emissions management status, energy efficiency investment results, and the status and targets of the transition to renewable energy at its sites. In December, the Board of Directors approved the enactment of the Sustainability Disclosure Regulations, establishing an internal control foundation to manage and disclose ESG strategies, targets, and performance across areas such as climate, environment, labor, and human rights. By regularly deliberating on agenda items related to climate change and environmental management, the Board of Directors integrates climate-related risks and opportunities into overall management.

Linking Performance Evaluation to Employee Compensation

To ensure the practical implementation of its net zero strategy, Hyundai Rotem directly links climate change performance to the compensation of C-level executives across all divisions. The company establishes annual carbon reduction targets and detailed climate action plans tailored to each division, incorporating these into their respective Key Performance Indicators (KPIs). The achievement of these KPIs serves as a key metric in determining the performance evaluations and compensation levels, including bonuses, for division heads, thereby strengthening accountability and commitment to climate action.

Climate Change Response

Climate-related Risks and Opportunities

STRATEGY

Climate-related Risks and Opportunities Identification

Hyundai Rotem categorizes the impacts of climate change on its business activities into physical and transition risks. Physical risks refer to the direct impacts of climate change on business operations, while transition risks encompass potential challenges arising from the transition to net zero and a low-carbon economy. Furthermore, the company comprehensively analyzes potential opportunities emerging from both climate change phenomena and the shift to a low-carbon economy.

To comprehensively analyze climate-related risks and opportunities, Hyundai Rotem identifies potential risk and opportunity factors using the IPCC’s SSP scenarios, as well as scenarios provided by the IEA and NGFS. For the SSP scenarios, the company applies SSP1-2.6, which limits global warming to 1.5°C, and SSP5-8.5, which assumes a business-as-usual trajectory. From the IEA scenarios, the company uses the Net Zero Emissions (NZE) scenario, which assumes 2050 net zero, and the Stated Policies Scenario (STEPS), which reflects currently implemented national policies. For the NGFS scenarios, the company utilizes the Orderly transition and Current Policies scenarios. Furthermore, to develop response strategies for these potential risks and opportunities, the company defines its time horizons as short-term (1 year), medium-term (2-5 years), and long-term (over 5 years), aligning them with its business strategy.

Identification Results of Climate-related Risks and Opportunities

Hyundai Rotem identifies climate-related risks and opportunities across all its domestic and overseas sites. The company has identified risks by analysis scenario and assessed their potential financial impacts.

Category	Factor	Details	Scope of Impact ¹⁾	Financial Impact		Type of Financial Impact
				2030	2050	
Physical Risk	Heatwaves	Increased energy costs due to an increase in heatwave days	Medium-/long-term	KRW 200 million increase in energy costs due to a 7.5-day increase in heatwave days	KRW 700 million increase in energy costs due to a 17.7-day increase in heatwave days	OPEX
	Drought	Use of alternative water resources due to a shortage of available water	Medium-/long-term	Estimated alternative water resource cost of KRW 660 million due to a 6% increase in evapotranspiration	KRW 1.86 billion in alternative water resource costs due to a 16% increase in evapotranspiration	OPEX
	Heavy rainfall	Factory roof repair due to leaks	Short-/mid-/long-term	Roof repair cost of KRW 9 billion	Roof repair cost of KRW 23.4 billion	CAPEX
	Heavy rainfall	Suspension of plant operations due to site flooding	Short-/mid-/long-term	Decrease of KRW 8.1 billion in revenue due to a 5.2-day increase in heavy rainfall days	Decrease of KRW 6.5 billion in revenue due to a 4.2-day increase in heavy rainfall days	Revenue
Transition Risk	Policy	Stricter regulations, including emissions trading systems and the EU CBAM	Medium-/long-term	Potential carbon costs equivalent to paid allocations upon inclusion in the emissions trading system		OPEX
	Technology	Costs incurred for transitioning to low-carbon technologies, such as renewable energy	Short-/mid-/long-term	KRW 19.4 billion incurred in renewable energy transition costs (expected annual electricity cost savings of KRW 5.6 billion)	KRW 48.5 billion incurred in renewable energy transition costs (100% electricity cost savings expected)	CAPEX/OPEX
	Market	Increase in manufacturing costs, such as higher steel prices and electricity rates, due to stricter regulations	Short-/mid-/long-term	10% increase in energy unit prices, leading to an annual cost increase of KRW 1 billion Steel and aluminum prices expected to increase by 30% compared to current levels	Expected stabilization of power costs due to the transition to renewable energy; projected 2- to 2.5-fold increase in steel and aluminum prices	OPEX
Opportunities	Market	Increasing demand for eco-friendly products, such as hydrogen products	Medium-/long-term	Proportion of diesel trains to decrease to 55% by 2030, Accordingly, the global hydrogen tram market is expected to reach approximately KRW 4.7 trillion		Revenue

1) Short-term(1 year), medium-term(2-5 years), long-term(over 5 years)

Climate Change Response

Countermeasures for Climate-Related Risks

STRATEGY

Monitoring Workplace Energy Consumption

To maximize energy efficiency and achieve its energy consumption reduction targets, Hyundai Rotem continues to invest in improving energy efficiency, focusing on high-efficiency equipment and fuel transition. In 2025, the company replaced aging transformers in the Car Body Plant and Defense Plant 3 with high-efficiency equipment to minimize power loss. Additionally, as part of its fuel transition policy to reduce fossil fuel consumption, the company invested in replacing existing city gas heating (tube heaters) with high-efficiency electric HVAC systems powered by renewable energy. In 2026, the company plans to further strengthen its energy efficiency initiatives by expanding these systems to larger plants.

To improve operational efficiency, the company optimizes the temperature settings of ceiling tube heaters at the Changwon Plant without compromising productivity or quality. The company also minimizes unnecessary waste by managing the energy consumption of its painting and drying facilities, which account for over one-third of the plant's total LNG usage. Through these multifaceted initiatives, Hyundai Rotem continues to expand its greenhouse gas emission reductions.

Energy Efficiency Investments and Special Reduction Activities

Hyundai Rotem continues to invest in improving energy efficiency, focusing on high-efficiency equipment and fuel transition. In 2025, the company replaced aging transformers in the Car Body Plant and Defense Plant 3 with high-efficiency equipment to minimize power loss. Additionally, as part of its fuel transition policy to reduce fossil fuel consumption, the company invested in replacing existing city gas heating (tube heaters) with high-efficiency electric HVAC systems powered by renewable energy. In 2026, the company plans to further strengthen its energy efficiency initiatives by expanding these systems to larger plants.

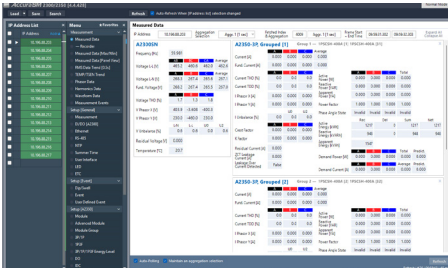
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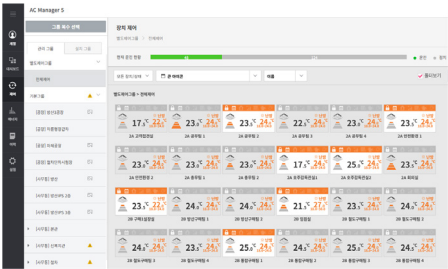
Electrical Equipment Monitoring Instruments



HVAC Monitoring Instruments



Measurement Data Collection Interface



HVAC Remote Control System



Car Body Plant Switchgear Room



Car Body Plant Transformer

Climate Change Response

Countermeasures for Climate-Related Risks

STRATEGY

Adoption of Renewable Energy

Hyundai Rotem is expanding renewable energy to achieve a 42% reduction in GHG emissions from the 2022 base year by 2030 and reach RE100 by 2040. In 2025, the company began generating its own renewable energy by installing solar panels on the roof of the Quality and Safety Center at the Changwon Plant, its core domestic production site, producing about 101 MWh that year. In December 2025, solar facilities were added on four more rooftops, bringing total capacity to 640 kW across five buildings — enough to self-generate about 1,000 MWh annually starting in 2026.

The company is also expanding renewable energy overseas. A 175 kW solar system now under installation at its U.S. electrical equipment plant will cover the facility’s entire electricity use, enabling RE100 there from 2026. In Korea, additional solar capacity covering 20% of the Changwon Plant’s electricity use will be added by 2026, as part of the ongoing expansion of renewable energy across domestic and overseas sites.



Quality and Safety Center



Main Building



Welfare Center · New Welfare Center



Electrical Equipment Plant

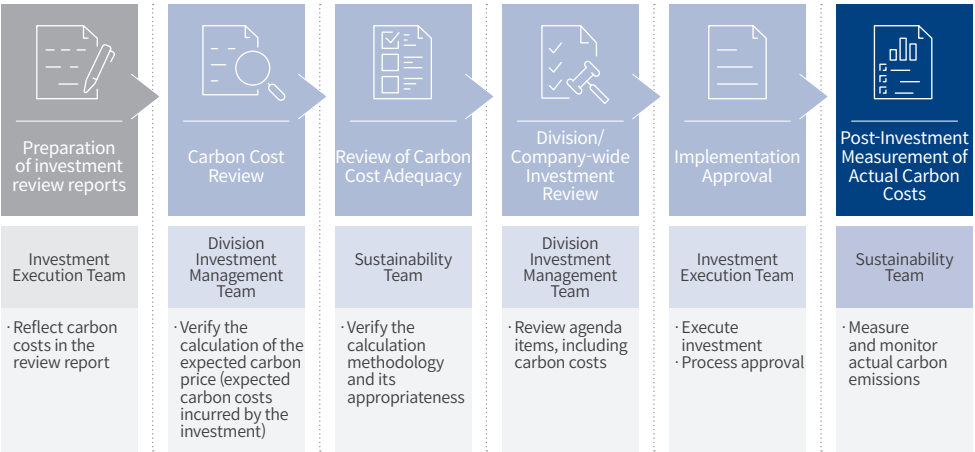
Life-cycle Greenhouse Gas Emissions Management

To advance the management of greenhouse gas emissions within its supply chain, Hyundai Rotem distributed a greenhouse gas emissions calculation tool to its suppliers and conducted group training sessions. In addition, the company is advancing high-efficiency product designs and expanding its hydrogen infrastructure offerings to reduce greenhouse gas emissions throughout the entire product lifecycle, from use to disposal. Through these efforts, Hyundai Rotem is committed to achieving its own net zero and contributing to the transition to a low-carbon society. To this end, the company measures and manages Scope 3 emissions across 13 of the 15 categories defined by the GHG Protocol.

Internal Carbon Pricing

In December 2025, Hyundai Rotem introduced an internal carbon pricing system and revised its investment budget management regulations to formalize the review of carbon costs in investment deliberations. This measure is designed to proactively respond to tightening carbon regulations and disclosure requirements while systematically integrating climate-related financial risks into the investment decision-making process. Starting in 2026, Hyundai Rotem will apply the internal carbon price to investment proposals of KRW 500 million or more that involve carbon-emitting activities directly related to product manufacturing. Using a shadow price approach, the company calculates carbon costs by factoring the useful life into the estimated annual carbon emissions of each investment, and incorporates these costs into investment review agendas to inform decision-making. Upon investment completion, the company plans to measure and monitor actual carbon costs to continuously improve the system’s effectiveness.

Investment Review Process Reflecting Internal Carbon Pricing



Climate Change Response

Climate Change Risk Management RISK MANAGEMENT

Climate-related Impact, Risk, and Opportunity Management Process

Hyundai Rotem recognizes the impact of climate change on its business operations and financial performance, and integrates climate-related physical and transition risks into its company-wide risk management system. The company continuously monitors climate change trends, legal and regulatory developments, stakeholder requirements, and industry responses to identify risks, and establishes response strategies by analyzing their impact on business activities.



Impact, Risk, and Opportunity Identification

Hyundai Rotem identifies the impacts of climate change on its business activities by categorizing them into physical and transition risks. Physical risks encompass direct damages to business operations caused by climate-related natural disasters. Transition risks arise during the shift toward net zero and a low-carbon economy, and are further subdivided into policy and regulatory, technological, market, and reputational risks. Furthermore, the company comprehensively analyzes potential opportunities that may arise while responding to climate change.

To comprehensively analyze climate-related impacts, risks, and opportunities, the company utilizes the IPCC’s SSP scenarios and scenarios provided by the IEA and NGFS. The SSP scenarios include SSP1-2.6, which assumes a 1.5°C limit, and SSP-8.5, which assumes current trends continue.

For IEA scenarios, the company utilized NZE, which assumes 2050 net zero, and STEPS, which reflects only current policies. For NGFS scenarios, the company applied the orderly transition and current policies scenarios. The company categorizes response strategies for identified risks and opportunities into short-term (within 1 year), medium-term (2 to 5 years), and long-term (over 5 years) timeframes, integrating them into its business strategy.

Impact, Risk, and Opportunity Analysis

The company analyzes how risks identified through climate scenario analysis impact its business activities and financial performance, and establishes tailored response strategies for each type of impact, risk, and opportunity. To ensure seamless alignment across business units, the ESG TF collaborates with the Corporate Transparency Management Team and other relevant departments to review regulatory risks and formulate response plans. Through cross-departmental collaboration, the company devises measures to transform risk factors into business opportunities, thereby strengthening its foundation for sustainable growth.

Assessment and Reporting

To ensure the effectiveness of its responses to climate-related impacts, risks, and opportunities, the company monitors implementation processes and evaluates performance, identifying progress against targets and areas requiring improvement. The Company reports key achievements, issues, and related implementation plans to the Board of Directors (BOD) annually, and the Board deliberates on climate risk-related agendas. Hyundai Rotem responds flexibly to changes by revising and refining its response strategies based on the evolving impacts of climate-related risks.

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Climate Change Response

Achieving 2050 Net Zero METRICS & TARGETS

Hyundai Rotem established its 2050 net zero strategy to respond to the transition to a low-carbon economy and create future growth opportunities. Through this strategy, the company is advancing Greenhouse Gas (GHG) reductions across its entire value chain, including its operations and supply chain. Furthermore, the company analyzes climate-related risks and opportunities that may impact its business, participates in global initiatives such as the Carbon Disclosure Project (CDP) and the Task Force on Climate-related Financial Disclosures (TCFD), and actively communicates with stakeholders.

Mid- to Long-Term Carbon Neutrality Roadmap

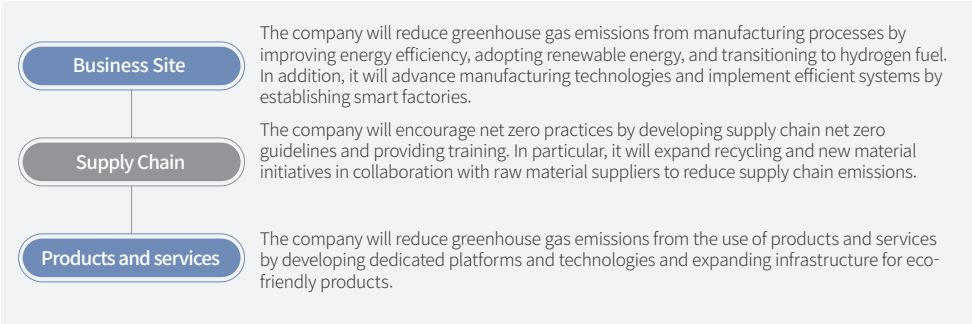
Hyundai Rotem has established a net zero roadmap that includes from Scope 1, 2 and 13 Categories of Scope 3¹⁾, aimed at achieving 2050 net zero, aligned with the scientific pathways outlined in the IPCC Special Report on Global Warming of 1.5°C. The company has set interim targets to reduce Scope 1 and 2 Emissions by 42% and Scope 3 Emissions by 25% by 2030, compared to the 2022 baseline. These reduction targets are based on absolute emissions. Subsequently, the company plans to complete the transition to RE100 across all sites by 2040 and achieve net zero GHG emissions by 2050. To achieve these targets, the company prioritizes direct reduction initiatives, including decarbonizing the product lifecycle, transitioning to low- and zero-carbon energy at its sites, investing in high-efficiency equipment, and expanding the use of renewable energy. For any residual emissions, Hyundai Rotem plans to utilize carbon credits. Hyundai Rotem has expanded the reporting scope for Greenhouse Gas emissions and energy data in 2025 to include all domestic and overseas sites, as well as subsidiaries, on a consolidated basis. Furthermore, the company plans to complete the revision of its net zero roadmap in 2026, expanding the organizational boundary to a consolidated basis that includes subsidiaries. By refining its emission reduction targets and overall implementation strategies, the company will further strengthen its climate response framework.

1) Of the 15 Scope 3 categories, Categories 10 and 14 are not applicable and, therefore, are excluded

Hyundai Rotem Net Zero Special Report

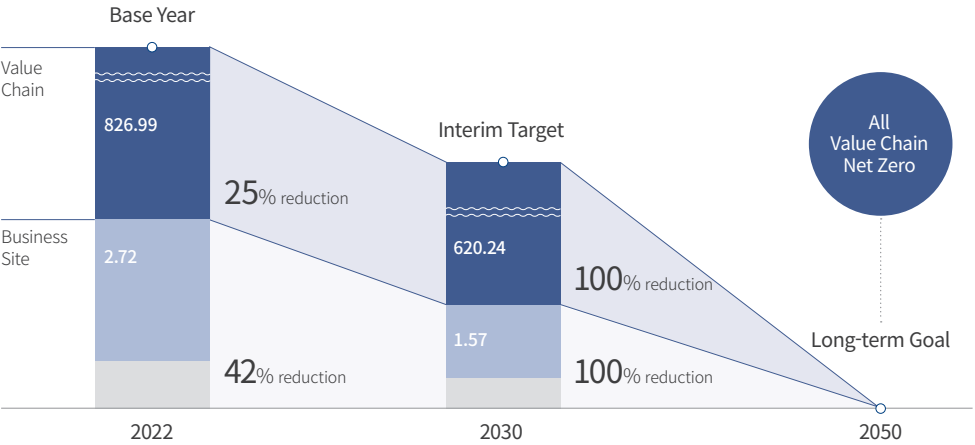
GHG Management Policy

Hyundai Rotem actively responds to climate change and has established practical greenhouse gas reduction measures to achieve its net zero target. In line with its site operation plans, the company has established and is committed to implementing greenhouse gas management and net zero policies that include transitioning from fossil fuels to electricity, introducing renewable energy, and engaging in carbon absorption and offset activities.

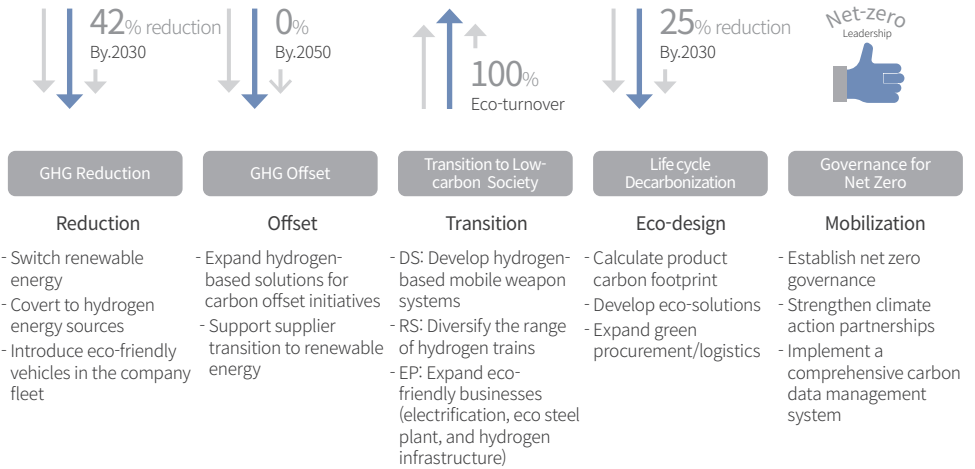


Mid- to Long-Term Net Zero Roadmap

(Unit: ten thousand tCO₂eq)



Key goals for Net Zero by 2050



Climate Change Response

Greenhouse Gas Emissions and Management METRICS & TARGETS

Greenhouse Gas Emissions Status

Hyundai Rotem has established an inventory to manage direct and indirect greenhouse gas emissions from its sites, tracking and managing its annual emissions. The company ensures reliability by obtaining third-party assurance for its measured emissions from specialized agencies. Furthermore, to align with global disclosure standards, the company calculated its company-wide emissions on a consolidated financial basis, including subsidiaries, starting in 2025.

Business Site Greenhouse Gas Emissions and Energy Consumption

In 2025, Hyundai Rotem generated a total of 29,372 tCO2eq of greenhouse gas (GHG) emissions within its organizational boundary, excluding subsidiaries. This total consisted of 8,894 tCO2eq in Scope 1 Emissions and 20,478 tCO2eq in Scope 2 Emissions. On a consolidated basis including subsidiaries, total company-wide GHG emissions amounted to 43,571 tCO2eq, comprising 8,922 tCO2eq in Scope 1 Emissions and 34,650 tCO2eq in Scope 2 Emissions.

Energy Consumption was 609 TJ excluding subsidiaries and 936 TJ on a consolidated basis including subsidiaries. Although absolute Greenhouse Gas Emissions (29,372 tCO2eq) and Energy Consumption (609 TJ) exceeded their targets due to increased business activities during the year, the company achieved meaningful progress by reducing emissions intensity from 6.3 tCO2eq/KRW billion to 5.0 tCO2eq/KRW billion year-over-year. Hyundai Rotem will continue to improve energy efficiency by establishing an effective reduction strategy that balances future production growth with its greenhouse gas reduction targets.

Business Site Greenhouse Gas Emissions and Energy Consumption (Scope 1 and 2)¹⁾

Category	2025 Emissions/Consumption Target	2025 Emissions/Consumption Status
Greenhouse Gas Emissions	26,598 tCO ₂ eq	29,372 tCO ₂ eq
Energy Consumption	543 TJ	609 TJ

1) Excluding subsidiaries

Life-cycle Greenhouse Gas Emissions

Hyundai Rotem measures and manages its Scope 3 Emissions based on the 15 categories outlined by the GHG Protocol. In 2025, the company expanded its Scope 3 Emissions management system to a total of 13 categories by newly including Upstream Leased Assets (Cat. 8), Downstream Transportation and Distribution (Cat. 9), Downstream Leased Assets (Cat. 13), and Investments (Cat. 15) in its calculation scope.

To advance greenhouse gas emissions management within its supply chain, Hyundai Rotem distributed a GHG emissions calculation tool to its suppliers and conducted group training sessions. Furthermore, the company is advancing high-efficiency product design and expanding hydrogen infrastructure products to reduce greenhouse gas emissions throughout the entire product lifecycle, from use to disposal. Through these efforts, the company is committed to contributing not only to its own net zero but also to the transition to a low-carbon society.

Lifecycle GHG Emissions (Scope 3)¹⁾ (Unit: tCO2eq)

Category	2023	2024	2025
1. Purchased Goods and Services	66,232	61,358	497,600 ²⁾
2. Capital Goods	140	54	76
3. Fuel- and Energy-related Activities (Not Included in Scope 1 or Scope 2)	2,847	2,912	3,411
4. Upstream Transportation and Distribution	53,949	44,453	40,427
5. Waste Generated in Operations	2,141	1,463	4,477
6. Business Travel	1,291	9,161	9,112
7. Employee Commuting	3,027	3,385	3,371
8. Upstream Leased Assets	-	-	116
9. Downstream Transportation and Distribution	-	-	465
10. Processing of Sold Products	-	-	-
11. Use of Sold Products	8,754,044	7,389,601	4,070,985 ³⁾
12. End-of-life Treatment of Sold Products	4,049	2,630	2,406
13. Downstream Leased Assets	-	-	73
14. Franchises	-	-	-
15. Investments	-	-	14
Total	8,887,721	7,515,017	4,632,534

1) Discrepancies in certain figures may occur due to rounding.
2) Emissions increased due to the expansion of the calculation boundary to all business divisions and a change in methodology from product sampling to a spend-based approach
3) Emissions decreased due to lower shipment volumes in the reporting period and the completion in the prior year of deliveries of products with high use-phase emissions.

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Resource Use

Expanding Resource Circulation STRATEGY

Establishing a Resource Circulation System

Hyundai Rotem is actively advancing the transition to a circular economy to reduce waste generated during business operations and maximize resource efficiency. The company has strengthened its resource circulation activities, including recycling synthetic resin waste, reducing cutting fluid waste, and fostering mutually beneficial cooperation with waste management companies. The company received external recognition for these achievements by winning the Presidential Commendation at the 19th Leading Circular Economy Companies Competition in 2025. Moving forward, the company remains committed to establishing a sustainable production system by advancing waste management and recycling policies and driving innovation in resource circulation technologies.

Expanding Recycling and Reuse

Hyundai Rotem implements systematic management measures to minimize waste generation and maximize resource recycling. The company enhances resource efficiency by actively sorting reusable items from business site waste. For example, the company repairs and reuses electronic waste, such as used laptops. In 2025, total waste generation reached 3,580 tons, achieving a waste recycling rate of approximately 83%. Revenue-based waste intensity also decreased year-over-year. The company will continue to strengthen a virtuous cycle in which improved productivity leads to reduced environmental impact.

Building on these achievements, the company established a mid-to-long-term goal to achieve a 90% waste recycling rate by 2027. To meet this target, the company plans to systematically implement initiatives such as building a waste inventory to track the entire lifecycle from generation to disposal, identifying new recyclable resources, and obtaining Zero Waste to Landfill (ZWTl) certification. To this end, the company monitors waste generation and recycling performance on a monthly basis while also ensuring the transparency and legality of the entire waste management process by conducting regular on-site audits and evaluations of third-party waste contractors. Going forward, Hyundai Rotem remains committed to establishing eco-friendly workplaces that lead the circular economy.

Plastic Reduction Activities

Amid growing demands for a resource circulation system to reduce and eliminate plastics, Hyundai Rotem is actively engaging in social solidarity for a sustainable future. The company participated in the launch of the ‘Plastic Circular Economy Transition Enterprise’ initiative, and the CEO personally joined the ‘Bye Bye Plastic Challenge.’ Going forward, Hyundai Rotem plans to continue its plastic pollution reduction efforts by establishing concrete plastic reduction targets and developing plans to expand reuse, such as recycling plastics generated in-house into new products.

Utilization of Waste Resources

Hyundai Rotem operates a waste sorting and reuse management system to repurpose workplace waste and minimize environmental impacts. The environmental department first evaluates manufacturing waste for potential reuse in other processes. Only when reuse is unfeasible does the company classify the material as waste and dispose of it in compliance with regulations. As a key circular economy initiative, the Changwon Plant and Uiwang site regenerate and recycle all spent activated carbon from their air pollution control facilities. Specialized vendors collect and reprocess the spent material for reuse as regenerated carbon. In 2025, the Changwon Plant recycled 144 tons—60% of its 240 tons of spent activated carbon—while the Uiwang site successfully regenerated and recycled 6.79 tons. Hyundai Rotem continuously monitors its waste reuse performance. Moving forward, the company is committed to diversifying recyclable items and gradually increasing its reuse rate to advance a circular economy.

Resource Use

Expanding Resource Circulation STRATEGY

Hyundai Rotem Eco-Design

Eco-Design is a design approach aimed at minimizing environmental impacts throughout a product’s entire life cycle by systematically integrating environmental factors during the design phase of products and services. Hyundai Rotem analyzes the entire product life cycle—from design and manufacturing to operation and disposal—to proactively predict and manage potential environmental impacts at each stage. To achieve this, the company utilizes Life-Cycle Assessment (LCA) and incorporates stakeholder requirements to establish core objectives from the initial design phase, which include improving energy efficiency, expanding resource circulation, and reducing noise, vibration, and pollution. Moving forward, the company will continue to advance the development of more sustainable products by embedding environmental considerations directly into the design process.

Life-Cycle Assessment

Hyundai Rotem is advancing its Life-Cycle Assessment (LCA) system to systematically manage the entire life cycle of railway vehicles, from design and manufacturing to operation and disposal. Building on the publication of the Environmental Product Declaration (EPD) for the Australian NIF project in 2021, the company partnered with the Korea Railroad Research Institute in 2023 on the Railway Vehicle Life-cycle Carbon Reduction Technology Development Project. Through this joint research project, Hyundai Rotem systematically collected environmental data and conducted an LCA for the GTX-A metropolitan express train. Based on these research outcomes, the company secured international environmental credibility in 2025 by obtaining ‘EPD Global’ certification for the GTX-A metropolitan express train, marking a first for domestically operated railway vehicles. Moving forward, Hyundai Rotem plans to minimize environmental impacts across the entire railway vehicle life cycle by developing eco-friendly technologies, while proactively responding to global environmental regulations by transparently disclosing key metrics such as its carbon footprint.

Promoting Green Purchasing

To minimize the environmental impact of its products, Hyundai Rotem practices green product purchasing across the entire product lifecycle—from raw material extraction to manufacturing, distribution, use, disposal, and recycling—selecting products that are harmless to human health and have a low environmental impact. In accordance with the Ministry of Environment’s “Green Product Purchasing Guidelines,” the company prioritizes the purchase of products with Environmental Product Declarations (EPD), Good Recycled (GR) certification, and low-carbon certification, while also building a collaborative ecosystem across the supply chain for the development and production of eco-friendly products. In particular, Hyundai Rotem is establishing an eco-friendly supply chain management system by signing eco-friendly parts supply agreements with its suppliers, having concluded agreements with a total of 1,239 companies in 2025.

Green Purchasing

Category	Unit	2023	2024	2025
Green Purchasing	KRW 100 million	403.8	85.7	113.5

Resource Use

Environmental Impacts and Risk Management at Business Site

RISK MANAGEMENT

Establishing Eco-friendly Business Sites

Hyundai Rotem is committed to minimizing its environmental impact on the areas surrounding its sites. To this end, the company applies internal management targets for pollutant emissions that are stricter than legal requirements, and continuously invests in strengthening the management of environmental pollutants and hazardous substances by expanding eco-friendly facilities and upgrading existing equipment.

Environmental Impacts and Risk Management at Business Sites

Hyundai Rotem clearly recognizes and systematically manages the risks that water and air pollutants from its business operations pose to employee health, local ecosystems, and corporate reputation. To fundamentally mitigate these environmental risks, the company has established and is implementing a mid-to-long-term environmental pollutant reduction plan in phases across its domestic sites, including the Changwon Plant, Dangjin Plant, and Uiwang site. To achieve these targets, the company operates IoT-based monitoring systems at its air emission facilities for real-time management, taking continuous action to minimize environmental risks.

Environmental Pollutants Risk Assessment

Air and Water Pollutants		
Risks	· Impact on local communities due to pollutant emissions	· Decline in biodiversity due to habitat destruction
Response Strategies	· Management targets set at 20% or less of legal limits	· Reducing pollutant emissions and mitigating impacts

Hazardous Chemical Reduction Activities

In 2025, Hyundai Rotem implemented multifaceted improvement initiatives to reduce pollutants. To minimize hazardous chemicals, the company optimized the dosage of wastewater treatment chemicals and successfully mitigated process risks by replacing caustic soda, a hazardous chemical, with sodium aluminate. Through these efforts, Hyundai Rotem consistently maintains pollutant emissions across all sites below legal limits.

Hazardous Chemical Risk Management

Hyundai Rotem systematically manages the potential risks associated with hazardous chemicals used throughout its operations. Key risks include increasingly stringent regulations, the potential impact of chemical accidents on community health, resulting civil and criminal liabilities, and damage to corporate reputation. To proactively prevent and control these risks, the company operates a Chemical Pre-approval System across all sites. Through this system, all chemicals undergo a hazard assessment prior to use. If a substance is classified as toxic, restricted, prohibited, or requiring accident preparedness, the company restricts its purchase and use, prioritizing the search for safe alternatives that pose no harm to human health or the environment. As part of its efforts to actively identify safe alternatives, the company replaced caustic soda—a high-risk substance previously used for pH neutralization in wastewater treatment plants—with relatively safer sodium aluminate. Through the continuous management and substitution of hazardous chemicals, Hyundai Rotem is committed to fostering a safe and responsible workplace environment.

Resource Use

Performance and Targets for Expanding Resource Circulation METRICS & TARGETS

Waste Management Plan

Hyundai Rotem set a target to achieve an 80% company-wide recycling rate by 2025, and exceeded this target by recording a waste generation of 3,580 tons and a waste recycling rate¹⁾ of 83% in 2025. By site, waste generation amounted to 3,133 ton (87% recycling rate) in Changwon, 331 ton (66%) in Dangjin, and 116 ton (14%) in Uiwang. Revenue-based Waste Intensity is also trending downward year-over-year, and the company will continue to strengthen a virtuous cycle in which productivity improvements lead to a reduced environmental impact.

Building on these achievements, the company established a mid- to long-term target to achieve a 90% Waste Recycling Rate by 2027. To meet this goal, we will systematically implement initiatives, including establishing a waste inventory to track the entire process from generation to disposal, identifying new recyclable resources, and acquiring Zero Waste to Landfill (ZWTL) certification.

Category	2025 Short-term (Introduction)	2026 Mid-term (Expansion)	2027 Long-term (Application)
Waste	· Transitioning landfilled waste (wastewater treatment sludge) to recycling · Investigating waste generation by process	· Transitioning incinerated waste to recycling · Improving waste generation processes	· Acquiring waste recycling certification · Achieving a 90% waste recycling rate

1) Based on GRI 306-3 standard, including material recycling and energy recovery

Raw and Subsidiary Material Consumption¹⁾

Category	Unit	2023	2024	2025
Steel scrap	tons	29,069	27,753	29,832
Paint		277	264	270
Overall		29,346	28,017	30,102

1) Based on Changwon Plant data (As the Dangjin Plant and Uiwang site only perform assembly without processing, reporting is limited to items registered in the Changwon Plant's environmental information disclosure system.)

Total Waste Recycling Rate¹⁾

Category	Unit	2023	2024	2025
Waste Subtotal	ton	3,905	3,487	3,580
Recycling Subtotal	ton	2,932	2,752	2,969
Recycling Rate	%	75	79	83
Revenue (Separate)	KRW billion	3,498	4,323	5,695
Waste Intensity	tons/KRW billion	1.12	0.81	0.63

1) Data based on all plants (Changwon, Dangjin, Uiwang)

Water Consumption Management Plan

Hyundai Rotem recognizes water as a critical resource and implements systematic management to reduce consumption and increase reuse. In 2025, the company set a Water Consumption target of 364,439 tons, a 5% reduction year-over-year. We successfully achieved this goal, with actual consumption reaching 312,986 tons.

As a key initiative, the company is continuously reducing water loss from leaks by replacing aging water supply pipes. Following replacements at the Changwon Defense Plant (150m) in 2023 and the main power room (120m) in 2024, the company completed replacing a 150m section connecting the defense and rail plants in 2025. These phased improvements have saved an average of approximately 5,400 tons of water per month. Furthermore, the Uiwang site plans to prevent leaks by replacing aging pipes in line with a mid-to-long-term plan.

In addition, to expand water reuse, the company has quantitatively tracked reuse volumes since 2024. In 2025, we reused a total of 9,049 tons of water at our railway vehicle leak testing facility. Moving forward, we plan to further enhance resource efficiency by expanding the application of water reuse systems to the tank submersion testing facility.

2025 Water Consumption Status

2025 Water Consumption Target	Water Used in 2025	Water Reused in 2025	2025 Water Reuse Rate
364,439 tons	312,986 tons	9,049 tons	3 %

Resource Use

Workplace Environmental Impact Management Performance and Targets

METRICS & TARGETS

Environmental Pollutant Reduction Performance and Targets

Hyundai Rotem operates a process to monitor implementation status and effectively achieve its environmental goals. To comply with legal standards, worksites inspect environmental impact factors, including water quality, air emissions, and waste, on a weekly basis. The company also monitors and reports relevant data in real time through the Stack Emission Management System (SEMS)¹⁾ and the Environmental Information Management System. The Company operates 59 dust collection facilities, which serve as its primary air pollution control system, and maintains optimal operating performance through weekly area-specific inspections. As part of a short-term pollutant reduction plan, the company invested approximately KRW 92 million to upgrade aging wastewater treatment facilities, thereby preventing potential environmental accidents. Specifically, the Uiwang site plans to establish a real-time air pollutant monitoring system using IoT sensors by 2026, replace activated carbon twice a year, and conduct biannual water pollutant measurements through a specialized agency. Furthermore, to manage environmental risks within the supply chain, the company conducts annual written due diligence to collect and review environmental data from its suppliers.

1) Uiwang site is classified as a Class 5 facility and is excluded from Stack Emission Management System (SEMS)

Water and Air Pollutant Emissions in the Past 3 Years

Category		Unit	2023	2024	2025
Air Pollutants (Changwon, Dangjin, Uiwang)	NOx (Nitrogen Oxides) ¹⁾	kg/yr	1,073	1,000	441
	SOx (Sulfur Oxides)		161	2	12
	Dust		3,709	3,282	3,570
Water Pollutants (Changwon, Uiwang)	BOD ²⁾		120	117	104
	TOC (Total Organic Carbon)		160	85	73
	SS (Suspended Solids)		107	64	39

1) Restatement of 2024 NOx data of Dangjin Plant
2) BOD is limited to emissions from the Changwon plant

Mid- to Long-Term Water and Air Pollutant Management Plan

Category	Short-Term 2025 (Introduction)	Mid-Term 2026 (Expansion)	Long-Term 2027 (Application)
Water	- Monitoring wastewater generation processes - Improving wastewater treatment chemicals	- Improving wastewater generation processes - Manage discharge targets by facility - Maintaining emission concentrations at or below 20% of the legal limit	- Establish a wastewater reuse process - Improving efficiency of wastewater treatment facilities and processes - Maintaining discharge concentrations below 20% of the legal limit
Air	- Conducting detailed inspections of aging and low-efficiency air pollution control facilities - Recalculating replacement cycles for consumables (e.g., activated carbon)	- Analyzing the operational status of air pollution control facilities - Installing digital differential pressure gauges - Maintaining emission concentrations at or below 20% of the legal limit	- Enhancing environmental facility monitoring (IoT) - Air pollution control facilities pretreatment facility maintenance/improvement - Improving post-paint drying efficiency - Maintaining emission concentrations at or below 20% of the legal limit

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Protection of Natural Capital

Preserving Natural Capital and Ecosystems

STRATEGY

RISK MANAGEMENT

Biodiversity and Deforestation Prevention Policy

Hyundai Rotem established the Biodiversity Protection Policy and the Deforestation Prevention Policy to prevent potential biodiversity degradation and loss across its business operations, and to conserve, restore, and expand biodiversity in local communities. Under these policies, the company has set No Net Loss of biodiversity and No Net Deforestation as its fundamental goals. Over the mid-to-long term, the company is implementing conservation and restoration activities to achieve a Net Positive Impact on local biodiversity. Furthermore, Hyundai Rotem collaborates with stakeholders, including suppliers and partners, to promote the importance of biodiversity protection and forest conservation throughout the entire value chain.

- Biodiversity Protection Policy
- Deforestation Prevention Policy

Identifying Natural Capital Dependency and Impacts

Hyundai Rotem assesses its business dependency and impacts on natural capital across its domestic and overseas sites, and identifies risks that could affect its operations. First, the company investigated whether its sites are located within Key Biodiversity Area (KBA) habitats and identified the status of endangered species on the International Union for Conservation of Nature (IUCN) Red List. Additionally, the company verified whether its sites are situated in water-stressed areas according to the World Resources Institute (WRI) water risk map, and comprehensively analyzed its Natural Capital Dependency and impacts using the ENCORE (Exploring Natural Capital Opportunities, Risks and Exposure) Tool.

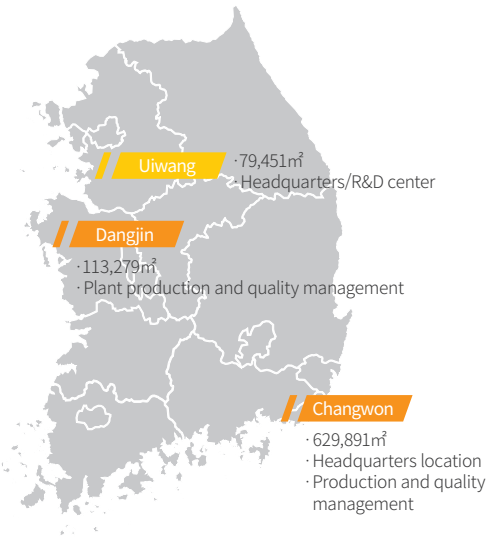
To assess actual natural capital risks at each site, the company analyzed Pressures on Biodiversity using the Biodiversity Risk Filter of the WWF (World Wide Fund for Nature). Hyundai Rotem plans to expand this methodology across its entire value chain to establish a natural capital risk management system covering all processes.

Although the assessment did not identify any biodiversity-related risks requiring an immediate response, Hyundai Rotem recognizes the potential impact of its business activities on biological habitats. To offset these impacts, the company continues to implement biodiversity conservation activities and plans to establish a biodiversity management system for areas near its overseas sites.

Pressures on Biodiversity^{1), 2)}



Very High High Medium Low Very Low



1) Disclosure of the area (m²) of the overseas site with the highest biodiversity pressure and the site size (m²) of domestic sites
2) Only business sites with biodiversity pressure levels of Very High ~ Medium are marked on the map

Protection of Natural Capital

Preserving Natural Capital and Ecosystems

RISK MANAGEMENT

Results of Applying the LEAP Assessment Methodology

Category	Locate	Evaluate	Assess	Prepare
Assessment Method	- Identified the physical locations of all sites owned by Hyundai Rotem (23 sites) - Use area data from World Database on Protected Areas (WDPA) to determine whether the sites are located in natural capital protection areas, such as water resources, biodiversity, and forests	- Identify potential dependencies and impacts on natural capital that may arise during business activities - Screened overall risks based on the industries corresponding to the RS, DS, and EP businesses using the ENCORE Tool	- Utilized the WWF Risk Filter to identify actual risks by considering site locations and regional characteristics - Assessed the probability of actual risk occurrence in 4 areas identified as potential dependencies and impacts: water resources, pollutants, natural disasters, and light pollution.	- Investing in roof repairs for aging facilities to prevent equipment damage from typhoons (targeted for completion across all plants by 2032) - Established action guidelines linked to warning systems and built an emergency response system, focusing on sites in Northeast Asia with a high probability of typhoons - Making phased investments to replace aging facilities across all sites to prevent environmental pollutant leaks caused by facility operation errors (targeted for completion by 2035) - Established a response system and regularly conducts preventive training to minimize leaks and damage in the event of an environmental accident
Assessment Results	- No sites are located within protected areas - Although some sites were identified within a 5km radius of protected areas, all such sites were confirmed to be small branches or offices.	- Identified ratings of Medium or higher out of 5 levels as potential risks - Dependencies on a total of 6 natural elements, including water resources, soil, and natural disaster prevention, were identified. - Identified 3 primary factors: pollutant emissions, water consumption, and light/noise pollution.	- Classified items scoring 4 or higher out of 5 in the risk assessment as high-probability risks. - Identified the financial impact on the company in the event of a risk at each site. - Classified as risk if the projected financial risk exceeded quantitative thresholds, and establish and implement corresponding response strategies.	

Detailed Results of Risk Assessment on Natural Capital and Ecosystem Preservation

Risk List ¹⁾	Risks and Opportunities	Financial Impact upon Occurrence	Type of Financial Impact	Biodiversity Impact
Drought	25% decrease in plant utilization rate due to water scarcity	0.1% decrease in annual revenue	Revenue	Expected decline in biodiversity as water depletion causes local species to migrate or decline for survival
	Suspension of plant operations due to water scarcity	Up to KRW 260 million in alternative water resource costs	OPEX	
Natural disasters	Suspension of site operations due to landslides	0.02% decrease in annual revenue (assuming a 7-day operation suspension)	Revenue	Expected decline in species due to habitat destruction in nearby areas affected by natural disasters
	Suspension of site operations due to wildfires	0.001% decrease in annual revenue (assuming a 1-day operation suspension)	Revenue	
	Suspension of site operations due to typhoons	0.5% decrease in annual revenue (assuming a 2-day operation suspension)	Revenue	
	Roof damage caused by typhoons	Up to KRW 23.4 billion in repair costs	CAPEX	
Pollutant generation	Mandatory replacement of aging pollution control facilities	Up to KRW 9.2 billion in replacement costs for aging facilities	CAPEX	Expected decline in species due to increased pollution levels in habitats
	Exceeding emission limits due to aging facilities, resulting in a 10-day operation suspension	2.7% decrease in annual revenue (assuming a 10-day operation suspension)	Revenue	

1) Light and noise pollution were excluded as the assessment determined they are not material risks

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Special Feature 1. RISK MANAGEMENT

Environmental | “Uiwang Poil Wetland Restoration Project” - Restoring the habitat of the Class II endangered narrow-mouthed toad and operating ecological education programs

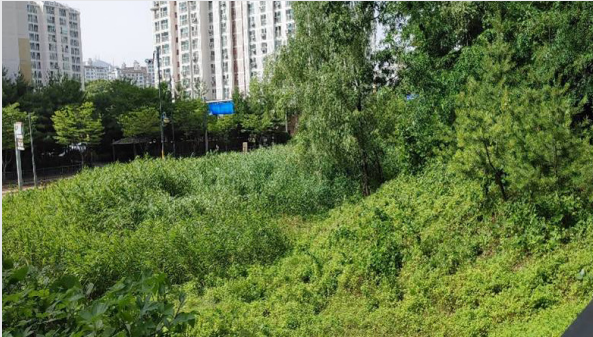
Special Feature

Driven by the growing global importance of corporate biodiversity conservation, as highlighted by the release of the TNFD (Taskforce on Nature-related Financial Disclosures) recommendations, Hyundai Rotem has integrated this commitment into its core operations. As its new flagship Social Contribution initiative, the company is advancing the ‘BLUE Re-BORN’ project, the Uiwang Poil Wetland Restoration Project. This project aims to preserve green spaces threatened by urban development and restore the health of the local ecosystem by rebuilding the habitat of the narrow-mouthed toad, a Class II endangered species.

In 2025, Hyundai Rotem built a public-private partnership with Uiwang City, Jeil Engineering, and Eco Buddy, and successfully completed Phase 1 of the wetland restoration, covering approximately 7,135 m², creating the environment essential for the spawning and habitat of the narrow-mouthed toad and the Genji firefly, both Class II endangered species. From 2026, the company plans to move forward with Phase 2, focused on stabilizing the restored wetland and expanding its biodiversity value. This will begin with strengthening systematic ecosystem monitoring in partnership with experts, including tracking quarterly changes in the narrow-mouthed toad population, removing invasive species, and regularly analyzing surrounding vegetation and water quality. The company also plans to launch ecological education programs for the local community, such as “Poil Wetland: A Story of Revived Life.” Hyundai Rotem will do its utmost to ensure this project becomes a leading ESG management model — one that goes beyond environmental protection to grow together with the local community and build a sustainable future.

Panoramic View

Habitat Protection Activities



Weakened ecological functions and inadequate management due to the proliferation of non-wetland plants

Habitat Protection Activities



Restored ecological functions by recovering native wetland vegetation and creating habitats for endangered species

Ecological Learning Site



Established a ‘Hyundai Rotem Ecological Landmark’ by creating specialized ecological learning spaces, including pergolas and photo zones

Protection of Natural Capital

Special Feature 2. RISK MANAGEMENT

Changwon Biodiversity Council Activities – Advancing Habitat Conservation Activities

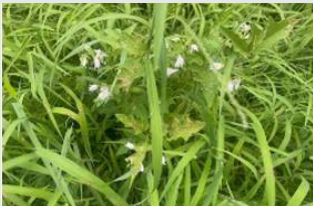
Special Feature

Hyundai Rotem signed an MOU with the Changwon Biodiversity Council and is conducting habitat protection activities near its worksites to minimize the impact of its pollutants on biodiversity. From 2023 to 2025, the company conducted habitat protection activities for toads, a protected species under the Wildlife Protection and Management Act, and expanded habitat surveys for the endangered clithon retropictus, identifying additional habitats in Namcheon near the Changwon Plant. As a result of these efforts, the company achieved positive outcomes, including an increase in the population of these species and enhanced species diversity.

Habitat Protection Activities



- 1) Toad Habitat Conservation Activities
- Conducted weeding at the artificial wetland (1,700㎡) in the Ramsar Ecological Park
 - Conducted weeding at the Toad spawning grounds within the artificial wetland



- 2) Removal of Invasive Plants in Toad Habitats
- Removed Carolina horsenettle, an invasive plant species, within the Ramsar Ecological Park

Outcomes



- 1) Toad Habitat Conservation Activities
- Population increased by 258% compared to 2023, prior to the start of protection activities
 - Confirmed an improvement in the male-to-female ratio

Category	2023	2024	2025
Population*	12 pairs	19 pairs	43 pairs
Female-to-male amplexus ratio	1 : 10	1 : 5	1 : 4

* Single individuals not recorded



- 2) Endangered Species Habitat Survey Activities
- Confirmed the presence of 40 clithon retropictus, which were not observed in 2023 prior to the conservation activities

Category	2023	2024	2025
Number	0	35	40

Green Management

Green Economic Activities

STRATEGY

K-Taxonomy Applied Methodology and Results

Hyundai Rotem reviewed its business activities under the Korean Green Taxonomy (K-Taxonomy) framework in preparation for its 2026 Sustainability Report disclosure.

The scope of the review included the Rail Solution and Eco Plant business divisions, as well as a portion of the civil business within the Defense Solution business division. Activities such as the supply of zero-emission railway vehicles including EMUs and trams, hydrogen charging infrastructure, biogas-based hydrogen extraction facilities, and EV component manufacturing were identified as taxonomy-eligible green economic activities.

Regarding the calculation of financial KPIs, according to the usage guidelines for the K-Taxonomy guidelines supplemented and published by the Ministry of Climate, Energy and Environment in December 2025, the proportion of Green Economic Activities at the corporate level can be calculated by dividing the revenue related to economic activities that meet the criteria for Green Taxonomy by the total Revenue. Hyundai Rotem calculated the Revenue¹⁾ KPI in accordance with these criteria. For CapEx²⁾ and OpEx³⁾, as no separate criteria are provided in the Green Taxonomy guidelines, the financial KPI criteria of the EU Taxonomy Disclosure Delegated Act (Commission Delegated Regulation (EU) 2021/2178) were applied mutatis mutandis.

The company complies with domestic and international laws and regulations related to climate change, environment, human rights, labor, safety, and anti-corruption in the process of performing Green Economic Activities, and no grounds for disqualification were found as a result of the review. The financial KPIs⁴⁾ for 2025, which correspond to Green Taxonomy and were calculated according to the above procedures, are as follows.

- Revenue 37% / CapEx 15% / OpEx 41%

- 1) The Revenue KPI was calculated by using the sum of revenue lists by project on a separate basis for the controlling company (KRW 5,667.1 billion) as the denominator, in accordance with the revenue management criteria by project for each business division.
- 2) The CapEx KPI was calculated by using the statement of assets acquired and registered during the current period (sum of tangible assets, intangible assets, and construction-in-progress of KRW 198.6 billion) as the denominator, and the same criteria were applied to the numerator.
- 3) Among OpEx, R&D expenses were calculated based on Ordinary Development Expenses within selling, general, and administrative expenses, following a re-examination based on items that meet the definitions under the K-Taxonomy and the EU Taxonomy Disclosure Delegated Act. As the methodology has changed compared to the previous year, the figures for the past three years have been recalculated based on the same criteria.
- 4) These Green Taxonomy financial KPIs are figures calculated by the company on its own without separate external accounting verification, and the company plans to improve the calculation methodology and receive verification in accordance with the introduction of a future verification system.

2025 Hyundai Rotem K-Taxonomy-eligible Economic Activities

(Unit: KRW 100 million, %)

Category			Revenue		CapEx		OpEx		
			Amount	Proportion	Amount	Proportion	Amount	Proportion	
K-Taxonomy-eligible Economic Activities			20,928	36.9	296	14.9	251	41.4	
Green Sector	Common	A. Industry	(2) Manufacturing of innovative materials, parts, and equipment	102	0.2	-	-	30	5
		B. Research & Development	(1) Research•Development• Demonstration	16	0.0	-	-	11	2
	GHG Reduction	B. Power Generation-Energy	(3) Hydrogen Production	98	0.2	-	-	12	2
			(23) Construction, Retrofitting, and operation of waste heat and cold energy supply Infrastructure	668	1.2	-	-	-	-
		C. Transportation	(1) Manufacturing of zero-emission vehicles, rolling stock, etc.	19,955	35.2	296	14.9	194	32
			(3) Construction and operation of zero-emission transportation infrastructure	90	0.2	-	-	4	1
K-Taxonomy-ineligible Economic Activities			35,743	63.1	1,690	85.1	355	59	
Total			56,671	100.0	1,986	100.0	606	100.0	

KPIs for K-Taxonomy-eligible Economic Activities in the Past 3 Years

Category		2025					2024					2023				
		Total	Eligible		Non-eligible		Total	Eligible		Non-eligible		Total	Eligible		Non-eligible	
			KRW 100 million	%	KRW 100 million	%		KRW 100 million	%	KRW 100 million	%		KRW 100 million	%	KRW 100 million	%
Revenue	Total	56,671	20,928	37%	35,743	63%	43,766	16,465	38%	27,301	62%	35,874	16,660	46%	19,214	54%
	DS	32,151	113	0.4%	32,038	99.6%	23,652	97	0%	23,555	100%	15,536	14,529	94%	1,007	6%
	RS	19,203	19,171	99.8%	32	0.2%	14,956	14,914	100%	42	0%	15,781	120	1%	15,661	99%
	EP	5,317	1,644	31%	3,673	69%	5,158	1,455	28%	3,703	72%	4,557	2,011	44%	2,546	56%
CAPEX	Total	1,986	296	15%	1,690	85%	1,150	531	46%	620	54%	843	293	35%	549	65%
	Acquisition of Tangible Assets	1,626	253	16%	1,373	84%	810	431	53%	379	47%	547	138	25%	409	75%
	Acquisition of Intangible Assets	360	43	12%	317	88%	340	100	29%	241	71%	296	155	52%	141	48%
OPEX	Total	606	251	41%	355	59%	468	265	57%	203	43%	555	278	50%	277	50%
	R&D Expenses	606	251	41%	355	59%	468	265	57%	203	43%	555	278	50%	277	50%

SOCIAL

As a trusted partner, Hyundai Rotem aims to coexist harmoniously with its employees, local communities, and the global community. To realize these values, the company systematically manages human rights risks based on the Human Rights Charter and D&I Policy, and through regular human rights impact assessments, protects all employees' human rights.

Furthermore, the company sets safety as its top management priority and implements systematic safety and health activities, while promoting healthy and sustainable growth through organizational culture innovation. In addition, the company strives to fulfill its corporate social responsibility by building strong partnerships with domestic and global suppliers and engaging in continuous social contribution activities.

Moving forward, Hyundai Rotem will continue to grow alongside all stakeholders and practice responsible management to ensure a better life for humanity.

Woman / Jang-wook Lee, Hyundai Rotem Employee

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Human Rights

Human Rights and Expanding Diversity

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Human Rights Management Policy

Human Rights Charter

Hyundai Rotem established the Human Rights Charter to rigorously implement human rights management, prevent potential human rights violations across its business operations, and minimize associated risks. The Charter is fundamentally aligned with international standards, including the Universal Declaration of Human Rights, the UN Guiding Principles on Business and Human Rights, and the core conventions of the International Labour Organization (ILO). Furthermore, Hyundai Rotem establishes the cultivation of a family-friendly culture as a core management value. Guided by these principles, the company operates employee support programs that exceed legal requirements, fostering a secure environment where employees can fully engage in their work.

The Human Rights Charter applies to all employees (including executives, regular, and non-regular employees) of Hyundai Rotem, as well as those at its domestic and overseas production and sales subsidiaries, sub-subsidiaries, and joint ventures. Furthermore, Hyundai Rotem employees strictly adhere to the Charter's principles when engaging with supply chain partners and performing sales and service-related duties. The company also actively encourages its business stakeholders to share and uphold the core values of the Charter.



Human Rights Charter

D&I Policy

Hyundai Rotem has established a Diversity & Inclusion (D&I) Policy to foster an organizational culture that encourages creative and innovative thinking while ensuring respect for employees from diverse backgrounds. This policy applies to all employees—including executives, regular, and non-regular staff—across all domestic and overseas sites, as well as personnel at subsidiaries, sub-subsidiaries, and joint ventures. Furthermore, the scope of this policy extends to various stakeholders impacted by Hyundai Rotem's products and services, including customers, suppliers, and local communities. Accordingly, Hyundai Rotem strictly prohibits discrimination based on gender, age, race, disability, nationality, religion, educational background, or employment type, and continuously strives to build a work environment where employees from diverse backgrounds can freely demonstrate their capabilities.



D&I Policy

Human Rights Training

Workplace Sexual Harassment and Bullying Prevention Training

In accordance with Article 13, Paragraph 1 of the Equal Employment Opportunity Act and Article 76-2 (Prohibition of Workplace Harassment) of the Labor Standards Act, Hyundai Rotem conducts annual workplace sexual harassment and workplace harassment prevention training for all employees. In 2025, the company provided online training for all employees, and it remains committed to preventing sexual harassment and workplace harassment while ensuring appropriate measures are taken should any issues arise.

Workplace Disability Awareness Training

Hyundai Rotem conducts annual disability awareness training for all employees in accordance with Article 5-2 (Workplace Disability Awareness Training) of the Act on the Employment Promotion and Vocational Rehabilitation of Persons with Disabilities to realize the values of diversity and inclusion and foster an organizational culture that equally respects employees with and without disabilities.



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Human Rights and Expanding Diversity STRATEGY

Human Rights Management Improvement Activities and Performance

Hyundai Rotem is advancing various initiatives to improve disability awareness and foster an inclusive organizational culture. In 2025, the company hosted an in-house exhibition featuring artists with disabilities, providing a platform for communication to help employees develop an unbiased perspective on disabilities through art in their daily lives. Additionally, the company featured Boccia¹⁾ athletes in an internal promotional video to showcase the limitless potential and passion of individuals with disabilities, thereby fostering positive awareness among employees.

1) Boccia: A ball sport designed for individuals with severe physical disabilities and cerebral palsy. Adopted as an official Paralympic sport in 1984, the game is won by throwing balls toward a target ball and scoring points based on which balls are closest to the target.



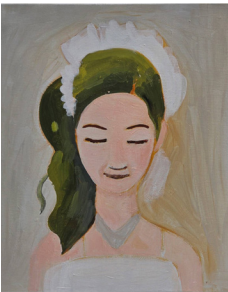
Kang Mi-rae, Train



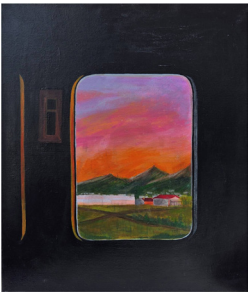
Yang Se-yeon, Landscape



Jeon Hye-ryeong, Joy



Lee Jang-wook, Woman



Kang Mi-rae, Journey



Shim Shin-seop, Landscape

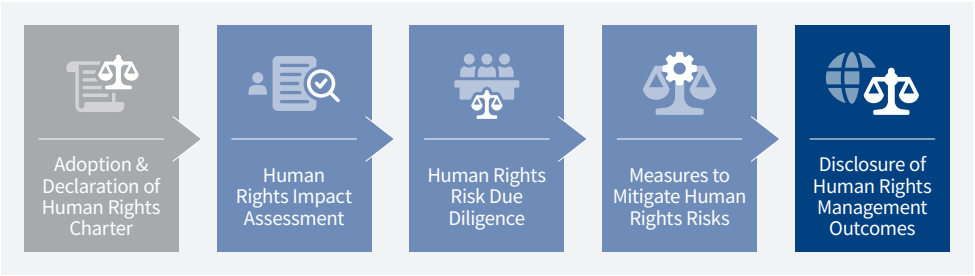
* Artwork by an artist is used as a design element in the sustainability report

Human Rights Risk Management RISK MANAGEMENT

Human Rights Risk Management

Human Rights Risk Management Process

Hyundai Rotem operates a systematic Risk Management System based on the Human Rights Charter to respect and protect the human rights of its employees. The company regularly conducts human rights impact assessments to preemptively identify potential human rights risks across its business operations. For areas identified as requiring improvement, the company implements practical corrective measures and provides necessary support to mitigate risks. Furthermore, the company continuously enhances its human rights risk management framework by monitoring rapidly changing social demands and internal and external environmental shifts to identify key human rights issues and swiftly integrate them into its management system. A dedicated human rights management department oversees this entire process and transparently shares the results of these activities with stakeholders.



Response to Global Human Rights and Supply Chain Regulations

Hyundai Rotem is proactively responding to increasingly stringent human rights due diligence regulations worldwide in line with its global business expansion. To comply with these regulations as a company subject to Australia’s Modern Slavery Act and Canada’s Act on the Eradication of Forced Labor and Child Labor (Bill S-210), the company publishes its “Human Rights and Supply Chain Transparency Statement”²⁾ on its official website, detailing its human rights management strategies and supply chain risk management performance. In particular, in 2025, the company expanded its scope of application to the U.S.

The company expanded its scope to include the California Transparency in Supply Chains Act, strengthening efforts to meet global standards for eradicating severe human rights violations such as forced labor and human trafficking. The Board of Directors (BOD) annually reviews human rights and supply chain risk strategies and implementation performance and strictly deliberates and approves this statement.

2) Major countries, including Australia, Canada, and the United States, require companies to publish annual statements detailing their risk management efforts and performance to eradicate severe labor exploitation, such as modern slavery, forced labor, and human trafficking.

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Human Rights Risk Management

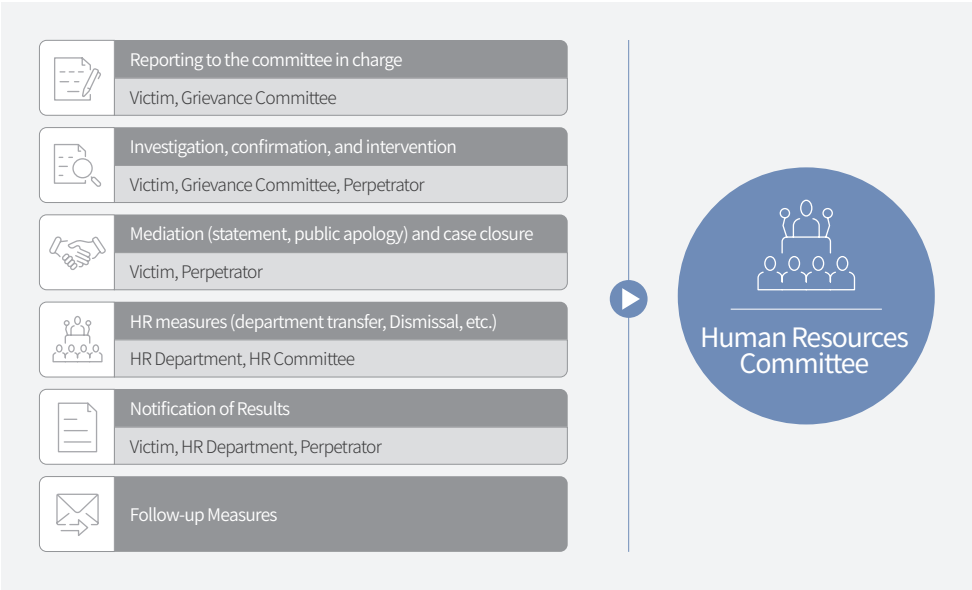
Human Rights Violation Reporting System

To systematically identify and resolve human rights grievances from employees and various stakeholders, Hyundai Rotem operates internal and external human rights reporting channels and the online whistleblowing channel across its domestic and overseas sites. These channels include reporting to supervisors, the HR department, e-HR Internal Grievance Counseling, and other avenues. Upon receiving a report, the relevant department develops a specific action plan based on the nature of the issue, while the reporter’s personal information and all related details are kept strictly confidential.

In particular, the company promptly resolves severe issues that could pose reputational risks by expanding the scope of its response through the Human Resources Committee. In operating the committee, the company protects employees’ human rights prior to any disciplinary action by maintaining strict confidentiality and guaranteeing opportunities for defense that exceed legal requirements. This establishes a foundation for mature labor-management relations built on trust and respect. In 2025, the company received a total of five reports of human rights violations—four domestic and one overseas—and fully resolved them within the same year in accordance with its principle of immediate response.

 Online Reporting

Reporting System Process



Human Rights Impact Assessment

Human Rights Impact Assessment System

As part of its human rights management, Hyundai Rotem has conducted annual human rights impact assessments since 2021 to proactively identify risks and implement improvement measures, thereby continuously strengthening its human rights management. Based on the fundamental principles of the Human Rights Charter, the assessment consists of 21 indicators across 10 human rights management areas. The company surveys all domestic and overseas employees to assess human rights risks affecting various stakeholder groups, including employees, local communities, and suppliers across the value chain. If the negative response rate¹⁾ for any indicator exceeds 10%, the company classifies it as high-risk and implements corrective measures.

In 2025, the company expanded the assessment scope beyond domestic sites to include six overseas branches (New Zealand, Australia, India, Taiwan, the Philippines, and Egypt), conducting on-site due diligence and interviews at the Taiwan and Philippines locations. Although the assessment identified no significant issues, the company defined vulnerable stakeholders as female employees, older workers, personnel in high-risk roles, and non-regular workers. The company subsequently conducted in-depth interviews with these stakeholder groups to identify and assess potential human rights risks. Moving forward, the company will continue its human rights protection activities by implementing horizontal training programs.

1) Negative response rate: Percentage of respondents who answered “Poor” or “Very Poor” (Positive responses: “Excellent,” “Good,” “Average”)

10 Key Areas of Human Rights Impact Assessment	21 Key Indicators
1. Adoption of Policies and Systems for Human Rights Management	① Declaration of a Human Rights Policy ② Regular Implementation of Human Rights Impact Assessments ③ Implementation of Human Rights Management Procedures and Responsible Organizations
2. Basic Human Rights of Employees	① Prohibition of Disrespectful or Threatening Actions (including harassment) ② Prohibition of Unfair Treatment of Stakeholders (e.g., suppliers) ③ Prohibition of Sexual Harassment
3. Non-discrimination in Employment and Performance of Work	① Non-discriminatory Employment and Work Practices ② Prohibition of Unfair Requirements for Female Employees in Hiring ③ Prohibition of Discrimination against Foreign Workers
4. Prohibition of Forced Labor	① Prohibition of All Forms of Forced Labor ② Prohibition of Requiring Submission of ID or Passport for Restrictive Purposes
5. Prohibition of Child Labor	① Verification of Legal Working Age through Identification Documents ② Prohibition of Employment of Underage Workers (under 15, including students under 18 who are still enrolled in school)
6. Occupational Safety	① Provision of a Safe and Hygienic Working Environment ② Provision of Protective Equipment and Safety Training ③ Regular Medical Examinations ④ Provision of Support Programs for Occupational Accidents
7. Protection of Human Rights of Local Communities and Vulnerable Groups	① Operation of Social Contribution Programs for Local Communities
8. Protection of Customer Rights	① Establishment of Product and Service Safety and Quality Assurance Systems
9. Responsible Supply Chain Management	① Monitoring Compliance with Human Rights Requirements in the Supply Chain
10. Environmental Rights Protection	① Transparent Disclosure of GHG Emissions, Pollutants, and Resource Use

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Human Rights

Human Rights and Expanding Diversity RISK MANAGEMENT

Human Rights Impact Assessment

| 2025 Human Rights Impact Assessment Results

The 2025 assessment results showed an overall positive response rate of 83.4%, an increase of 3.6%p year-over-year. All assessment areas recorded a negative response rate of less than 10%, and no specific risks were identified.

Three-Year Human Rights Impact Assessment Response Trends

	Category	2023	2024	2025	Year-over-year
Results	Response Rate	12.5%	15.9%	6.8%	↓9.1%p
	Positive Response Rate	76.4%	79.8%	83.4%	↑3.6%p
	Negative response rate	6.7%	4.3%	3.7%	↓0.6%p

| Remedial Actions Based on Human Rights Impact Assessments

As the negative response rate remained below 10% across all areas, no specific risks were identified. However, the company reviewed the detailed results for two areas with slightly higher negative response rates exceeding 5%: ‘Basic Human Rights of Employees’ and ‘Responsible Supply Chain Management’. The review identified notable feedback in the ‘Prohibition of Disrespectful or Threatening Actions (including harassment)’ indicator (8.1% negative response rate). In 2025, the company produced and distributed the ‘HR Compliance Handbook’ to enhance management’s understanding of compliance, and promoted grievance procedures and proper codes of conduct to foster a sound organizational culture. Going forward, the company will advance company-wide, prevention-focused activities to ensure no high risks are identified across any evaluation categories.

Human Rights and Expanding Diversity METRICS & TARGETS

Human Rights Management Improvement Activities and Performance

Hyundai Rotem continuously enhances its human rights management strategy based on the results of its annual human rights impact assessment. The company strengthens improvement initiatives in areas with below-average positive response rates to drive tangible improvements in organizational culture. To enhance accessibility for human rights grievances, the company operates the e-HR Internal Grievance Counseling system year-round and has introduced the mobile Happy Mint Counseling Service, providing a secure, 24/7 framework for employees to seek counseling at any time.

The company continues to expand employment opportunities to foster diversity and inclusion. In 2025, the number of female employees reached 263, representing a year-over-year increase of over 24%. Furthermore, the company promotes shared growth with local communities by collaborating with the Gyeonggi-do Sports Association for the Disabled, the Yongin Suji Welfare Center for the Disabled, and the Korea Employment Agency for Persons with Disabilities to hire 16 athletes and artists with severe disabilities. The artists’ works are featured in internal exhibitions to promote an inclusive corporate culture and share the value of diversity. Additionally, the company hires three to five veterans and people of national merit annually through a special employment program for veterans. Moving forward, Hyundai Rotem will further strengthen its initiatives across training, support, and hiring to firmly embed diversity and inclusion throughout its organizational culture.

| Human Rights Management Improvement Targets and 2025 Activities

Hyundai Rotem’s mid-to-long-term human rights management goals include actively recruiting young talent while continuously increasing new female hires and the Female Employee Ratio to manage company-wide diversity and inclusion targets. In addition, the company aims to continuously expand human rights due diligence, which was previously limited to select overseas sites.

In-house Program	Management of Non-discrimination Targets
Improving In-house Program Operations to Improve Human Rights · Operating an e-HR Internal grievance counseling window (ongoing) · Operating the Happy Mint Counseling service (improved accessibility by using a third-party service provider and improved convenience by introducing a mobile app that can be accessed 24 hours a day) · Distributing HR compliance violation casebooks and conducting offline training · Providing mandatory statutory training on sexual harassment and workplace bullying	Managing Company-wide Diversity and Inclusion Targets · Targeting a female employee rate of 6% by 2027 and 6.25% by 2032 · Reaching the mandatory employment rate for people with disabilities by 3.1% or higher · Increasing the employment rate of veterans and people of national merit to 4% · Expand the coverage of human rights impact assessments - 2025: All domestic sites and six major overseas sites - 2026: All domestic sites and eight major overseas sites - 2027: All domestic sites and ten major overseas sites

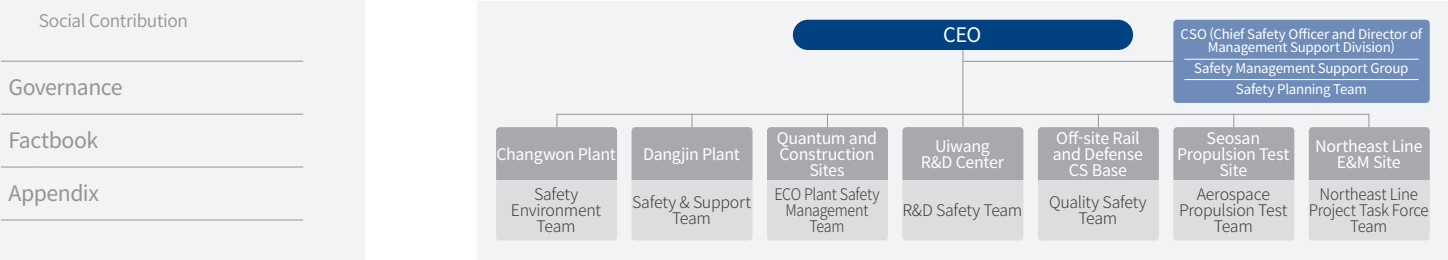
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Safety and Health

Advancing Safety and Health Management GOVERNANCE

Safety and Health Management Organization

Hyundai Rotem practices governance-driven health and safety management, with the Board of Directors (BOD) reviewing related issues at least biannually. Under the oversight of the Board of Directors, the company reinforces executive accountability by incorporating health and safety metrics, such as the Industrial Accident Rate and budget execution rate, as core evaluation criteria for the performance bonuses of the CSO (Chief Safety Officer) and heads of each business division. In 2025, the company completely restructured its company-wide health and safety organization to solidify its safety management system and eliminate operational blind spots. The company established a regional health and safety management framework to clarify site-specific roles and responsibilities. To support this, the company created two new health and safety teams and hired 14 additional dedicated personnel compared to the previous year, further enhancing its expertise.



Dedicated Safety and Health Management Committees

Hyundai Rotem holds a monthly Safety and Health Management Meeting chaired by the CEO to strengthen top management’s leadership and accountability in safety and health management. The CSO (Chief Safety Officer) and heads of each business divisions. attend these meetings to report and review the implementation status and plans for safety management within their respective divisions. The company systematically manages major risks by discussing changes in the domestic and global safety environments, company-wide safety indicators, and incident cases in depth. Furthermore, the company continuously operates an SNS-based emergency response room to swiftly identify and share daily safety activities and key issues, thereby solidifying a site-centric, company-wide safety management system.

Industrial Safety and Health Committee

Hyundai Rotem holds quarterly Industrial Safety and Health Committee meetings at each site, comprising equal representation from labor and management, to foster a safe and healthy work environment through close collaboration. Beyond addressing the mandatory agenda items required by the Occupational Safety and Health Act, the committee serves as a platform for practical discussions on enhancing employee health and welfare. Notably, in 2025, the committee thoroughly discussed and devised improvement measures for various initiatives to broadly support employee health rights. These included subsidizing additional health screening items, providing detailed functional tests for employees with abnormal findings in special health screenings, expanding the distribution of protective equipment such as prescription safety glasses, and increasing the provision of seasonal gear to prevent heat- and cold-related illnesses.

Advancing Safety and Health Management STRATEGY

Management and Evaluation of the Safety and Health Management System

Safety and Health Management System Evaluation

To ensure the objectivity and reliability of its health and safety management system, Hyundai Rotem operates a dual verification system comprising internal audits by in-house auditors and annual external audits by international certification bodies. Based on the comprehensive evaluation results of these audits, the company establishes specific improvement plans and proactively analyzes potential risk factors to systematically implement improvement measures across its facilities, processes, and work methods.

ISO 45001:2018 (Safety and Health Management System) Certification

Hyundai Rotem maintains ISO 45001:2018 certification for its domestic sites (Uiwang, Changwon, and Dangjin) and its overseas site in Türkiye. As of 2025, the ISO 45001 certification rate for key sites is 100%.

Safety and Health Management Certification Status of Key Sites As of December 2025

Category	Number of applicable sites	Number of certified sites	Certification rate (%)
Domestic sites ¹⁾	3	3	100%
Overseas sites ^{2), 3)}	1	1	100%
Total	4	4	100%

- 1) Changwon Plant, Dangjin Plant, Uiwang Site
2) Türkiye Plant
3) Pursuing certification for new sites (U.S. and Australia) to be established in 2025

ISO 45001:2018 Certification Scope

Category	Scope of Certification
Changwon	· Design, development, and manufacturing of railway vehicles, railway systems, and railway services · Design, development, and manufacturing of tanks, Wheeled Armored Vehicles, simulation training equipment, heavy equipment transport trailers, and decontamination equipment
Uiwang	· Design and development of diesel electric locomotives, diesel multiple units, passenger cars, freight cars, electrical multiple units, high-speed trains, light rail vehicles, maglev trains, and railway vehicles
Dangjin	· Steelmaking facilities (blast furnace, sintering, steelmaking, continuous casting, rolling, and oxygen facilities), cement facilities (cement production and lime calcination facilities), logistics facilities (belt conveyors, stackers and reclaimers, coal handling systems for thermal power plants, and radioactive waste handling systems), environmental facilities (water purification, wastewater treatment, waste treatment, air pollution control, and desalination facilities), automotive production facilities (handling equipment for body, paint, and assembly shops, automated warehouses and sub-assembly handling systems, and powertrain handling equipment), · Project management, design, development, manufacturing, construction, operation and maintenance of airport facilities (boarding bridge, baggage conveyor system)
Türkiye	· Manufacturing, testing, commissioning, and maintenance of railway vehicles



Safety and Health

Advancing Safety and Health Management

STRATEGY

HSE Vision

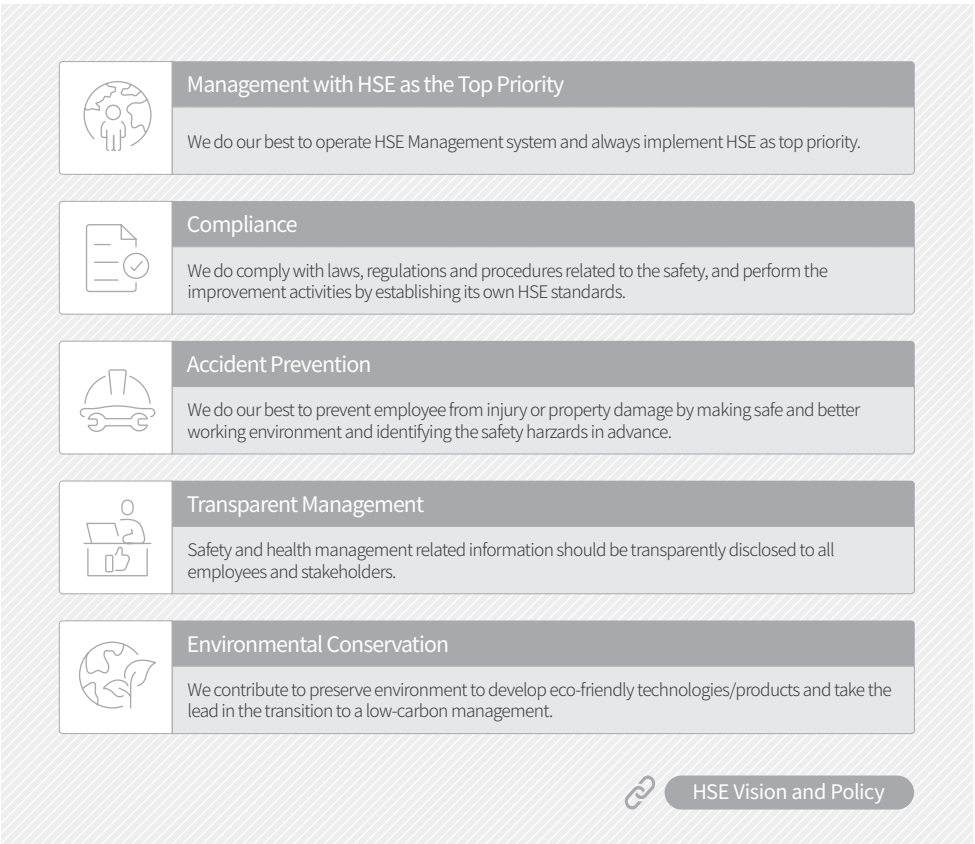
Hyundai Rotem has established its HSE (Health, Safety, Environment) management vision as “establishing a safe workplace that always put employee and environment first.” To achieve this, the company has introduced and is implementing five key objectives and 15 strategic initiatives. The company continuously strives to create a safe workplace by annually reviewing the progress and performance of these initiatives and updating them as necessary.



HSE Management Policy

Hyundai Rotem defines Health, Safety, and Environment (HSE) as its highest priority for sustainable growth. Based on this management philosophy, the company established its HSE Policy and five core principles, which outline the responsibilities and duties of all employees and supplier personnel. Under this policy, an integrated safety management system and site-focused protection procedures apply equally to all on-site personnel, ensuring a safe and healthy work environment.

HSE Management Policy



Safety and Health

Safety and Health Activities and Programs STRATEGY

Company-wide Safety and Health Activities

Hyundai Rotem is solidifying its safety-first management system. Driven by the Safety Management Meeting chaired by the CEO, the company implements multifaceted activities to internalize a company-wide safety culture. The company conducts regular training to raise employee safety awareness and implements accident prevention activities at each site. Additionally, the company provides comprehensive health checkups for employees and operates medical and security support programs for overseas expatriates. Hyundai Rotem also conducts ongoing health and safety evaluations of suppliers to elevate safety standards across the entire business ecosystem, including the supply chain.

The company continuously communicates internal and external safety and health trends by sharing key regulatory updates, domestic and international accident cases, and global infectious disease information through its monthly safety and health newsletter, and by providing overseas medical reports via the internal safety and health bulletin board.

Company-wide Safety and Health Activities

Category	Activities	Frequency
Safety and Health Committee	Safety Management Meeting Led by the CEO	Monthly
	Safety and Health Council Led by Business Division Heads	Monthly
Safety Inspections	Workplace Safety Inspections Led by Management	Weekly
	Safety inspections led by the head of each business division	Monthly
	Workplace safety inspections led by headquarters	Ad hoc
Safety Training	Safety and health training for new hires	Upon hiring
	Regular safety and health training	Monthly
	Safety and health training for expatriates, dispatched employees, and business travelers	Ad hoc
	Safety awareness training (executives, managers, etc.)	As needed
Overseas medical and security support	Medical and security advisory for expatriates, their families, business travelers, and dispatched employees	Ad hoc
	Training on local safety and security conditions at overseas sites	Ad hoc
	Comprehensive medical checkups for employees	Annually
Safety and health campaigns	Safety and health campaigns for all employees and suppliers	Ad hoc
Safety and health assessments for contractors	Safety and health assessments for qualified contractors	Prior to transaction

Intensive Management of High-Risk Safety and Health Tasks

Hyundai Rotem implements various systems to intensively manage high-risk operations. To strengthen the management of high-risk construction projects, the company enforces enhanced safety and health review procedures during the contract bidding phase and provides safety and health support upon the commencement of construction. Furthermore, the company has developed and deployed a system to enhance the monitoring of external construction sites. The company classifies tasks with a high risk of falling, electric shock, or collision—such as working at heights, electrical work, and dispersed operations—as high-risk operations, deploying dedicated safety watchers to closely supervise these specific tasks. To raise safety and health awareness and improve management standards, the company conducts specialized safety and health training for construction site managers and workers, and has developed and distributed a safety and health guide tailored to the construction industry.

Support for Overseas Sites and Employees

As its overseas operations expand, Hyundai Rotem is committed to implementing safety and health management systems at all international sites that are equivalent to its domestic standards. In 2025, the company conducted HSE Audits at major overseas sites, including those in Poland, Türkiye, Taiwan, and the Philippines. Through these audits, the company thoroughly assessed each site’s safety management system and completed corrective actions for on-site risk factors. Furthermore, the company closely reviews compliance with local safety and health regulations while distributing English versions of its company-wide safety and health manuals and procedures to ensure consistent management based on global standards. To prevent major industrial accidents and ensure worker safety, the company is advancing various initiatives, including providing customized safety and health training for overseas employees and business travelers, upgrading medical kits, conducting continuous monitoring, and operating an emergency response system.

Overseas Medical and Security Support System

To systematically protect the health and safety of its overseas employees, Hyundai Rotem has partnered with International SOS, a global medical and security specialist, since 2017. Through this partnership, the company operates an uninterrupted 24/7 global support network, ensuring that overseas personnel have access to expert assistance anytime and anywhere. Medical support encompasses comprehensive services ranging from emergency consultations to local hospital referrals, appointments, and interpretation assistance. For security, the program offers proactive risk management services, including real-time local intelligence analysis, 24-hour security consultations, and emergency evacuation support.

Safety and Health Activities and Programs STRATEGY

Health Promotion Programs and Facilities

| Safety and Health Idea Contest

2025

HYUNDAI
ROTEM

아전보건 2025 아이디어 공모전

2025.7.1.(수) ~ 7.31.(목)

참가자격

전국대졸 및 임직원, 협력업체 직원

참가주제

- ① 공터지에 여방
- ② 스마트 안전기술 개발
- ③ 안전문화 내성화
- ④ 안전관 리자율화 조성
- ⑤ 기타 안전취업의 안전문화 확산을 위한 아이디어

참가기준

- ① 재직/재학기간 : 사업장 재직 3개월 초과
- ② 경력제한 : 재직/재학 기간은 10년 이하로 함
- ③ 대상직종 : 위험도 높은 직종인 건설, 제조업 직종
- ④ 연령제한 : 사업장 재직 가능 범위
- ⑤ 참가자격 : 안전분야 안전문화확산(대안) 작품상 수상 대상

참가기간

2025.7.1.(수) ~ 7.31.(목)

참가방법

9월 중

상장금

최우수상 300만원(1명)

우수상 100만원(2명)

장려상 50만원(3명)

※ 우수 아이디어 100건에 대한 안전기술 개발

참사방법

06099-1235 (safety@hyundai-rotem.com.kr)
 ※ 참가자 : 2025년 12월 15일(수) 발표는 안전문화
 (안전문화) 발표 (안전문화)

문의처 안전기획팀 구경호 대표 | e-mail : kooja@hyundai-rotem.com.kr | TEL : 031-8090-8113

Near Miss Reporting System

Hyundai Rotem implemented the Near Miss Reporting System to proactively identify and mitigate potential risks, preventing unsafe conditions or behaviors from escalating into serious accidents. To enhance accessibility, the company established diverse reporting channels—including the HSE system, a mobile portal, and QR codes—allowing all personnel, from employees to supplier workers, to easily report hazards. The company systematically categorizes reported near misses by risk level rather than merely recording them. For incidents classified as high-risk, the company conducts separate risk assessments and strictly oversees follow-up management, from identifying hazards to implementing corrective actions. In 2025, a total of 452 near misses were reported. The company actively fosters a proactive, worker-led safety culture by recognizing and rewarding teams and individuals who significantly contribute to preventing potential industrial accidents.

Heat-related Illness Prevention Activities

Hyundai Rotem conducted systematic inspections and various campaigns to prevent heat-related illnesses during extreme heat periods. Prior to the peak heatwave season, the company inspected all sites to ensure the adequate provision of water, ventilation, shade, rest breaks, and cooling equipment. The company proactively identified high-risk workers and established comprehensive operational plans for the season, including protocols for managing vulnerable personnel and responding to confirmed or suspected cases of heat-related illness. Throughout the summer, the dedicated safety and health team conducted unannounced inspections to continuously monitor compliance with these plans and verify the implementation of on-site measures. In addition, the company launched health campaigns at each site to promote overall well-being and encourage voluntary participation in preventive activities among employees, on-site suppliers, and construction workers.

Safety and Health

Safety and Health Activities and Programs

STRATEGY

Safety and Health Activities by Sites

Hyundai Rotem systematically operates customized accident prevention and employee health and safety management programs tailored to the specific characteristics of its plants, R&D centers, and construction sites.

Category	Activity	Frequency
 Plants and R&D Centers	Industrial Safety and Health Council/Committee	Monthly, Quarterly
	Risk Assessment	Annually and as needed
	Safety Inspections for Internal and External Suppliers	Quarterly
	Comprehensive Fire Response Drills	Semi-annually
	Safety Awareness Campaigns	As needed
	Safety Awareness Training for Supervisors	Quarterly
	Regular and Special Safety and Health Training	As needed
	Work Environment Assessments	Semi-annually
	In-depth Safety Inspections for R&D Centers	Annually
	Musculoskeletal hazard assessment and disease prevention	Once every three years and as needed
 Construction sites	Implementing a reward system (For individuals and contractors with outstanding safety performance)	As needed
	Conducting morning assemblies and pre-work TBMs	As needed
	Conducting new employee, regular, and special safety training	Monthly and as needed
	Conducting safety inspections led by site managers	Weekly
	Industrial Safety and Health Committee	Quarterly
	Conducting emergency evacuation, firefighting, and rescue drills	As needed
	Conducting process-specific risk assessments	As needed
	Conducting daily on-site safety inspections	As needed
	Inspecting safety blind spots (using drones)	As needed
	Providing VR training on on-site risk factors	As needed

Excellent Safety Management Research Laboratories

Since 2024, Hyundai Rotem has earned the Excellent Laboratory in Safety Management certification, administered by the Ministry of Science and ICT, for its research laboratories. The company obtained certification for two laboratories in 2024 and an additional two in 2025, bringing the total to four certified facilities. Furthermore, in 2025, the Company received the Minister of Science and ICT Award after being selected as the top facility among all certified Excellent Laboratories in Safety Management.

Smart Stop-Work System for Hazardous Operations

Hyundai Rotem has established a system by installing a smart hazardous work stoppage program that immediately alerts managers when workers exercise their right to stop work, enabling swift on-site management and response. The company installed fixed and mobile work stoppage buttons at the Uiwang R&D Center. When activated, these buttons trigger on-site warning lights, sirens, and broadcast announcements while simultaneously sending real-time emergency alerts, including location details, to the smartphone apps of safety managers and supervisors.



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Safety and Health Activities and Programs STRATEGY

Safety and Health Training

Occupational Safety and Health Training

Hyundai Rotem conducts industrial safety and health training to foster a culture where all employees internalize and voluntarily practice safety. The company invites external experts to train all executives, including the CEO, on the importance of safety leadership and culture, and provides customized capacity-building training for safety and health managers and personnel at each site. Notably, in 2025, the company reinforced the importance of safety management by launching a safety experience program for site safety maintenance personnel in collaboration with an external safety and health training center, featuring simulated accident experiences and hands-on first aid training.

In addition, the Changwon Plant has strengthened its management of high-risk operations by providing specialized safety training for workers handling heavy loads with magnetic lifts. The company also mandates occupational safety and health training for all new hires prior to job placement to ensure they recognize on-site risk factors in advance.

2025 Employee and Supplier Safety and Health Training Details		
Regular safety and health training	Laboratory Safety Act Training	VR Safety and Health Training*
Supervisor Training	Fire Safety Training	Special Training for High-Risk Work
MSDS Training	New Hire Training	Safety Leadership Training*
Statutory Training for Appointed Personnel	Special Safety and Health Training	Safety Maintainer Training*
Serious Accidents Punishment Act Training	Risk Assessment Training	First Aid Training
Emergency Response Training and Drills	Safety Experience Training	High-Risk Work Training
Specialized Training for Construction Sites	Safety Awareness Training	

* Non-statutory training

Supplier safety and health management RISK MANAGEMENT

Safety and Health Management System Inspection

Led by a dedicated company-wide safety and health organization, Hyundai Rotem systematically manages on-site risks and continuously advances its safety and health management system. To ensure compliance with the Serious Accidents Punishment Act and enhance the effectiveness of safety and health management for 2025, the company improved its HSE Audit system. Based on the manuals and procedures updated in 2024, the company comprehensively revised and newly established 13 subordinate guidelines. Moving beyond traditional regular and special inspections, the company implemented unannounced and continuous inspections to internalize on-site safety management. Hyundai Rotem also strengthened inspections of new construction projects and external worksites to eliminate potential blind spots in safety management. In terms of health management, the company further protects employees' right to health by strengthening chemical management, follow-up measures for working environment assessments, and follow-up care systems for employees with abnormal health examination results.

Risk Assessment and Accident Investigation

To establish an effective safety and health management system, Hyundai Rotem conducts annual risk assessments and evaluates and manages associated risks in the event of an incident. To ensure the effectiveness of these assessments, the company conducted team-level audits after providing safety training to supervisors, all employees, and suppliers. As of 2025, the company has completed 100% of the improvement measures for critical risk factors identified in 2024. Key improvements include equipment modifications, structural upgrades, work method changes, and the fabrication of specialized tools, all of which contributed to fundamentally eliminating risk factors and enhancing workplace safety.

To ensure the objectivity and reliability of the assessments, the company engaged an external specialized agency to verify the overall risk assessment system at the Changwon Plant. Through this verification, the company confirmed the adequacy of its risk assessment organization and the effectiveness of measures for critical high-risk tasks, while identifying areas for future improvement. Following the assessment, the company distributed team-specific risk assessment booklets to internalize safety awareness on-site.



Incident Response Process



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Supplier safety and health management RISK MANAGEMENT

Supplier Safety and Health Management System

Hyundai Rotem is strengthening its safety management policies to ensure a safe working environment for all personnel. The company publishes and distributes a ‘Safety and Health Guidebook’ to current and prospective suppliers, detailing essential safety information such as HSE (Health, Safety, Environment) policies and vision, site-specific emergency contacts, safety guidelines for hazardous operations, and required personal protective equipment. Additionally, the company conducts safety and health training for on-site suppliers and continuously monitors their compliance with safety management policies.

Furthermore, the company participates in the ‘Large and Small Business Shared Growth Cooperation Program’ alongside the government, its parent company, and suppliers to provide practical support for enhancing supplier safety and health standards. In 2025, the company conducted consulting on establishing safety and health management systems for three in-house and two external suppliers. In total, the company supports the safety and health activities of 27 internal and external suppliers as part of its ongoing efforts to strengthen safety capabilities across the entire supply chain.

| Safety and Health Consultative Body

Hyundai Rotem holds monthly Safety and Health Consultative Body meetings to establish a safety culture based on close communication and mutual cooperation with suppliers. The consultative body serves as a regular forum to transparently share key information, including recent legislative amendments, safety incident response measures, internal regulation updates, and accident case studies. Acting simultaneously as a two-way collaboration channel to hear supplier requests and jointly explore solutions, the company enables the collaborative management and proactive resolution of on-site safety issues.

| Proactive Accident Prevention

Hyundai Rotem leverages close partnerships with its suppliers to jointly ensure workplace safety. The company conducts quarterly joint safety inspections with representatives from all suppliers. Suppliers perform self-inspections to proactively identify and eliminate hazards, while the company rigorously verifies the execution of these inspections, the completion of pre-work training, and compliance with safety protocols during operations. Any hazards identified during inspections must be addressed immediately. To ensure responsible safety management, the company and its suppliers jointly track these issues until they are fully resolved. In particular, the company operates a Safe Work Permit System for high-risk, non-routine tasks such as construction, maintenance, inspection, and repair. By approving work only after jointly analyzing potential risks and establishing preventive measures, the company and its suppliers collaborate to prevent accidents at their source.

Supplier Safety and Health Assessment

| Regular Supplier Safety Assessment

Hyundai Rotem systematically manages safety levels across its supply chain by conducting safety and health evaluations for contractors at least biannually at the Changwon Plant, Dangjin Plant, and Uiwang site. The company conducts these evaluations using a checklist of key safety management items, including the completion of safety and health training, proper use of personal protective equipment (PPE), Material Safety Data Sheets (MSDS), risk assessments, safety and health document management, and safety incident history. Based on the evaluation results, the company provides practical incentives to top-performing suppliers to encourage voluntary safety management efforts, while supporting suppliers that require improvement to continuously and practically enhance their capabilities through improvement plans and follow-up inspections.

| Qualified Contractor Evaluation System

Hyundai Rotem operates the Qualified Contractor Evaluation System for current and prospective suppliers to proactively assess and improve their safety and health management levels. This system evaluates suppliers’ industrial accident prevention capabilities based on their submitted safety and health management plans, and was conducted on a total of 423 companies in 2025. This year, the company enhanced the objectivity of the evaluation by standardizing quantitative evaluation criteria and providing detailed guidelines, thereby supporting suppliers in independently establishing robust safety management plans. Based on the evaluation results, suppliers scoring below 70 points are restricted from participating in bidding. For those failing to meet the standards, the company provides continuous feedback to help them improve their safety management levels.

Supplier Safety and Health Training

Hyundai Rotem conducts quarterly safety and health training for all suppliers to enhance safety awareness and strengthen management capabilities among their employees. The company provides online training to promptly share updates on regulations, such as the Serious Accidents Punishment Act, along with safety policies and work procedures. Additionally, the company hosts an annual ‘Supplier Capacity Building Seminar’ at major hubs, including Suwon and Changwon, to deliver in-depth training. For the 2025 seminar, the company invited external experts to emphasize improving safety mindsets and establishing an autonomous safety culture. In addition to quarterly programs, the company conducted special training sessions at each site. These initiatives aim to go beyond mere regulatory compliance, such as responding to the Serious Accidents Punishment Act, to internalize a safety-first mindset actively practiced on-site.

Safety and Health

Health & Safety KPI Management METRICS & TARGETS

Safety and Health Management Goals

Hyundai Rotem has established a three-year mid-to-long-term health and safety plan for 2025 to 2027 to strengthen its systematic health and safety management system. The plan sets key safety performance targets of continuously reducing the Lost Time Injury Frequency Rate (LTIFR). To achieve these goals, the company has structured its detailed annual implementation plans and execution tasks across three areas—health and safety systems, safety culture, and safety education—and developed specific action plans for each. Moving forward, Hyundai Rotem will enhance its execution capabilities and operate a continuous monitoring and feedback system to ensure this mid-to-long-term plan delivers tangible results.

Mid- to Long-Term Safety and Health Plan

				2025	2026	2027
Targets for Prevention of industrial accidents				· 5% Reduction in injury rate compared to previous year · LTIFR 1.02	· 5% Reduction in injury rate compared to previous year · LTIFR 0.97	· 5% Reduction in injury rate compared to previous year · LTIFR 0.92
Detailed Implementation Plans and Tasks	System		· Develop an HSE system · Risk assessment system and safety and health document management system · Revise safety and health operational standards · Manuals, procedures, and guidelines	· Introduce the next-generation HSE system · Completely overhaul the HSE system and develop a new system · Review the application of safety and health operational standards to additional countries · Enacting and revising additional safety and health operational standards	· Launching and stabilizing the next-generation HSE system · Expanding the application of safety and health operational standards to additional countries · Continuously managing safety and health operational standards	
	Culture		· Implementing prevention-focused health promotion programs · Expanding health promotion programs through communication channels	· Introducing and operating site-specific health promotion programs · Expanding direct worker participation programs	· Verifying the effectiveness of health promotion programs and establishing a health culture	
	Training		· Introducing safety and health culture training · Strengthening the implementation and management of statutory training	· Restructuring the safety and health training system · Reviewing specialized training for safety and health roles and establishing operational plans	· Reviewing and monitoring the application of the safety and health culture training system · Introducing and operating specialized training for safety and health roles	

Safety and Health Management Goals and Performance by Site

Management Target	Site	2025 Performance		2026 Target
Industrial Accident Prevention	Changwon Plant	· Zero major fires, and environmental incidents		· Zero major fires, and environmental incidents
	Dangjin Plant	· Zero major fires, and environmental incidents		· Zero major fires, and environmental incidents
	Uiwang site	· Zero major fires, and environmental incidents		· Zero major fires, and environmental incidents
Safety and Environmental Regulatory Compliance	Changwon Plant	· Completed 11 inspections in 2025 with zero safety and environmental findings · Completed establishment and revision of procedures and guidelines · Completed semi-annual regulatory compliance assessments		· Zero violations of safety and environmental regulations (unannounced inspections) · Enacted and revised procedures and guidelines (as needed) · Conducted regulatory compliance assessments (semi-annually)
	Dangjin Plant	· Completed the revision of the safety and environmental regulation register · Completed semi-annual regulatory compliance assessments		· Maintain zero violations of safety and environmental regulations · Revise the safety and environmental regulation register · Conduct regulatory compliance assessments (semi-annually)
	Uiwang site	· Completed the validity review and revision of safety and health regulations		· Review the validity of and revised internal safety and health regulations
Employee Health Management	Changwon Plant	· Achieved a 70.8% participation rate in health counseling		· Achieve a 75% participation rate in health counseling · Achieve 100% completion of prevention training for processes exceeding work environment exposure limits
	Dangjin Plant	· Conducted a heat-related illness prevention campaign: 1 session		· Provide nurse health counseling concurrently with the heat-related illness prevention campaign: 1 session · Conduct theoretical training on employee mental health and EEG tests: 1 session
	Uiwang site	· Conducted musculoskeletal health promotion programs: 3 sessions		· Operate mental health programs · Organize a walking challenge program for interested employees (100 participants)
Fostering a Training Culture	Changwon Plant	· Biannual safety personnel training (20 participants) · First half: ISO internal auditor training, Second half: Hands-on safety training · Conducted safety awareness training for suppliers (47 companies)		· Mindset training for site managers and high-risk workers (300 persons) · Job competency enhancement for the Safety & Environment Team (16 persons) · Expertise enhancement training for safety personnel (20 persons) · Awareness transformation training for suppliers (50 companies) · Special safety training for construction managers (33 persons)
	Dangjin Plant	· Conducted specialized safety awareness training (including suppliers): 1 session · Confined space training and drills: 2 sessions		· Safety awareness training (working at heights, forklifts, cranes): 1 session · Safety and health training for contractors prior to new work: As needed
	Uiwang site	· Conduct supervisory training · Operate safety experience programs for high-risk workers		· Specialized training for safety and health personnel · Specialized training for supervisors and reassigned workers
Identify and mitigate risk factors	Changwon Plant	· Plant · Health & Safety investment plans: 30 cases, 31 implemented · Safety Report Center submissions: 232 cases · Near-miss incidents: 235 cases		· Health & Safety investment plans: 32 cases · Target management for Safety Report Center submissions and near-miss incidents
	Dangjin Plant	· Health & Safety investment plans: 9 cases, 10 implemented · Safety Report Center submissions: 15 cases · Near-miss incidents: 10 cases		· Health & Safety investment plans: 7 cases · Target management for Safety Report Center submissions and near-miss incidents
	Uiwang site	· Health & Safety investment plans: 5 cases, 5 implemented · Safety Report Center submissions: 18 cases · Near-miss incidents: 55 cases		· Health & Safety investment plans: 4 cases · Target management for Safety Report Center submissions and near-miss incidents

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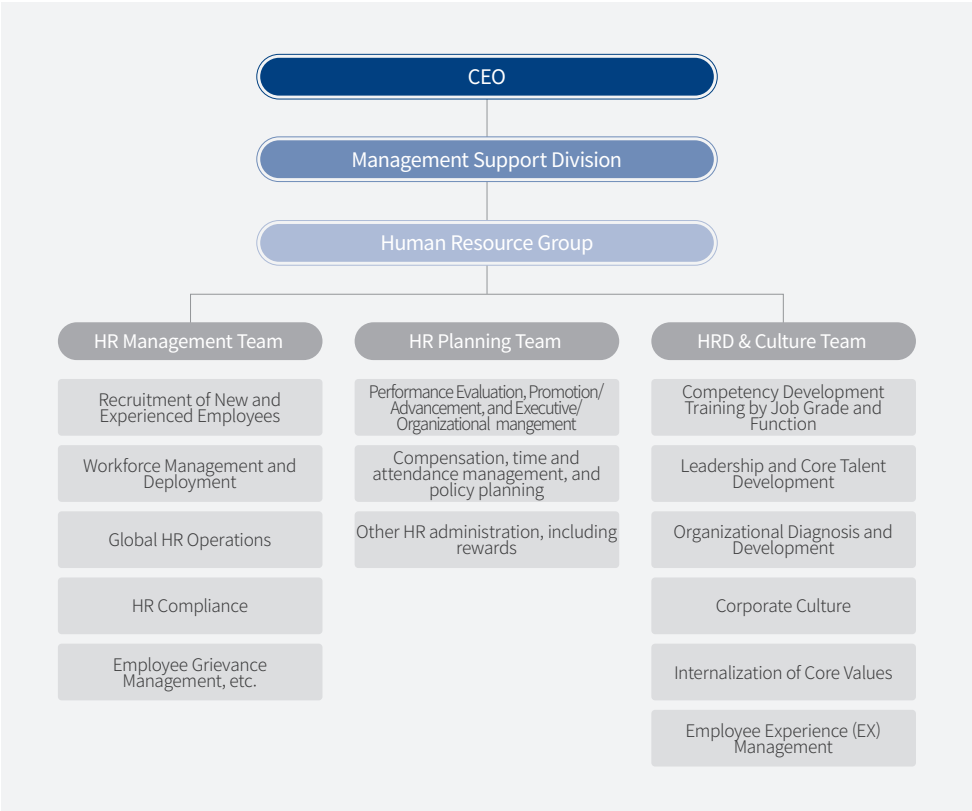
Human Resources Management

Human Resources Management Organization

Human Resources Management System

Hyundai Rotem operates a systematic human resources management system based on the belief that the growth of individual employees drives the company’s sustainable growth. Through a dedicated organization, the company secures core talent for the future and provides customized growth programs aligned with career development, empowering employees to become experts in their respective fields. Furthermore, the company operates a fair evaluation system and strives to foster a healthy organizational culture where all employees can take pride in their work and maximize their potential.

Dedicated HR Management Organization



Talent Acquisition and Evaluation

Talent Recruitment

Hyundai Rotem seeks dynamic individuals who build trust with their colleagues and the organization, proactively tackle new challenges with a positive mindset, and continuously pursue self-directed change and growth. To ensure recruitment is driven by job fit and competency, the company operates a fair and non-discriminatory hiring system. Furthermore, Hyundai Rotem is committed to securing talent based on diversity and inclusion by enhancing transparency and fairness throughout the entire recruitment process.

Ideal Image of Rotem-in (人)



Job-Based Rolling Recruitment

Hyundai Rotem operates a job-based rolling recruitment system tailored to specific roles and relevant experience to secure top talent and proactively respond to a rapidly changing environment. The company is particularly strengthening recruitment in new business and technology sectors, including hydrogen, robotics, and unmanned vehicles. The company provides detailed job information through its recruitment platform and utilizes virtual recruitment methods to enhance applicant convenience and expedite the hiring process. In 2025, the company strengthened its employer brand through strategic promotional activities, including internship programs for undergraduate and graduate students, campus recruiting, external recruitment seminars, job fairs, and targeted advertisements at major subway stations and key universities. These efforts successfully increased applicant preference and secured competitive talent. Moving forward, Hyundai Rotem plans to build a positive corporate image and proactively secure a pool of top talent through strategic promotions across online and offline channels.

Human Resources Management

Talent Acquisition and Evaluation

STRATEGY

Performance Evaluation

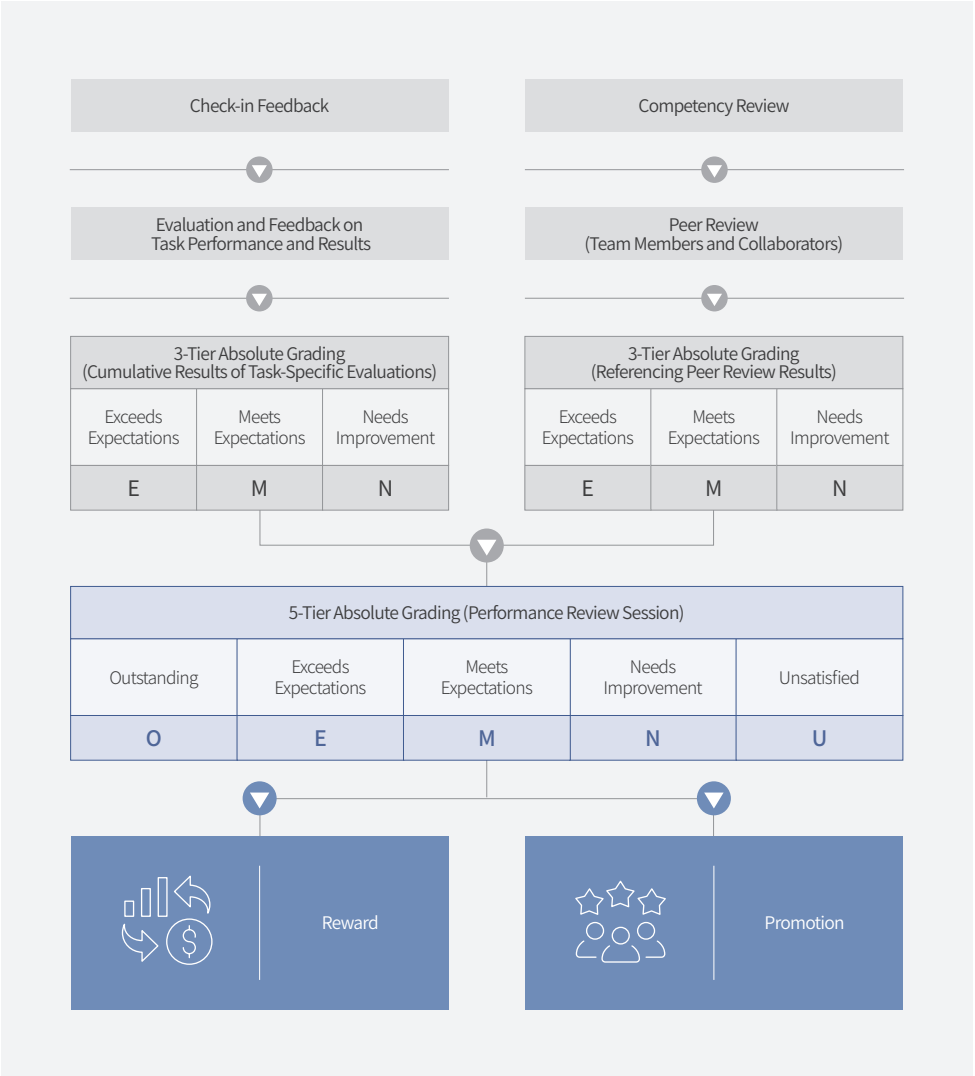
Hyundai Rotem employs an absolute evaluation system to foster a fair appraisal culture and promotes continuous feedback on individual performance through ongoing assessments. The performance evaluation consists of ‘Check-in Feedback’ and ‘Competency Review,’ with the initial assessment for each component graded on a three-tier scale (E, M, and N). During subsequent review sessions, primary and secondary evaluators collaborate to determine the final grade on a five-tier scale (O, E, M, N, and U). The company continuously monitors and improves these systems, linking evaluation results to compensation and promotion reviews to ensure an equitable reward framework based on individual performance and capabilities.

The compensation system consists of fixed pay (base salary) and variable pay. The company determines base salaries based on individual performance, competencies, and internal and external competitiveness. For senior managers, the proportion of performance-based pay (non-cumulative variable pay) is differentiated according to their Check-in Feedback grades. For senior managers and managers, the company determines compensation grades using a matrix that combines Check-in Feedback and Competency Review results. Applying differentiated salary increase rates based on these grades motivates employees to enhance their performance and competencies. In particular, the company grants direct supervisors—who are best positioned to evaluate their team members’ performance—the autonomy to allocate certain incentives, ensuring timely rewards for high-performing employees.

Fast Track Early Promotion for Top Talent

Hyundai Rotem operates a performance-driven Fast Track system to identify and develop core talent early. Targeting employees with at least three years in their current grade, the system grants promotion eligibility through fair and transparent evaluations of actual performance and potential, rather than seniority or years of experience. This provides an institutional foundation that allows top talent to receive timely recognition for their abilities and accelerate their growth.

Performance Review Process



Human Resources Management

Talent Acquisition and Evaluation

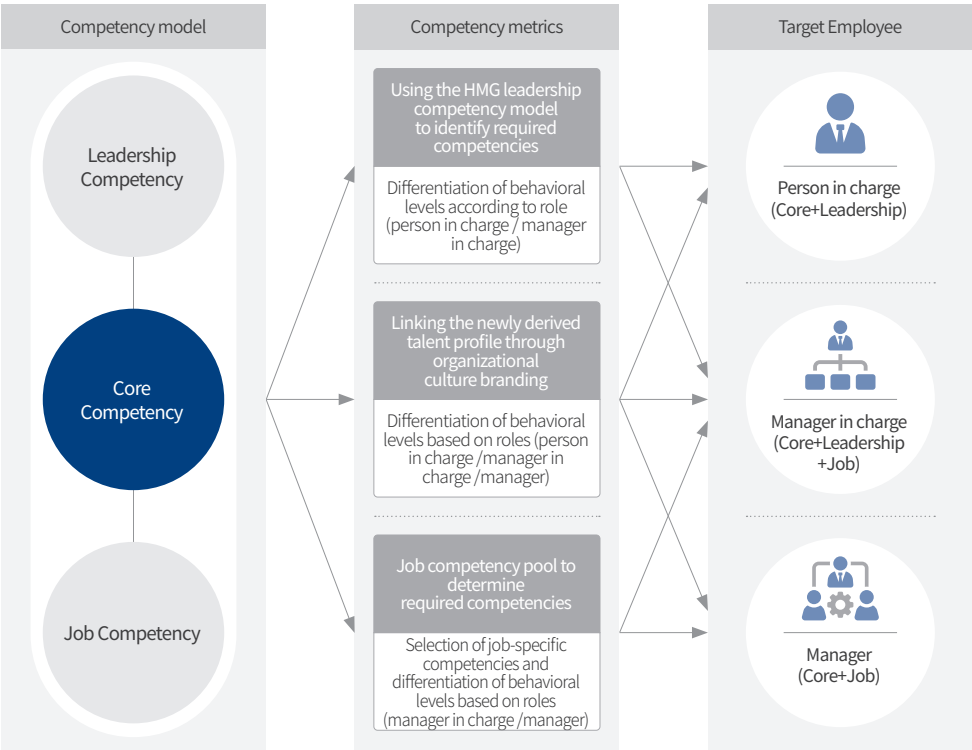
STRATEGY

Performance Evaluation

Performance Evaluation Model for General and R&D Personnel

Hyundai Rotem operates a Competency Evaluation System based on its ideal talent profile to align the systematic growth of employees with organizational performance. The system enhances the fairness and objectivity of evaluations by clearly defining behavioral standards for each role and utilizing a model comprising leadership, core, and job competencies. This enables employees to objectively assess their competency levels and establish self-directed growth plans. Moving forward, the company plans to further refine this system by breaking down the required competencies for each job into the KSTA (Knowledge, Skill, Tool, Attitude) framework, which will serve as the foundation for customized talent development and training system.

Composition of the Competency Model



Employee Competency Development

STRATEGY

Talent Development

Support for the Professional Development of Employees

Hyundai Rotem offers customized growth programs for all employees (including part-time and contract workers) to enhance their professional expertise and strengthen business competitiveness. Notably, the company completely revamped its Onboarding Journey Program in 2025 to help new hires quickly adapt to the organization and fully engage with their roles. The revamped program focuses on fostering a sense of belonging and practical adaptability through a systematic process. This includes customized introductory training tailored for both entry-level and experienced hires, 1:1 mentoring with senior colleagues (Buddy Program) to support workplace integration, wrap-up training after one year to boost motivation, and a retention program in the third year to strengthen organizational commitment. To foster a self-directed learning environment, the company operates a smart learning platform featuring approximately 3,200 e-learning courses, which continuously expands and updates. Furthermore, Hyundai Rotem provides a wide range of systematic training programs aligned with the employee lifecycle, including language training to enhance global competencies, overseas expatriate courses, division-specific core job training, project leader development courses, big data (DX) expert training, and a planning academy.



Support for Employees Nearing Retirement

Hyundai Rotem supports employees approaching statutory retirement age with reemployment and start-up education, and provides reemployment support service training for involuntary job-leavers aged 50 and above. To alleviate anxiety about upcoming retirement and help employees design a stable new career path and successfully transition into society after retirement, the company operates a range of programs, including change management, life-stage review, self-assessment, and career design.

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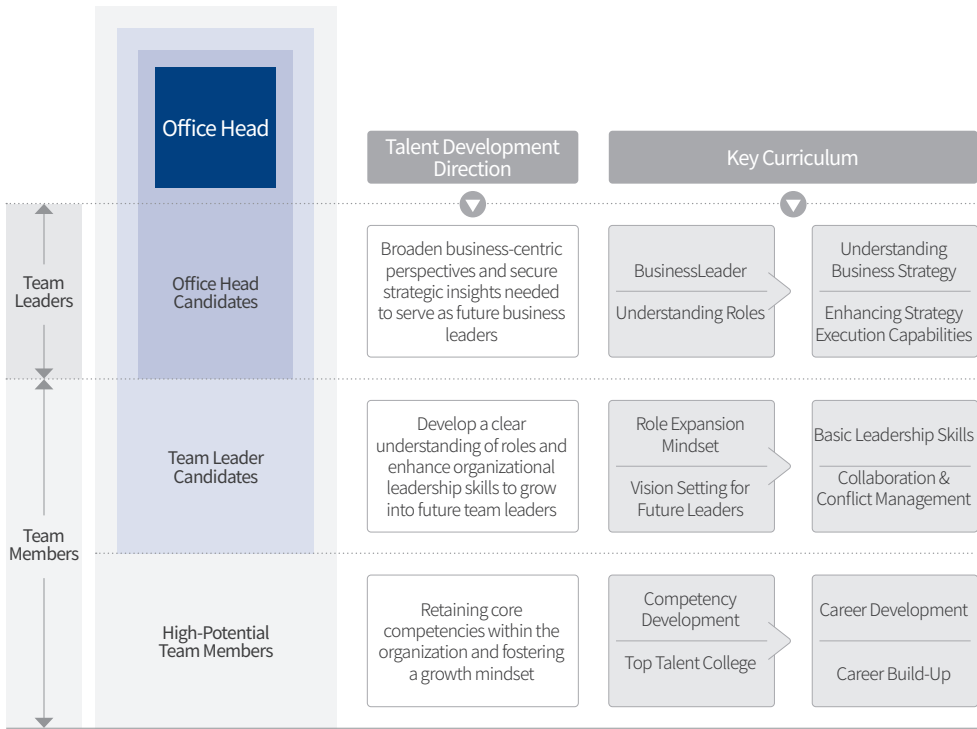
Employee Competency Development STRATEGY

Talent Development

Talent Development Framework

Hyundai Rotem has established a new talent management framework and operates various supporting programs to strategically develop and retain talent. In 2025, the company continued to develop and expand training programs aimed at cultivating leadership candidates and top talent, while implementing optimal operational strategies to enhance the expertise and leadership focus of its training content.

Talent Management Framework



Defense/Rail PM Job Training

① Development of PM Course for the Defense Solution Business Division

The recent increase in project orders within the defense sector has underscored the importance of project management capabilities. In response, Hyundai Rotem developed a defense-specific Project Management (PM) course to foster a comprehensive understanding of defense business processes and enhance the ability to respond swiftly to potential issues. The company completed the development of this course in 2024 and began providing training to employees in relevant Defense Solution departments in 2025. This course enables employees to enhance their professional expertise as defense project leaders, deepen their understanding of overall projects, and strengthen their practical capabilities.

② Development of PM Course for the Rail Solution Business Division

Hyundai Rotem continued to operate its specialized Project Management (PM) training course in 2025 to enhance the expertise of project leaders in the railway business. Developed in 2021, the program targets new hires and working-level staff in PM-related departments. By facilitating a deep understanding of overall project execution and enhancing practical skills, the course systematically cultivates the next generation of project leaders.

2025 Training Results



ESG Training for Employees

Hyundai Rotem operates company-wide ESG training programs that reflect the importance and latest trends of ESG management. In 2025, the Company offered various online training courses, such as 'The Latest ESG Everyone Should Know' and 'Corporate Governance and ESG Governance,' and continues to monitor the completion rates of the training courses.

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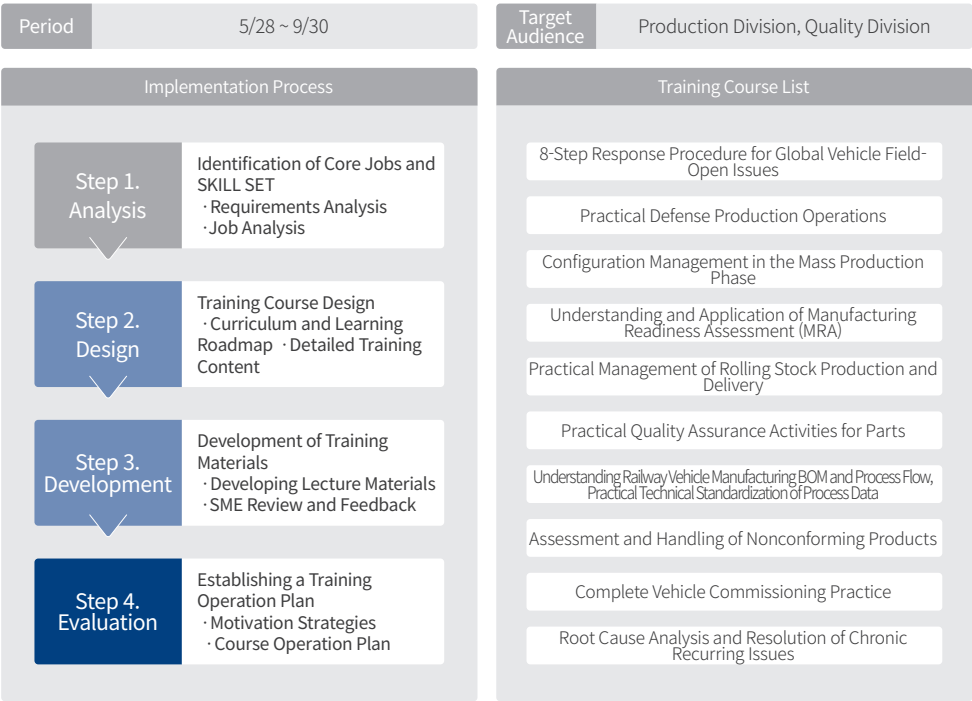
Human Resources Management

Employee Competency Development STRATEGY

Talent Development

Development of Training Programs to Enhance Job Expertise in Production and Quality Divisions

Hyundai Rotem has established a foundation for developing specialized personnel to systematically enhance professional competency in the Production and Quality divisions and secure top-tier product competitiveness. Over a four-month period starting in May 2025, the company conducted an in-depth job analysis of these divisions. Through Subject Matter Expert (SME) interviews, work system restructuring, and job priority assessments, the company identified 10 core roles and defined the required skill sets for each. Based on these findings, the company developed 10 customized training courses that accurately reflect on-site needs. Each course features a systematic learning roadmap, detailed training content, and comprehensive lecture materials, with full-scale implementation scheduled to begin in 2026. Through these initiatives, Hyundai Rotem will elevate the expertise of its production and quality personnel, strengthen their capacity to resolve chronic issues, and lay the foundation for sustainable growth.



Human Resources Management

Organizational Culture and Benefits

STRATEGY

Organizational Culture Innovation

Organizational Culture Brand

Hyundai Rotem is advancing initiatives to foster a positive organizational culture and improve ways of working through its organizational culture brand, “Make the New Possible.” This brand embodies the cultural values and attitudes essential for the company to maintain competitiveness and pursue sustainable growth in a constantly changing market and industrial environment.

Organizational Culture Branding Slogan



Work and Performance

Audacious Action

Strive for Excellence
Strive for uniqueness rather than just meeting the norm.

Agile Execution
Don't just talk, but create results through actions.

Adherence to Schedules
Schedule is a commitment, and commitment is responsibility.

People/Relationships

Mutual Respect

Respect and Trust
Respect is a two-way street.

Communication and Understanding
Speak actively, but listen even more.

Growth Mindset
Growth is about Leading or Following

Mindset

Continuous Challenge

Focus on the Essentials
True competence lies in attention to detail during difficult times.

Positive Mindset
Instead of hesitating with "I've been there", present possibilities with "Let's try!"

Grit and Completion
See tasks through to resolution.

Organizational Culture Assessment

Hyundai Rotem conducts an annual organizational culture survey for employees, organized by Hyundai Motor Group, to actively listen to employee feedback and integrate it into HR and organizational management. Key assessment areas include respect for individuals and the organization, company vision and systems, and job and organizational satisfaction. The survey results are shared through divisional feedback sessions, and key improvement initiatives are incorporated into the next management plan.

Annual Organizational Culture Assessment Score (Company-wide Average)

(Unit: Points)

2023	2024	2025
75.4	78.4	79.3

Organizational Culture Engagement Activities

Hyundai Rotem encourages employee participation and designs a positive employee experience (EX) through various programs aligned with its organizational culture brand.



Compliment Flow (FLOW)

Contribute to fostering a positive organizational culture by promoting compliment activities



Office-Level Organizational Development Activities

Provide customized solutions and drive tangible change through in-depth organizational diagnoses at the office level



Team Seminars

Support new teams in establishing their vision, roles, and operating policies to build organizational alignment



Culture Lab

Support independent organizational culture improvement activities led by Culture Agents in each division



Learning Clubs (CoP)

Select job-related learning topics and foster a supportive learning environment



Collaboration Workshops

Align practical interests from an objective, third-party perspective for organizations facing collaboration issues

Human Resources Management

Organizational Culture and Benefits

STRATEGY

Employee Benefits

Hyundai Rotem operates various benefits programs to help all employees maintain a healthy work-life balance and reach their full potential. Beyond standard salary compensation, the company strives to enhance employees' quality of life by offering non-wage benefits through family-friendly initiatives, such as childbirth and childcare support, flexible work arrangements, and encouraging the use of parental leave.

	Convenience services	· Tuition support for children (preschool, middle school, high school, and university) · Congratulatory and condolence leave, cash gifts, and wreaths · Vehicle purchase subsidies and fuel support · Commuter shuttle buses and program operations · Summer vacation bonuses and holiday gifts · Welfare points and welfare cards · In-house cafeteria · Work uniforms and sportswear
	Livelihood Support	· Support for medical expenses and comprehensive health check-ups for employees and their families · Housing purchase and rental support, and dormitory operations · Personal pension support · Support for moving and relocation expenses due to employee transfers
	Motivation and Leisure Activities	· Subsidies for club activities and provision of in-house activity spaces · Operation of year-round resorts · Rewards for long-term service · Summer vacation and personal anniversary leave · Providing e-library services
	Family-friendly Culture building	· Childbirth and childcare support · Operation of on-site daycare centers · Flexible work arrangements · Parental leave

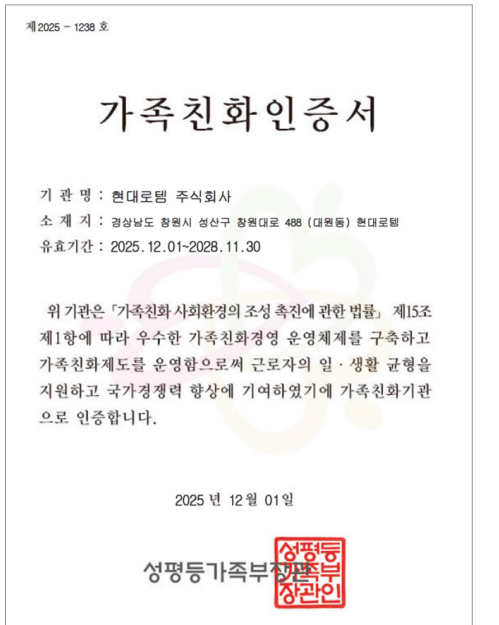
Work-life balance

Fostering a family-friendly workplace culture

Hyundai Rotem has successfully maintained its Family-Friendly Company Certification since its initial certification in 2014, implementing a stable management framework to support employees' work-life balance. This achievement is the result of consistently operating practical programs, including childbirth and childcare support, flexible work arrangements, and encouraging employees to freely use maternity and parental leave. Consequently, the company demonstrates high employment stability, with an average employee tenure of approximately 9 years.



Commute time tracking system (DMD)



Family-Friendly Certificate

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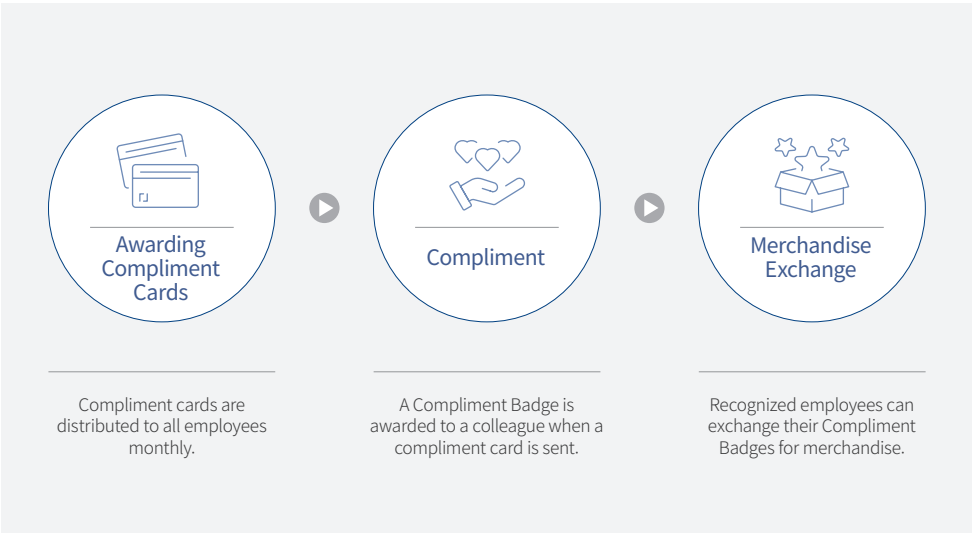
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Organizational Culture and Benefits

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Organizational Culture Innovation

Hyundai Rotem Compliment Flow (FLOW) Service



- ※ Hyundai Rotem Praise Sending Guide
- Praising performance upon the completion of specific tasks, such as fulfilling assignments or finalizing reports
 - Expressing appreciation for the effort demonstrated throughout the work process
 - Praising colleagues from other departments who actively provide support and resolve issues during collaboration (e.g., sharing examples of successful teamwork or receiving work-related assistance)

Labor Relations Risk Management

RISK MANAGEMENT

Labor-Management Cooperation

Labor-Management Communication

Hyundai Rotem fosters sound labor-management relations based on mutual respect and trust, ensuring that corporate growth aligns with employee development. The company operates various communication channels—including annual collective bargaining with the next negotiation planned within the coming 12 months, regular labor-management councils, and grievance mechanisms—to find reasonable solutions to key issues such as wages, benefits, and working conditions through close communication. Continuing this stable cooperative relationship into 2025, the company is committed to creating a workplace where labor and management grow together through a mutually beneficial partnership.

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Supply Chain Management

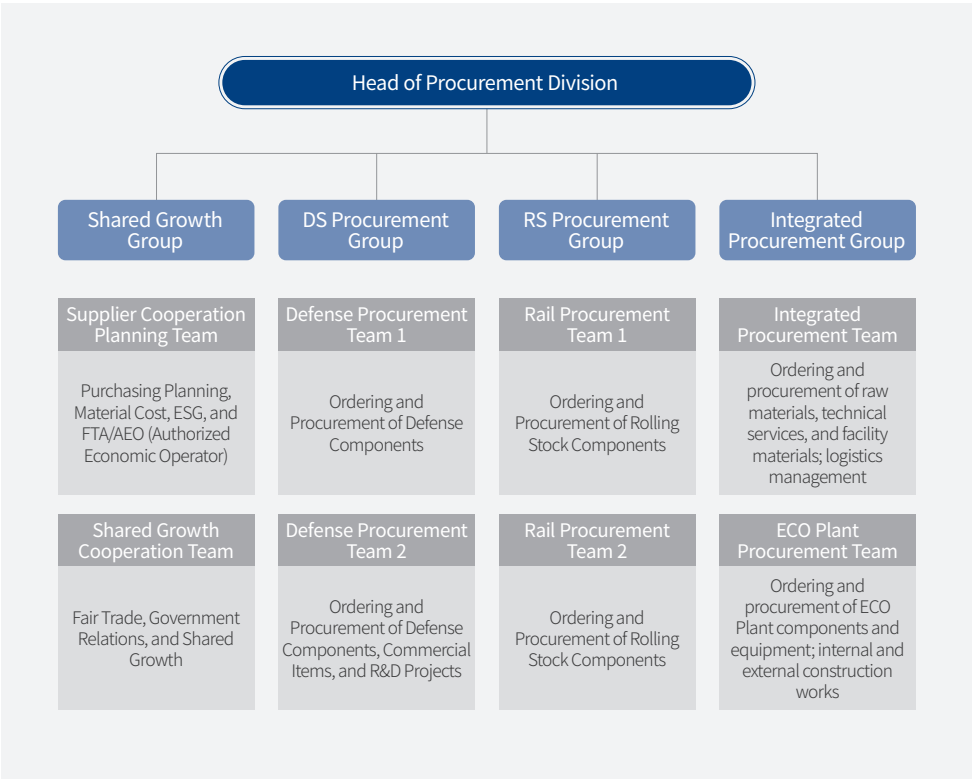
Organization for Promoting Shared Growth with Suppliers

GOVERNANCE

Supply Chain Management Governance

Hyundai Rotem operates a dedicated organization under the Head of the Procurement Division to ensure systematic and professional supply chain management. The company enhances procurement efficiency through specialized procurement units for each business division and an integrated procurement organization. Additionally, a separate Shared Growth Group is dedicated to managing supply chain ESG, fair trade, and government relations, as well as fostering collaborative relationships with suppliers. Through this structure, Hyundai Rotem preemptively mitigates supply chain risks and is committed to realizing a sustainable supply chain ecosystem and shared growth based on transparent and fair partnerships with all suppliers.

Dedicated Supply Chain Management Organization



Promoting Shared Growth with Suppliers

STRATEGY

Shared Growth Strategy

Hyundai Rotem pursues shared growth with its suppliers by strengthening their sustainable growth foundation and fostering a future-oriented innovation ecosystem. To this end, the company has established three core strategies: Strengthening the Foundation for Sustainable Growth, Fostering an Innovation Ecosystem, and Promoting a Culture of Shared Growth. The Company plans to build a virtuous cycle of shared growth with its suppliers through comprehensive support, ranging from ensuring management stability to enhancing technological competitiveness and nurturing talent.



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Promoting Shared Growth with Suppliers STRATEGY

Shared Growth Programs

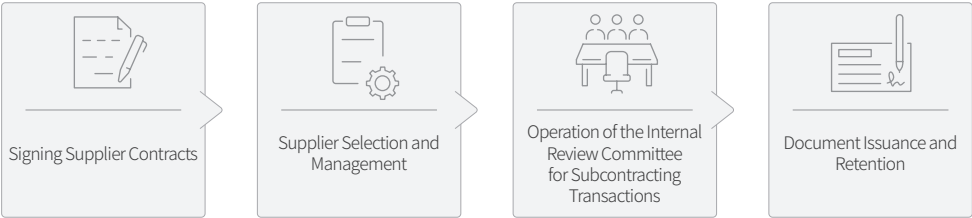
Hyundai Rotem recognizes that strengthening the competitiveness of its suppliers and maintaining continuous communication are foundational to its corporate competitiveness. Accordingly, the company operates various shared growth programs to enhance supplier competitiveness. By distributing the Four Major Subcontracting Guidelines and providing financial, technical, and educational support, alongside communication initiatives, the company helps suppliers secure the capabilities needed for sustainable growth and greater competitiveness. Moving forward, Hyundai Rotem will continue to strengthen its support for suppliers through active communication.

Virtuous Cycle System for Shared Growth

Category	Details	Specifics
Establishment of a Shared Growth System	· Strengthening cooperation networks · Supporting Tier 1 and Tier 2 suppliers · Fostering a culture of Shared Growth	· Operating subcommittee meetings and hosting Partners' Day · Operating the Win-Win Payment System and encouraging the use of standard subcontracting agreements · Local community CSR activities, practicing transparent purchasing, rewarding outstanding Shared Growth suppliers, and introducing the Shared Growth Mall
Strengthening the Foundation for Sustainable Growth	· Strengthening the foundation for management stability · Fostering technological development capabilities · Establishing growth infrastructure	· Operating financial support programs and providing guarantee support for joint projects · Guest Engineering program, provision of Industrial Property Rights, and establishment of a technical data request system · Supplier workforce training consortium
Fostering Global Competitiveness	· Fostering quality competitiveness · Supporting productivity improvement · Expanding global sales channels	· Conducting quality training and regular evaluations through the Technical Training Institute · Providing technical guidance on component quality and manufacturing methods for Tier 1 suppliers · Jointly entering overseas markets and executing overseas projects

Hyundai Rotem's Four Major Subcontracting Guidelines

Hyundai Rotem publishes its Four Major Subcontracting Guidelines on its website, which cover signing supplier contracts, selecting and managing suppliers, operating the internal review committee for subcontracting transactions, and issuing and retaining written documents.



Supplier Support

Financial Support

Hyundai Rotem implements various financial support programs for suppliers, including direct support, the Shared Growth Fund, and the Joint Project Guarantee Support Program. Through these programs, suppliers are able to secure operating capital, facilities, and equipment.

Financial Support Status (Unit: KRW 100 million)

Category	2023	2024	2025	Support Details
Direct Support	57.4	30	30	Hyundai Rotem provides direct loans to suppliers
Shared Growth Fund (Mixed Support)	135	222	350	· IBK (KRW 25.1 billion)/Shinhan Bank (KRW 9.9 billion) · Financial support for suppliers through fund deposits (fund creation)

Technical Support

Hyundai Rotem provided various technical support and technology protection measures to achieve shared growth with suppliers. In 2025, the company offered technical training in necessary fields to 5,898 employees across 654 companies, and a total of 719 instances of technical support (including joint R&D) were provided, enabling suppliers to secure design capabilities, enhance researcher skills, and reduce development costs.

Key Technical Support Initiatives

Category	Key Details
Technical Support	Provisions of Industrial Property Rights
	Registration of non-exclusive licenses for patents and designs
	Guest engineering and joint development of new technologies through internal and national projects
Technology Protection	Provision of Testing Equipment
	Supporting performance inspections using the company's testing equipment
Technology Protection	Technology Escrow
	Technology and software source code escrow
Technology Protection	Joint Patents
	Joint invention of parts and technologies

Guest Engineering Technical Support Process



Supply Chain Management

Promoting Shared Growth with Suppliers

STRATEGY

Supplier Support

Training Support

With the advent of the Fourth Industrial Revolution, demand for emerging technologies such as IoT, big data, and AI continues to grow. In response to these market trends, Hyundai Rotem operates the National HRD Consortium to develop customized vocational training programs for small and medium-sized enterprises (SMEs). These programs provide trainees with systematic instruction and offer diverse curricula tailored to evolving market needs. Furthermore, the Hyundai Rotem Technical Training Institute partners with the Ministry of Employment and Labor and the Human Resources Development Service of Korea to offer courses in design, mechanical and electrical engineering, quality, and production processes. By training a total of 5,898 supplier employees in 2025, the company contributed to strengthening supplier competitiveness. Hyundai Rotem was selected as a top-tier (S Grade) institution in the 2025 Consortium for HRD Ability Magnified Program(CHAMP) performance evaluation.

Supplier ESG Training

Hyundai Rotem conducted customized, in-depth training in 2025 to proactively respond to stricter global ESG regulations and help suppliers internalize ESG management capabilities. The company provided training to share the latest global ESG trends and ESG management best practices with 60 major suppliers in the central region in February 2025 and 80 suppliers in the southern region in March. In the environmental sector, the training focused on specific best practices, such as establishing eco-friendly management systems and minimizing environmental impacts by managing Environmental Management goals. This initiative supported suppliers in establishing their own voluntary ESG management systems.

Supplier Job Creation

Hyundai Rotem is committed to increasing its localization rate to create jobs and maximize positive value across the supply chain and industrial ecosystem. By pursuing technological independence for globally competitive products, the company has increased the parts localization rate of the K2 Tank in the Defense Solution division to approximately 90%. Furthermore, in recognition of its Shared Growth initiatives—including financial support through the Win-Win Growth Fund and technical training for suppliers—Hyundai Rotem has been named an Excellent Company in Shared Growth by the Korea Commission for Corporate Partnership for four consecutive years.

In addition, Hyundai Rotem continuously supports supplier recruitment through training programs at its technical training Institute. In 2025, the company facilitated the hiring of 340 individuals by linking SME recruitment with technical training Institute programs, utilizing the IBK employment platform i-ONE JOB, and operating the Hyundai Rotem supplier recruitment portal.

Supplier Communication

Hyundai Rotem is committed to maintaining continuous two-way communication with suppliers through regular consultation channels, grievance procedures, and dispute resolution councils. Through these communication programs, the company provides Fairness and Transparency training, promotes safety management, and gathers suggestions and grievances from suppliers. The company regularly engages with suppliers through ‘Hyundai Rotem Partners Day,’ an annual seminar for key supplier representatives, and regional supplier subcommittee meetings held to discuss their challenges and suggestions.

Additionally, when a supplier files a dispute through the Cyber Whistleblower System as part of the grievance handling process, the company convenes a Dispute Review Council within three days if necessary. The company ensures the timely resolution of reported cases by investigating the facts, sharing the findings with relevant departments, and reporting the review results directly to the CEO. The company then presents the supplier with a proposed settlement formulated by the Council. If the supplier rejects the proposal, the company seeks a swift resolution by requesting assistance from relevant authorities, such as the Korea Fair Trade Mediation Agency.

Supplier Regular Communication Channel

Category	2023	2024	2025
Hyundai Rotem Partners Day	1	1	1
Subcommittee Meetings	6	17	16

Supplier Grievance Resolution Status

Category	2023		2024		2025	
	Number of cases	Number of resolved cases	Number of cases	Number of resolved cases	Number of cases	Number of resolved cases
Subcommittee Meetings ¹⁾	27	11	27	12	35	19

1) Number of issues received and resolved through subcommittee meetings

Supply Chain Management

Sustainable Supply Chain RISK MANAGEMENT

Supplier Code of Conduct

Hyundai Rotem recognizes its suppliers as partners for Shared Growth and engages with a diverse network of suppliers across its Defense Solution, Rail Solution, and ECO Plant businesses. The company categorizes its suppliers into core and general suppliers based on factors such as component substitutability, the criticality of the parts provided, and transaction volume. To build a sustainable supply chain, Hyundai Rotem has established a Supplier Code of Conduct that applies to all suppliers providing goods and services or entering into business contracts with the company. This code requires all suppliers to strictly comply with applicable laws and regulations in their business operations and to implement best practices across ethics, labor and human rights, safety and health, environment, and management systems. The Supplier Code of Conduct is publicly available on the Hyundai Rotem website.

In 2025, the company expanded human rights risk management and responsible operating practices across its entire supply chain—from domestic to overseas operations—by revising its standard overseas purchasing agreement to include clauses requiring compliance with the Supplier Code of Conduct. Furthermore, Hyundai Rotem consistently creates Shared Growth value by establishing a sustainable supply chain with its suppliers, driving initiatives such as joint overseas expansion and new technology development. Recognizing that the growth and development of its suppliers serve as the foundation for its own success, Hyundai Rotem plans to establish a virtuous cycle for Shared Growth.

Supplier Code of Conduct

Supplier Status

Category	No. of Companies			Transaction Amount		
	Major Transactions	General Transactions	Total (count)	Major Transactions	General Transactions	Total (KRW 100 million)
Domestic	120	1,082	1,202	13,915	15,797	29,712
Overseas	30	265	295	3,655	3,207	6,862
Total	150	1,347	1,497	17,570	19,004	36,574

Supplier Code of Conduct

	Ethics	- Transparent management and anti-corruption - Conflict of interest - Personal information protection - Physical and intellectual property rights
	Labor and Human Rights	- Non-discrimination - Wages and benefits - Prohibition of forced labor - Prohibition of child labor - Ethical recruitment and working hours management - Humane treatment - Guarantee of freedom of association and collective bargaining
	Safety and Health	- Establishment of a safety and health management system - Safety management of machinery, equipment, and facilities - Accident and health management - Safety assessment - Contractor safety and health
	Environment	- Establishment of an environmental management system - Management of energy consumption and greenhouse gas emissions - Protection of biodiversity and prevention of deforestation - Management of water resources, air pollutants, circular resources, and waste
	Management System	- Disclosure of corporate statements - Appointment of responsible personnel and information management - Risk inspection, training, and communication - Operation of a grievance mechanism - Establishment of remedial measures - Management of business partners (sub-tier suppliers) - Compliance with regulations
	Supply Chain Due Diligence	- Identification and assessment of sustainability risks - Implementation of the 6-step OECD Due Diligence Guidance - Monitoring of risk mitigation and remediation processes

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Supply Chain Management

Sustainable Supply Chain RISK MANAGEMENT

Regular Supplier Assessment

Hyundai Rotem conducts regular annual due diligence assessments to systematically manage supply chain risks and enhance the sustainability of key suppliers. In 2025, the company evaluated a total of 166 key suppliers across its business divisions (53 in Defense Solution, 62 in Rail Solution, and 51 in ECO Plant). This comprehensive assessment combined purchasing evaluations—covering management systems, business conditions, and environmental management alongside general performance—with quality evaluations that assess management levels and performance. In the environmental category specifically, the company closely inspects detailed management levels, including the status of environmental organizations and training, regulatory compliance, environmental standard management, emergency response planning, and air and water quality management. The company assigns evaluation results on a scale of 1 to 5 and applies grade-based incentives and penalties during contract renewals. Suppliers receiving excellent grades are awarded incentives such as priority ordering and a one-year volume guarantee. Supplier evaluators are selected from working-level staff or purchasing evaluators appointed by a team leader or higher-level manager, and they conduct assessments based on the Supplier Rating Evaluation Management Procedure. Furthermore, the company provides training for evaluators prior to the regular rating evaluations to ensure fairness and objectivity while minimizing assessment deviations among evaluators.

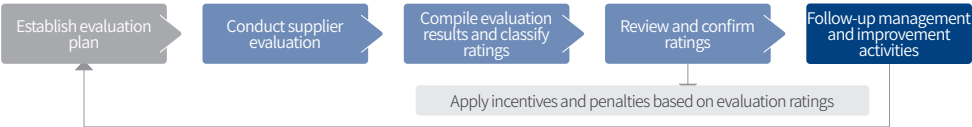
Key Criteria for Supplier Grade Evaluation

Category		Evaluations	
Procurement Assessment	Management Level	Business Management System ¹⁾	Design and Technical Capabilities
		Credit Rating	Environmental Management
	Performance	Procurement Reduction Rate	Process Improvement
		On-Time Delivery	
	Shared Growth Cooperation Level	Cooperation Level	
Quality Assessment	Management Level	Quality Management System	
	Performance	Inspection Defect Rate	Line Defect Rate

1) Plant environment, industrial safety management, labor relations

Supplier Rating Evaluation Management Process

Hyundai Rotem conducts annual regular supplier evaluations based on its Supplier Rating Evaluation Management Procedure. The process includes establishing evaluation plans, conducting evaluations, synthesizing results and classifying ratings, reviewing and finalizing ratings, and implementing follow-up management and improvement activities.



Criteria for Supplier Incentives and Penalties

Rating	Assessment Score	Order placement		Incentives/Penalties	Remarks
		Mass Production	Pilot Production		
Level 1	85 points or higher		Top priority	· Exemption from performance bond (replaced with notarization/memorandum) · Level 1 suppliers in regular evaluations by business division	Including Level 1 from the previous year
Level 2	75 to under 85 points	Continuous transaction	Priority	· Exemption from performance bond (replaced with notarization/memorandum) · Level 2 suppliers with a credit rating of BBB- or higher	Including outstanding purchasing and quality suppliers
Level 3	65 to under 75 points		Transaction		
Level 4	55 to under 65 points	Conditional transactions	Conditional transactions	· Reduced bidding opportunities (restricted from one subsequent project) · Issuance of warning letter for Defense Solution and · Restriction on new item orders	

Suppliers Awarded Incentives in the 2025 Regular Evaluation

The company evaluated a total of 166 suppliers in the 2025 regular assessment, of which 31 achieved a Level 1 rating. Including 34 Level 2 suppliers with a credit rating of BBB- or higher and four suppliers that achieved a Level 1 rating in the previous year, a total of 69 suppliers received incentives. This measure aims to encourage suppliers to strengthen their sustainable management capabilities and support Shared Growth with outstanding suppliers.

Unit: No. of companies

Category	No. of Suppliers			
	Total	Level 1 (Suppliers selected in 2025)	Level 1 (Suppliers selected in 2024)	Level 2 (BBB- or higher) outstanding purchasing and quality suppliers
Defense Solution	25	17	1	7
Rail Solution ¹⁾	24	8	-	16
ECO Plant	20	6	3	11
Total	69	31	4	34

1) Rail Solution: Level 1 in 2024 → Level 1 retained in 2025

New Supplier Screening

Hyundai Rotem selects new suppliers based on systematic criteria to ensure supply chain stability and quality. Potential suppliers must pass the qualification screening established by the Company. In 2025, 177 companies met these criteria and registered as new suppliers.

Supply Chain Management

Sustainable Supply Chain RISK MANAGEMENT

Supplier ESG Assessment

To build a sustainable supply chain ecosystem through Shared Growth, Hyundai Rotem conducted the 2025 supplier ESG assessment. Reflecting global ESG trends, the company upgraded this year's evaluation indicators to a total of 88 items across the social and environmental domains. Hyundai Rotem utilizes this assessment not merely as a risk management tool, but as an opportunity for mutual growth with its suppliers. Based on the results, the company provides customized support to help high-risk suppliers strengthen their ESG capabilities while offering incentives to top-performing suppliers. This approach establishes a virtuous cycle that internalizes sustainable management throughout the entire supply chain.

Key Criterias for Supplier ESG Assessment

 Social	· Forced labor · Freedom of association · Supply chain management · Working conditions · Anti-corruption	· Security provider management · Living wage · Child labor · Safety and Health · Raw material procurement	· General ethics and human rights · Adequate housing · Information Security · Local communities · Non-discrimination
 Environment	· General climate change · Air pollutants · Endangered species conservation · Biodiversity · Mercury and mercury compound management	· Ozone-depleting substance management · Greenhouse Gas (GHG) · Genetic resources · Persistent organic pollutant management · Waste	· Water resource management · Energy · Marine pollution prevention · Chemical management · General Environmental Management

2025 Supplier ESG Assessment Results

As its global business expands, Hyundai Rotem advanced its ESG due diligence for overseas suppliers in 2025 to proactively manage ESG risks that may arise in the global supply chain and comply with local regulations. Based on a risk-based approach, the company selected target suppliers focusing on those with high potential risks or strategic importance. First, the US Uyghur Forced Labor Prevention Act (UFLPA) and Australia's Modern Slavery Act are driving stricter human rights and supply chain due diligence regulations. Accordingly, the company prioritized suppliers in these high-risk countries to intensively assess compliance risks. Second, Hyundai Rotem included key suppliers involved in major projects that ranked high in internal risk assessments in its due diligence scope, closely evaluating potential ESG risks that could impact quality and supply stability. Through this systematic due diligence, Hyundai Rotem is enhancing the transparency of its global supply chain and ensuring strict compliance with local regulations, thereby strengthening the foundation for stable and sustainable global operations.

In-depth On-site Due Diligence for Suppliers with Identified Risks

Following the 2025 supplier ESG evaluation, Hyundai Rotem conducted in-depth on-site due diligence on 56 domestic suppliers identified as needing improvement in the written assessment. Considering global ESG regulatory trends and the level of risk to business activities, the company selected the targets primarily based on their compliance with human rights management evaluation criteria and the establishment of sustainability policies in the social and environmental areas.

Professional auditors visited the sites in person to identify areas for improvement by reviewing relevant documents and systems, and evaluated the effectiveness of the risk management system. Following the on-site due diligence, the company provided guidelines for each supplier to establish improvement plans, received the established plans, and continues to monitor their implementation.

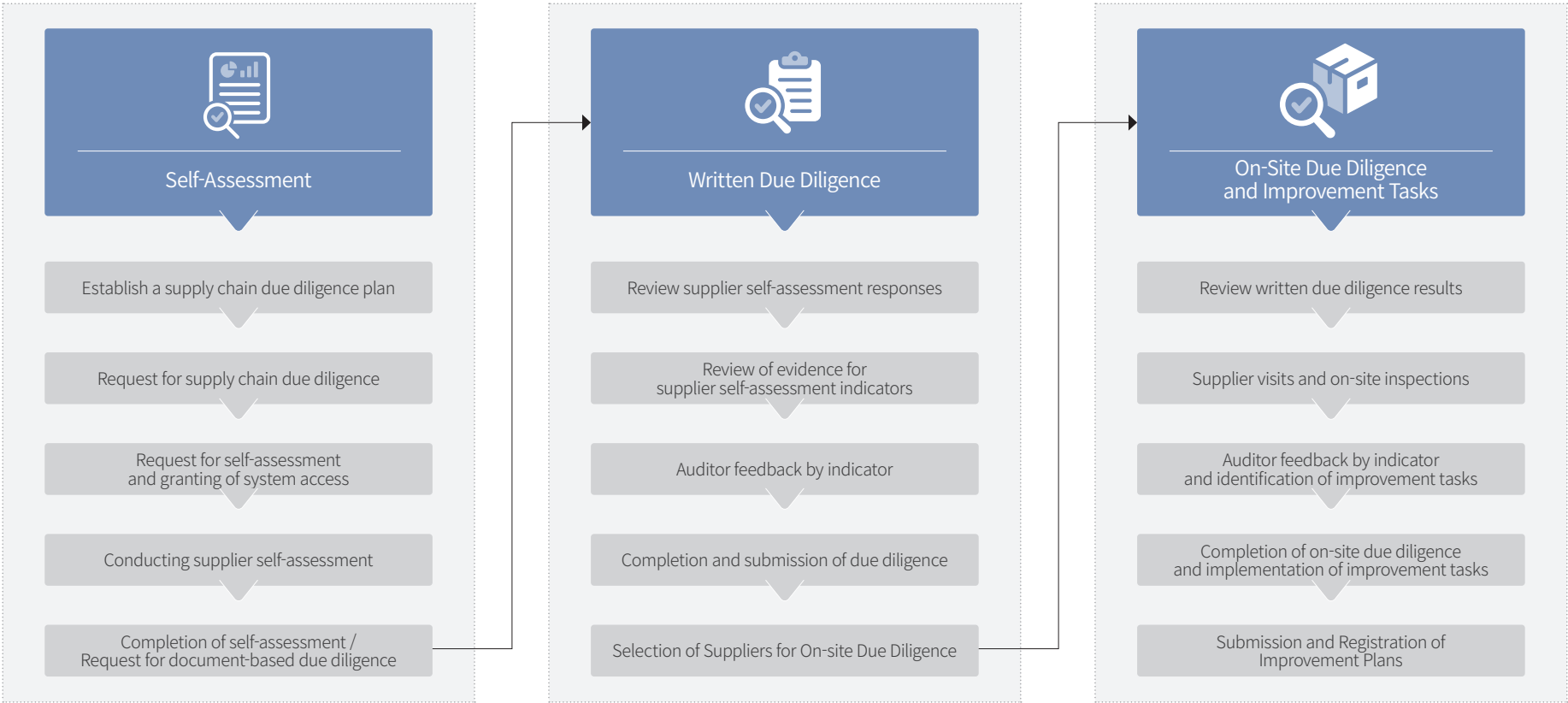
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Sustainable Supply Chain RISK MANAGEMENT

Hyundai Rotem’s 2026 Supply Chain ESG Management Plan

In 2026, Hyundai Rotem plans to conduct assessments based on a six-step process for supply chain ESG risk management. The company will accurately diagnose and manage suppliers’ ESG risks through a systematic, multi-step process consisting of: ① finalizing assessment indicators, ② supplier self-assessments, ③ desktop due diligence, ④ on-site due diligence, ⑤ drafting improvement plans, and ⑥ implementing improvement measures. In addition, the Company will expand incentives for top-performing suppliers and provide customized support and continuous training for ESG due diligence. Through these efforts, Hyundai Rotem will actively support suppliers in voluntarily enhancing their ESG management and collaboratively build a sustainable supply chain.

Supply Chain Due Diligence Process



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Quality Management

Product Quality and Safety Management

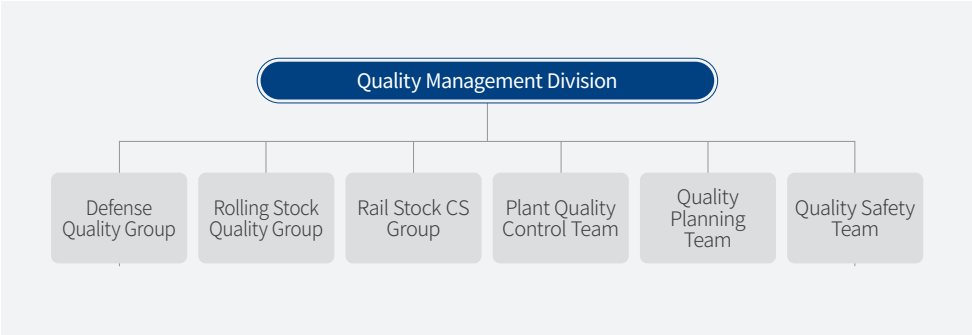
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Product Safety Management

Hyundai Rotem considers customer safety its highest management priority and implements systematic management activities to ensure product safety across all business areas. Led by the Quality Management Division, the company goes beyond conventional quality improvement efforts by strengthening preemptive inspections tailored to specific environmental conditions during the summer and winter seasons. These initiatives proactively eliminate potential risks and further enhance overall product quality and competitiveness.

Organization of the Quality Management Division



Quality Management Strategy

Guided by the policy of “ensuring on-time delivery of reliable products through fundamental quality management,” Hyundai Rotem operates processes optimized for the characteristics and products of the Defense Solution, Rail Solution, and ECO Plant Business Divisions.

To this end, the company is enhancing its proactive verification systems, including quality assurance activities during the development phase and manufacturing process inspections. In particular, Hyundai Rotem has significantly improved product reliability and availability by focusing on resolving chronic field issues across major products, such as the K2 Tank, armored vehicles, and KTX-Eum. Furthermore, the company expanded its final vehicle inspection facilities to improve on-time delivery rates, and is continuously working to ensure inspection reliability by introducing augmented reality (AR)-based inspection equipment and a data acquisition and analysis system for the K2 Tank.

Furthermore, the company focuses on supporting the stable operation of its products and preventing safety accidents through close customer engagement. The company strives to optimize operations by actively listening to customer feedback through initiatives such as field quality meetings at domestic and international military bases, special summer and winter safety inspection services, on-board support during initial operations, and preventive inspections at operating sites for hydrogen and port AGVs (Automatic Guided Vehicles).

Advancing Proactive Verification Systems and Resolving Chronic Issues	Securing and Digitizing Testing and Inspection Infrastructure	Ensuring Safety at On-Site Customer Support Locations
· Strengthening proactive quality control to ensure the continuity of manufacturing quality	· Securing testing and inspection equipment capacity to ensure on-time delivery	· Continuing close-support programs to build customer trust
· Enhancing product reliability and availability by resolving chronic issues	· Expanding digitalization to ensure inspection reliability and detection capabilities	· Creating a safe working environment

Quality Slogan



Quality Management

Product Quality and Safety Management GOVERNANCE

Quality Management Strategy

Quality Strategy

Hyundai Rotem establishes and continuously manages key initiatives based on its quality strategy, which focuses on advancing proactive verification systems, resolving chronic issues, securing and digitizing testing and inspection infrastructure, providing close customer support, and ensuring on-site safety. The company systematically applies these strategic initiatives to each business division and consistently executes them to continue its efforts toward achieving perfect quality.

Advancement of Proactive Verification Systems

- Strengthening proactive quality management activities to ensure manufacturing quality continuity
- Standardizing the verification of durability, manufacturing processes, and quality for outsourced electrical components

Resolving Chronic Issues

- Enhancing product reliability and availability by resolving chronic issues
- Establishing fundamental improvement measures for chronic field issues in Defense Solution and Rail Solution and verifying their effectiveness

Securing and Digitizing Testing and Inspection Infrastructure

- Securing testing and inspection equipment capacity to ensure on-time delivery
- Expanding final vehicle inspection facilities and increasing the adoption of AR and digital testing equipment

Close Customer Support

- Continuously executing close support programs to build customer trust
- Conducting domestic and international quality meetings and special safety inspections

Ensuring On-site Safety

- Creating a safe working environment for employees
- Improving safety facilities at testing sites and managing safety patrols

Quality Certification Status

Category	Certification Year (~Valid Until)	Certification Details	Certificate	
Defense Solution	2021 (~2026)	ISO 9001 (Quality Management System)		
	1999 (~2027)	DQMS (Defense Quality Management System)		
	2025 (~2029)	DQ Mark Certification		
Rail Solution	1994 (~2027)	ISO 9001 (Quality Management System)		
	2015 (~2027)	IRIS (International Railway Industry Standard)		
Eco plant	2002 (~2028)	ISO 9001 (Quality Management System)		
	2012 (~2027)	ASME(American Society of Mechanical Engineers) PP(Pressure Piping), U(Pressure Vessel), S(Power Boilers)		

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Quality Management

Product Quality and Safety Management STRATEGY

2025 Activities and Key Achievements

Defense Solution

Joint Civil-Military Inspection of Combat Equipment (CSR)

For approximately seven months, from April 21 to November 28, 2025, Hyundai Rotem provided joint civil-military maintenance support for 72 K2 Tanks, 104 K1 Tanks, 80 Wheeled Armored Vehicles, and 386 decontamination systems to proactively address quality issues. In consultation with the Military Logistics Command and field units, the company performed functional inspections of the hull and turret components on the K2 Tanks, resolved quality issues for equipment with expired warranties, and provided on-site support. Additionally, the company conducted joint annual maintenance for units newly deploying wheeled command post vehicles and delivered equipment management training covering water crossing and field operations.



Domestic and Overseas Field Quality Meetings

Hyundai Rotem conducts regular meetings to enhance communication with domestic and international military users. The company held these meetings twice a month domestically and quarterly overseas to discuss quality issues arising during equipment operation and share progress on improvements. Through field-oriented briefings and Q&A sessions, the company focused on improving user understanding and meeting customer requests for improvements. Furthermore, the company reviewed the technical feasibility of improvement requests received during these meetings in consultation with the R&D and quality departments. By continuously sharing the review results with the users, the company enhanced mutual trust. These efforts contribute to the enhancement of customer satisfaction and the establishment of close cooperative relationships. Going forward, the company will continue to hold regular field meetings and actively incorporate feedback from the field.

Domestic and Overseas Training Support

Hyundai Rotem supported the Korea-UAE joint military exercise from February 13 to 23, 2025. The company contributed to the optimal performance of the K2 Tank—including tactical maneuvers and long-range firing—by providing on-site technical assistance, installing upgraded components optimized for high-temperature desert environments, and conducting preventive maintenance. Additionally, the company supported the Marine Corps’ Talisman Sabre joint exercise from April 7 to 11, 2025. The company conducted inspections and maintenance support for 54 items in the K1A2 tank’s hull and turret sections while also supplying the items needed for long-distance shipboard transport, contributing to the successful execution of training.

Going forward, the company plans to strengthen customer-centered quality management system through several initiatives. These include supporting the early stabilization of the military’s operational capabilities for delivered vehicles, conducting education and technical exchanges, performing rotational inspections of combat equipment, and supporting large-scale training exercises. Through these efforts, Hyundai Rotem aims to address the military’s manpower shortages and the operational and maintenance challenges associated with newly fielded equipment.



Conducting Capacity Building Training for Supplier Quality Personnel

Hyundai Rotem operates customized training programs for supplier quality managers to enhance their manufacturing expertise and quality management capabilities. The program consists of basic and advanced courses in nine core manufacturing fields, including welding, casting and forging, and heat treatment. The company has expanded this training beyond Tier 1 to include Tier 2 and lower-tier suppliers, and distributes sector-specific guidebooks to strengthen mutually beneficial cooperation across the supply chain. In 2025, Hyundai Rotem enhanced the program to better address suppliers’ training needs. In addition to the existing curriculum, the company provided opportunities for suppliers to benchmark leading practices in electrical component management and shared best practices related to quality management systems and manufacturing process evaluations. The company further strengthened the curriculum by introducing specialized training programs in painting and plating. Hyundai Rotem will continue to enhance its quality training programs, enabling suppliers to internalize these quality management capabilities.

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2025 Activities and Key Achievements

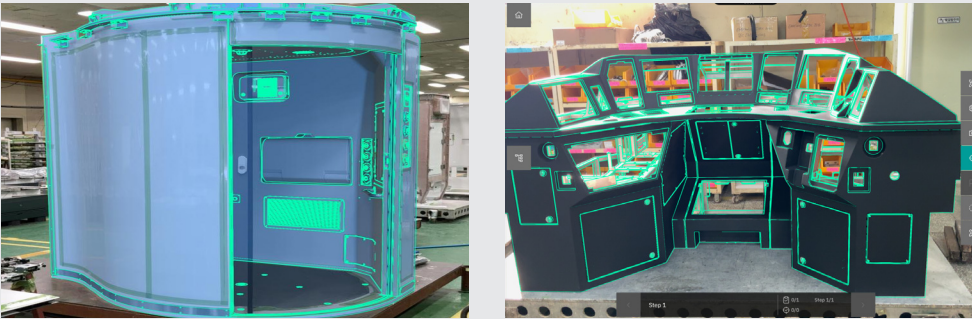
Rail Solution

Introduction of AR (Augmented Reality) Inspection Equipment for Key Railway Vehicle Components

Hyundai Rotem enhanced quality by applying AR equipment to key railway vehicle outfitting components, such as cab masks, desk panels, toilet modules, and removable frames, thereby improving inspection accuracy and speed. By utilizing AR for 72 inspections, the Company identified 25 quality improvement cases. Furthermore, the enhanced inspection accuracy and speed reduced product transport and idle times, ensuring stable production processes.

By implementing AR inspections, the company delivered reliable vehicle quality to customers while ensuring stable process operations and on-time delivery on-site. Furthermore, the Company strengthened a mutually beneficial quality improvement system by reducing unnecessary costs associated with quality issues and advancing joint improvement activities with suppliers.

Hyundai Rotem plans to continue driving customer-centric quality innovation by actively utilizing advanced inspection technologies and to expand sustainable quality management activities that foster mutual growth between its operational sites and suppliers.



Operation of the Regular Quality Improvement Council

Hyundai Rotem operates a Quality Improvement Council, selecting the four suppliers with the highest field defect rates each quarter. This council is a collaborative initiative bringing together supplier management alongside quality and design personnel from both the suppliers and the company. Participants swiftly address field quality issues and engage in in-depth discussions to establish fundamental countermeasures. The initiative aims to secure customer trust by ensuring that the RAM (Reliability, Availability, Maintainability) metrics of customer-operated railway vehicles meet their targets on schedule. Moving forward, the company will continuously strengthen its quality management system to go beyond resolving individual issues, fostering a quality-oriented mindset among suppliers and driving structural quality improvements.

Special Safety Inspection Services for Summer and Winter Seasons

To proactively respond to seasonal climate risks, Hyundai Rotem conducted special safety inspection services for high-speed trains and electrical multiple units twice during the summer and winter seasons of 2025.

During the summer period (June 2 to July 2), the company inspected 97 items across 818 cars. The inspection focused on components vulnerable to heavy rain and heatwaves, including air conditioning units, wipers, cabin windows, and overheating prevention systems for electrical equipment. The company also provided service supplies such as washer fluid and USB drives for operational data storage. During the winter period (November 3 to December 2), the company evaluated 87 items across 846 cars, proactively verifying the operational status of key equipment susceptible to cold waves and freezing, such as heating, current collection, and ventilation systems.

The company immediately analyzed the causes of any equipment abnormalities identified during the inspections and completed necessary improvement measures. Hyundai Rotem will continue to strengthen its preventive inspection system in response to changing weather conditions, thereby enhancing customer safety and vehicle operational reliability.



Quality Management

Product Quality and Safety Management

STRATEGY

2025 Activities and Key Achievements

ECO Plant

Proactive Preventive Inspections to Ensure Equipment Stability

Hyundai Rotem conducts customized seasonal preventive inspections to provide customers with safe and reliable energy. In preparation for sharp temperature drops during winter, the company intensively inspected freeze prevention equipment—including heating cables, heaters, and insulation—for hydrogen extractors and charging station piping. By preventing equipment failures and abnormalities through these proactive inspections, the company ensures service continuity and reduces quality costs associated with repairs and replacements.



Ensuring Field Quality Reliability During Operations

Hyundai Rotem regularly conducts on-site inspections at seven major operating sites (Daejeon, Dangjin, Changwon, Tongyeong, Waju, Incheon Namdong, and Incheon Green) to identify operational issues and areas for improvement. Based on these inspection results and field feedback, the company is enhancing field service quality. Moving forward, the company will strengthen customer trust by proactively preventing potential quality issues to ensure safe and reliable use.

Operational Inspections and Identification of New Issues for Port AGVs (Automatic Guided Vehicles) in Busan

Hyundai Rotem conducted a total of three on-site operational inspections of 60 port AGVs (Automatic Guided Vehicles) operating at Dongwon Busan New Port. Using a 28-item operational inspection checklist, the company provides follow-up management for the port AGVs delivered to customers. Moving forward, the company plans to strengthen its customer-centric quality management system through continuous and stable operational support.



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Social Contribution

Social Contribution Implementation Framework

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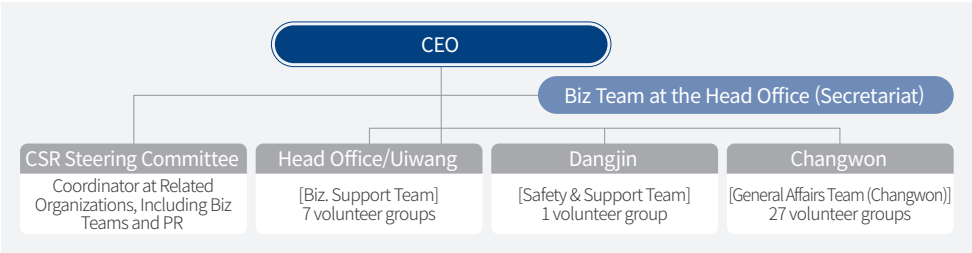
Social Contribution Governance

Hyundai Rotem’s Social Contribution initiatives are guided by a systematic governance structure, with the CEO leading the development of company-wide strategy and direction. Furthermore, the CSR Steering Committee ensures expert decision-making while fostering seamless collaboration across relevant departments, including the Biz. Support Team, Public Relations Team at the head office.

Strategies established by the Steering Committee are delivered to the dedicated teams at each site and 35 volunteer groups via the HQ Biz Team, which serves as the secretariat. Through this process, the company implements customized activities that reflect the practical needs of each local community and maintains a cyclical operational system by analyzing post-activity results and participant feedback to incorporate them into future plans.

Based on this integrated governance, Hyundai Rotem will enhance the effectiveness of fulfilling its social responsibilities and strengthen trust-based cooperative relationships with local communities.

Social Contribution Organization



Social Contribution Stakeholder Channels

Hyundai Rotem establishes and manages various social contribution stakeholder channels.

Category	Activities	Stakeholder Channels
Visiting Underprivileged Neighbors Along the Railway	Medical Expense Support Project for Low-Income Households in Uiwang City	Welfare Policy Division of Uiwang City
	Mobility Aid Support Project for Korean War Veterans	Gyeonggi Southern District Veterans Affairs Office, Work and Society
Global Social Contribution Activities	Education Support Project for Underprivileged Children in Egypt	Plan Korea
	Outstanding Talent Development Project in Poland	KAIST, Korea Defense Industry Association
Creating a Sustainable Environment	Water Resource Protection Activities at Wangsong Lake in Uiwang	Environmental Policy Division of Uiwang City, Gyeonggi-do Water Resources Headquarters
	Environmental cleanup at Namcheon Stream in Changwon	Changwon Sustainable Development Council
Social Contribution activities honoring veterans	Supported scholarship programs for bereaved children	Army Headquarters, Chungnam Community Chest of Korea
	Military units, military personnel, wounded veterans, etc.	Korea Defense Industry Association, military units, Korea Disabled Veterans Organization, etc.
Key business site regions	Social Contribution in the Uiwang region	Uiwang City, Uiwang City Volunteer Center, etc.
	Social Contribution in the Changwon region	Affiliated with Buksang-myeon, Dongjin Social Welfare Foundation, etc.

Social Contribution Strategy

STRATEGY

CSR Strategy Framework

As a leading company in national key industries such as defense, rail, and ECO Plant, Hyundai Rotem has completely reorganized its social contribution strategy. Based on the core value of ‘Guardian,’ the company has expanded the essence of its business into the realm of social contribution, aiming to contribute to the safe mobility of humanity and the sustainable future of the nation and society.

Moving beyond simple support-oriented social contributions, this reorganization aims to create practical value that reflects the company’s core competencies and business characteristics. Accordingly, the company has redefined its social contribution portfolio around three core pillars: Planet, People, and Society.

Accordingly, the company plans to actively advance its signature business-aligned social contribution projects, including ‘BLUE Re-BORN’ to protect ecosystems through wetland restoration, ‘Subway for All’ to ensure mobility rights for people with reduced mobility on the subway, and ‘Heroes’ Home’ to improve the living conditions of 6·25 veterans from allied nations.

Moving forward, Hyundai Rotem will continue to expand its social role as a responsible corporate citizen. Based on the core value of ‘Guardian,’ the company will contribute to solving practical challenges faced by local communities and create sustainable value together with global stakeholders.



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Social Contribution

Planet (Environment)

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CLIMATE/ECOLOGY

Flagship Social Contribution Program

| Uiwang Poil Wetland Restoration Project: BLUE Re-BORN

Hyundai Rotem is undertaking the ‘BLUE Re-BORN’ project as its flagship environmental social contribution program to contribute to biodiversity conservation. The project aims to restore the health of the local ecosystem by rehabilitating habitats for endangered species and to pass down a healthy natural environment to future generations through environmental education.

In 2025, the company successfully completed the first phase of a wetland restoration project aimed at protecting endangered species by establishing a public-private partnership with relevant organizations, including Uiwang City and environmental groups. Specifically, the Company restored damaged wetlands to create a stable habitat for the Narrow-mouthed Toad, an endangered wildlife species, and established an eco-learning center nearby to provide an eco-friendly educational environment for local residents and students. This initiative preserved habitats threatened by urban development and laid the foundation for promoting the importance of biodiversity conservation within the local community.

Starting in 2026, the company plans to build on the achievements of Phase 1 to simultaneously strengthen the project’s qualitative outcomes and expand its reach. First, the company will intensify detailed monitoring of the actual habitat status of key species, including the Narrow-mouthed Toad, within the restored wetlands to scientifically quantify the extent of ecosystem recovery. Additionally, leveraging the newly established eco-learning center, the company will partner with nearby elementary schools to integrate ecological experience programs into their regular curricula, thereby establishing a sustainable environmental education model. Moving forward, Hyundai Rotem will lead efforts to promote biodiversity by strengthening partnerships with local governments and relevant organizations to expand this model to other regions.



Climate

| Participation in Uiwang City’s ‘Duballo Day’ Net Zero Campaign

Hyundai Rotem actively participates in the ‘Duballo Day’ campaign hosted by Uiwang City to promote everyday net zero practices and contribute to local environmental protection. Employees conducted environmental cleanup activities while walking along major trails and riversides in Uiwang City, sharing the importance of low-carbon lifestyles with local citizens. The company faithfully fulfills its environmental responsibility to address the climate crisis by promoting an eco-friendly mobility culture, such as walking or cycling short distances.



Ecological Restoration

| Restoration and Protection of Endangered Wildlife Habitats at the Changwon Plant

To conserve biodiversity at its sites, Hyundai Rotem is carrying out protection activities for the narrow-mouthed toads, a Class II endangered wildlife species discovered near the Changwon Plant. To ensure the safe breeding and survival of narrow-mouthed toads, Hyundai Rotem has established alternative habitats and conducted continuous monitoring, leading the way in building an ecosystem where industrial operations and the natural environment coexist. This initiative is part of our broader efforts to strengthen the resilience of local ecosystems and systematically manage biological resources.



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Social Contribution

People (Humanity)

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SAFETY / VETERANS AFFAIRS

Flagship Social Contribution Program

Housing Environment Improvement Project for Overseas Allied Korean War Veterans: Heroes’ Home

Hyundai Rotem is advancing “Heroes’ Home,” a flagship global CSR program, to resolve housing crises caused by disasters and poverty for overseas veterans who defended the freedom of the Republic of Korea and to honor their service. The project fulfills the company’s responsibility as a global defense enterprise by addressing gaps in local support systems and providing safe, dignified homes for veterans and their families.

Prioritizing the urgent needs of veteran households displaced by the massive earthquake in Türkiye, the company selected the nation as the first-year project country and completed a local site survey. The company first identified veterans and their bereaved families living in vulnerable housing conditions within the most severely damaged regions. In collaboration with the NGO Walk Together and the local embassy, the company established a customized housing improvement model optimized for disaster recovery, encompassing structural reinforcements for damaged homes and the construction of new residences to replace dilapidated ones.

Starting in 2026, the company will commence full-scale housing reconstruction based on local site assessments and designs, restoring the homes of these heroes that were destroyed by the disaster. Building on the successful implementation of the project in Türkiye, Hyundai Rotem will gradually expand its support to other major allied nations, including Thailand, the Philippines, and Ethiopia, to address blind spots in veteran welfare worldwide. Through these efforts, the company will honor the allied veterans and their families who sacrificed for South Korea, fulfilling its role as a ‘guardian of a sustainable future’ by strengthening trust between nations.



Support for Veterans

Mobility Aid Support Project for Veterans

To honor those who have dedicated themselves to the nation, Hyundai Rotem partnered with the Gyeonggi Southern Veterans Affairs Agency in June 2025 to provide Hero Scooters worth KRW 30 million for elderly veterans. Designed to improve the daily mobility of war veterans with limited mobility, this project was funded by employee salary donations, adding deeper meaning to the initiative.



National Cemetery Tribute and Cleanup Volunteer Activities

In June 2025, to mark Patriots and Veterans Month, Hyundai Rotem visited the National Cemetery to pay its respects and conduct a cleanup campaign, honoring the noble sacrifices of fallen heroes and fostering patriotism. With the voluntary participation of employees, the initiative involved maintaining the cemetery grounds by cleaning tombstones, removing weeds, and laying flowers, providing a meaningful opportunity to honor those who dedicated their lives to the nation. Moving forward, Hyundai Rotem will continue to carry out various social contribution activities to promote a culture of honoring veterans and fulfill its social responsibilities.



Sponsorship of the Invictus Games

To support the rehabilitation and successful social reintegration of wounded veterans who served the nation, Hyundai Rotem signed a Memorandum of Understanding (MOU) with the Korea Disabled Veterans Organization and consistently sponsors sports promotion programs. The Company officially sponsored the South Korean national team participating in the 2025 Invictus Games in Canada. This sponsorship was designed to provide practical assistance to wounded veterans, helping them overcome physical and mental challenges through sports and strengthen their commitment to rehabilitation. Moving forward, the company will continue to leverage its partnership with the Korea Disabled Veterans Organization to actively expand social recognition and support for wounded veterans.



Social Contribution

Society (Community)

STRATEGY

GROWTH/CO-PROSPERITY

Flagship Social Contribution Program

“Subway for All” Signage Improvement Project for the Mobility Impaired

In 2025, Hyundai Rotem is launching “Subway for All,” an initiative to improve signage for passengers with limited mobility. As the division’s flagship CSR program, it leverages its railway expertise and technological capabilities to create social value. The project aims to ensure accessibility and create a safer environment by providing clear, intuitive information to help these passengers navigate complex subway stations.

In 2025, the first year of the initiative, the company completed improvement projects at 10 pilot stations with high foot traffic and complex transfers, including Seoul Station and City Hall Station. This was achieved through a public-private governance framework involving the Seoul Metropolitan Government, Seoul Metro, Hyundai Rotem, and incorporated association Muui. By applying universal design principles that address practical needs—such as developing new signage designs and installing clear route indicators for the mobility impaired—the company demonstrated the project’s high effectiveness. User evaluations conducted at City Hall Station with first-time visitors with mobility needs, including wheelchair and stroller users, showed an average reduction in wayfinding time of 6 minutes and 25 seconds. Additionally, 86.7% of participants reported a decrease in the psychological burden of using the subway.

Building on these achievements, we plan to expand the installation of signage to additional stations in Seoul by 2026 and pursue its inclusion in the Seoul Metropolitan Government’s standard guidelines. Hyundai Rotem will continue to realize a sustainable social contribution model through public-private partnerships and contribute to creating a society where everyone enjoys equal mobility rights.



Local Community Sharing

Support Activities for the Underprivileged in Uiwang

Hyundai Rotem advances various Social Contribution initiatives to support low-income and vulnerable groups in close collaboration with the local government, aiming to give back to the Uiwang community where its headquarters and R&D center are located. Notably, the company participates in the annual ‘Sharing Kimchi of Love’ event, contributing a total of KRW 13 million in conjunction with the program. Furthermore, the Company implements a medical assistance program for low-income residents in Uiwang to help eliminate healthcare blind spots within the community. In 2025, the company donated a total of KRW 27 million to support community members facing financial hardship who require urgent medical care. These funds are allocated for emergency surgery and treatment costs, providing up to KRW 3 million per person. Through these initiatives, Hyundai Rotem remains committed to addressing local challenges and building trust within the community.

Local Community Sharing Activities in Changwon

Hyundai Rotem’s Changwon Plant consistently implements tailored seasonal support programs to address structural issues within the local community and prevent the marginalization of vulnerable residents. For example, to ensure vulnerable individuals without family support do not feel isolated during the holidays, the Plant provided warm meals to free soup kitchens for the 2025 Lunar New Year. Additionally, during the Chuseok holiday, the Plant donated KRW 10 million in meal support funds to help prepare holiday food as part of the ‘Chuseok Love Sharing Event,’ reinforcing its commitment to the community.

In addition, the company provided practical assistance by delivering daily necessities to neighbors spending the holidays alone and supplying seasonal goods to the elderly during severe summer heatwaves and winter cold snaps. Furthermore, the company maintains ongoing relationships with low-income households through regular donations of essential goods. Moving forward, the company plans to consolidate its various support initiatives for vulnerable groups into a ‘Comprehensive Livelihood Support Program’ to establish a systematic and consistent Social Contribution model beyond individual relief efforts. Through this initiative, Hyundai Rotem aims to ensure consistency in addressing social issues, strengthen its Social Contribution identity, and foster shared growth with the local community.

Training Support

Egypt Refugee Area Children Education Support Project

In 2025, Hyundai Rotem implemented an educational support project for refugee children in Egypt, a key overseas market, to support the growth of future generations and build trust with local communities. The company distributed school kits containing essential items such as backpacks, stationery, and hand sanitizer to refugee children in the Borg El Arab and Montaza districts. Additionally, the company provided three psychosocial support sessions to help children overcome trauma associated with war and displacement. Moving forward, Hyundai Rotem is considering transitioning from one-time material donations to supporting comprehensive, sustainable educational environments by improving classrooms and installing hygiene and safety facilities. The company remains committed to ensuring the right to education for refugee children over the long term.



Sponsorship for the KAIST International Education Cooperation Program

To strengthen the strategic defense partnership between South Korea and Poland and foster local defense technology experts, Hyundai Rotem is collaborating with KAIST and major domestic defense companies to sponsor master’s and doctoral degree programs for outstanding Polish students. This program represents a public-private-academic partnership, jointly funded by the Defense Acquisition Program Administration (DAPA) and private enterprises, to nurture global defense professionals. Through this initiative, Hyundai Rotem is laying the groundwork for technological exchange between the two nations. By going beyond simple product exports to provide localized educational support, the company is contributing to the development of a sustainable global defense ecosystem.

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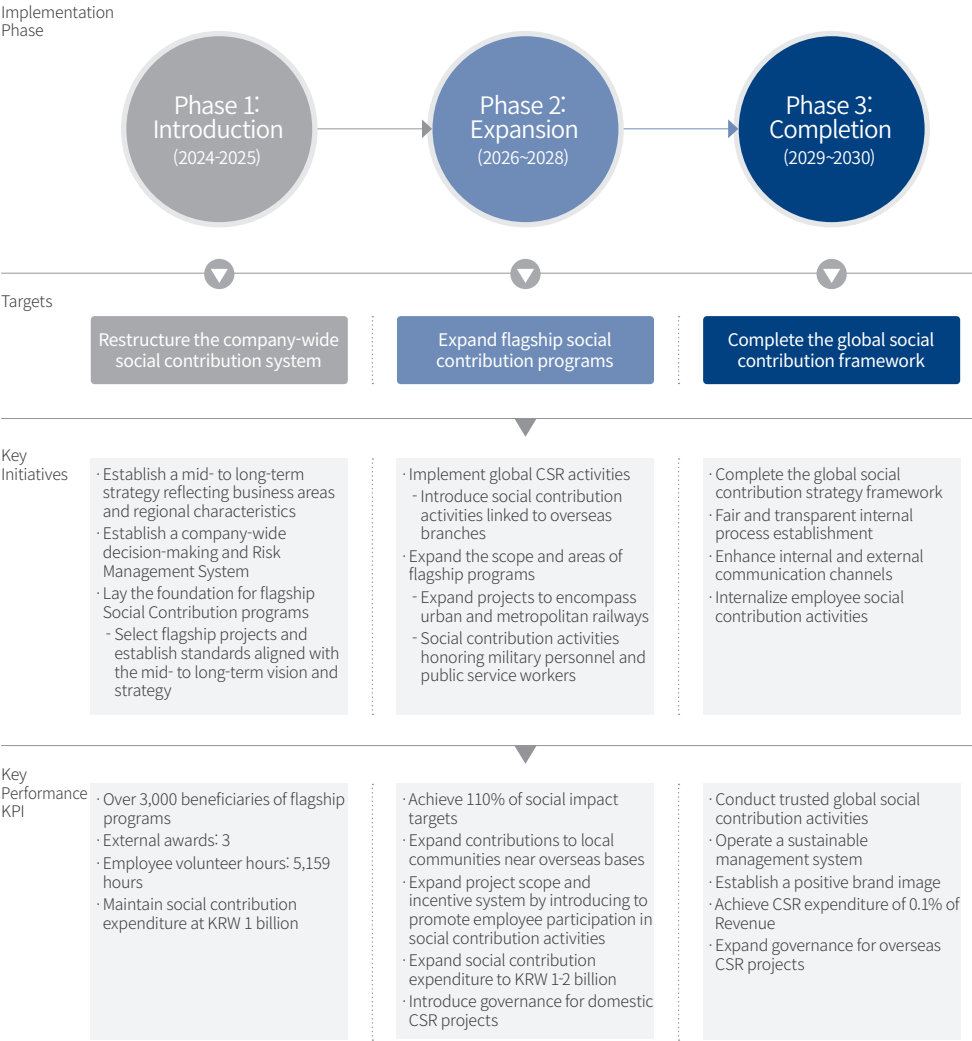
Appendix

Social Contribution

Social Contribution Targets

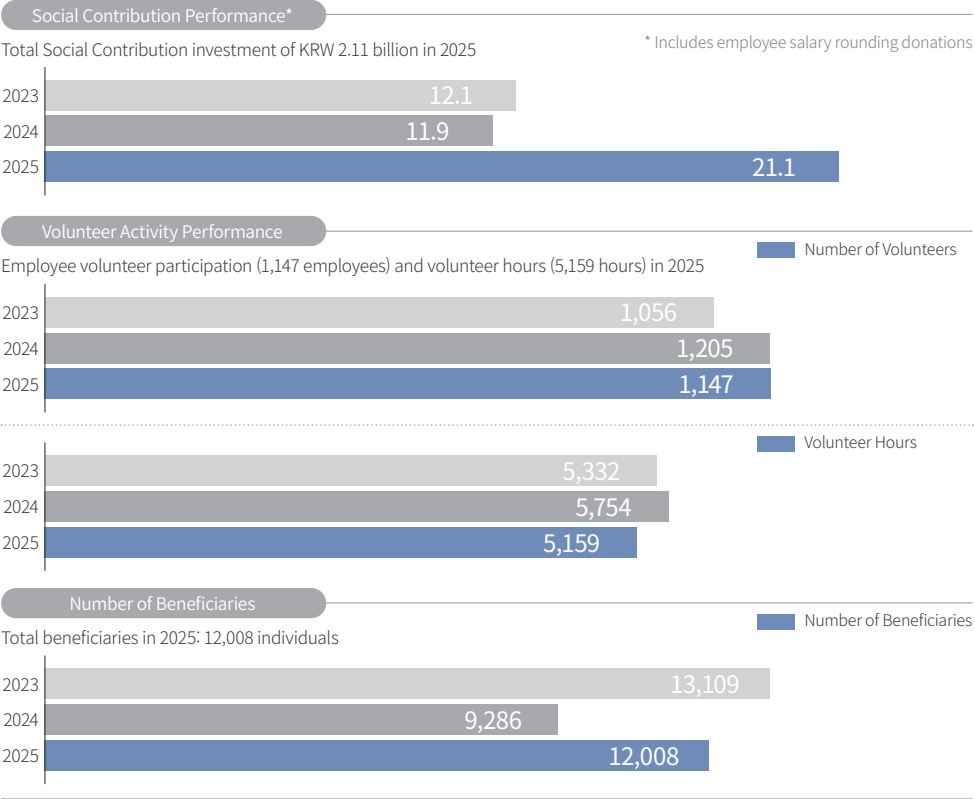
METRICS & TARGETS

Hyundai Rotem Mid- to Long-term CSR Roadmap



Social Contribution Performance

Hyundai Rotem fosters shared growth with local communities by engaging in Social Contribution activities across various fields, including social welfare, education and culture, and environmental conservation. In 2025, the company invested a total of KRW 2.11 billion in Social Contribution funding, representing a 77% year-over-year increase, to further expand its efforts in creating social value. Voluntary employee participation also remained strong, with 1,147 employees taking part in volunteer programs and dedicating a cumulative 5,159 hours to community service. Through collaboration with local communities based on trust and sincerity, the company delivered tangible benefits to approximately 12,008 individuals in 2025. Moving forward, Hyundai Rotem is committed to continuously expanding its Social Contribution investments and faithfully fulfilling its corporate social responsibilities.



GOVERNANCE

Hyundai Rotem has adopted Transparency, Integrity, Responsibility, Fairness, and Respect— its 'Five Principles of Governance'—as the foundation of its business activities to build a responsible management system trusted by all stakeholders.

Based on these principles, the company secures global market trust through fair and transparent decision-making, and pursues Shared Growth by sharing its vision and values with all stakeholders across borders. Furthermore, the company is committed to advancing as a sustainable and trusted enterprise through thorough risk management.

Joy / Jeon Hye-ryeong, Hyundai Rotem Employee

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Governance

Board of Directors (BOD)

Composition of the Board of Directors

As of May 2026, the Hyundai Rotem Board of Directors (BOD) consists of three inside directors, including the CEO, and four independent directors. It serves as the highest decision-making body, responsible for making key management decisions and overseeing corporate operations. In accordance with the Articles of Incorporation, CEO Lee Yong-bae concurrently serves as Chairman of the Board. This arrangement reflects the assessment that his extensive experience and expertise as the chief executive make him best suited to streamline business processes and enhance corporate value.



Management and Board of Directors

Board Expertise and Diversity Principles

To ensure the expertise and diversity of the Board of Directors (BOD), Hyundai Rotem maintains a pool of unregistered executives as candidates for inside directors. When appointing independent directors, the company rigorously reviews candidates for any grounds for disqualification in accordance with Article 382, Paragraph 3, and Article 542-8, Paragraph 2 of the Commercial Act. Independent director candidates are selected based on their expertise, leadership, and risk management capabilities across diverse fields, including accounting and finance, transportation engineering, national defense and security, and law and public administration. To enhance board diversity, Hyundai Rotem appointed its first female director in 2022. Following the appointment of Independent Director Kim Tae-Yeun in 2025, two female independent directors currently serve on the Board.

Board Independence Principles

Hyundai Rotem strictly adheres to the principle of maintaining a majority of independent directors on the Board of Directors (BOD) to ensure board independence and provide effective oversight of management. Independent directors are appointed following review and recommendation by the Independent Director Nomination Committee. Beginning at the candidate stage, individuals undergo thorough verification for any special relationships or conflicts of interest to ensure they can provide objective opinions independently of management and controlling shareholders. Furthermore, by stipulating in the Board regulations and Articles of Incorporation that directors’ liabilities cannot be reduced solely by a Board resolution, the company has established institutional safeguards that enable the Board to make transparent and responsible decisions.



Board of Directors Regulation

Composition of the Board of Directors

As of May 2026

Position	Name	Gender	Age	Position	Date of Latest Appointment (Term)	Recommended by	Professional Background
Inside Director	Lee Yong-bae	Male	65	CEO	March 2026 (3 years)	Board of Directors (BOD)	(Former) CEO and President, Hyundai Motor Securities
	Jo Hyung-joon	Male	51	Head of Defense Solution Business Division / CTO of DS R&D Hub (Concurrent)	March 2026 (3 years)	Board of Directors (BOD)	(Former) Head of System Development Office, Hyundai Rotem
	Jeong Jae-ho	Male	55	Head of Finance Division	March 2026 (3 years)	Board of Directors (BOD)	(Former) Head of Business Management Group, Hyundai Rotem
Independent Director	Yun Ji-won	Female	60	Chair of Independent Director Candidate Recommendation Committee	March 2025 (3 years)	Independent Director Candidate Recommendation Committee	(Current) Professor, Department of National Security, Sangmyung University (Former) Professor, Department of Diplomacy and National Security, Pyeongtaek University
	Kwag Se-boong	Male	65	Chair of Transparency Management Committee	March 2026 (3 years)	Independent Director Candidate Recommendation Committee	(Current) Advisor, Kim & Chang Law Firm (Former) Commissioner, Korea Fair Trade Commission (KFTC)
	Paek Seung-Geun	Male	61	Chair of Remuneration Committee	March 2025 (3 years)	Independent Director Candidate Recommendation Committee	(Current) Professor, Railway Logistics College, Woosong University (Former) Chairman, Metropolitan Area Wide Area Transportation Committee, Ministry of Land, Infrastructure and Transport
	Kim Tae-yeon	Female	52	Chair of Audit Committee	March 2025 (3 years)	Independent Director Candidate Recommendation Committee	(Current) Attorney, Yulchon LLC (Former) Team Leader, General Bank Inspection Bureau, Financial Supervisory Service

Board Skills Matrix

As of May 2026

Position	Inside Director			Independent Director			
	Lee Yong-bae	Jo Hyung-joon	Jeong Jae-ho	Yun Ji-won	Kwag Se-boong	Paek Seung-Geun	Kim Tae-Yeun
Independence				●	●	●	●
Legal/Administration					●	●	●
Finance/Accounting	●		●				●
Technical Expertise	●	●		●		●	
Leadership	●	●	●	●	●	●	●
Risk Management	●	●	●	●	●	●	●
Global Business Experience	●	●	●				
Disqualification Criteria for Independent Directors				X	X	X	X

Governance

Board of Directors

Board Support

To support the expertise and independent decision-making of the Board of Directors (BOD), Hyundai Rotem stipulates in its Board regulations that independent directors may seek advice from external experts when necessary. The Company also balances responsibility and authority by clearly defining the scope of directors' liability in its Articles of Incorporation. In accordance with Article 34 of the Articles of Incorporation, which reflects Article 399 of the Commercial Act, a director's liability is limited to six times their annual remuneration (three times for independent directors) for the preceding year, provided the act does not involve intent or gross negligence. Any liability exceeding this limit may be exempted through an ordinary resolution at the general meeting of shareholders. Furthermore, Hyundai Rotem maintains Directors and Officers (D&O) Liability Insurance to mitigate the risk of damage claims arising from management decisions, providing institutional support that enables directors to proactively perform their duties in a stable environment.

Board of Directors Training

Hyundai Rotem operates regular training programs, including business site visits, to strengthen the expertise of the Board of Directors. Board members enhance their practical understanding of the business, continuously improving their expertise and auditing capabilities to respond to the rapidly changing business environment.

Independent Director Training Record

Training Date	Description	Attendees
March 26, 2025	On-Site Training on Products and Production Plants	Yun Ji-won, Kwag Se-boong, Paek Seung-Geun, Kim Tae-Yeun
October 23, 2025	Visit to the Seoul International Aerospace & Defense Exhibition (ADEX 2025) and Review of Defense Technology Development Trends	Yun Ji-won, Kwag Se-boong, Paek Seung-Geun, Kim Tae-Yeun
November 23, 2025 - November 29, 2025	Visit to the Australia Branch and AUSRAIL Exhibition, and Inspection of Local Branch Status	Yun Ji-won, Kwag Se-boong, Paek Seung-Geun, Kim Tae-Yeun

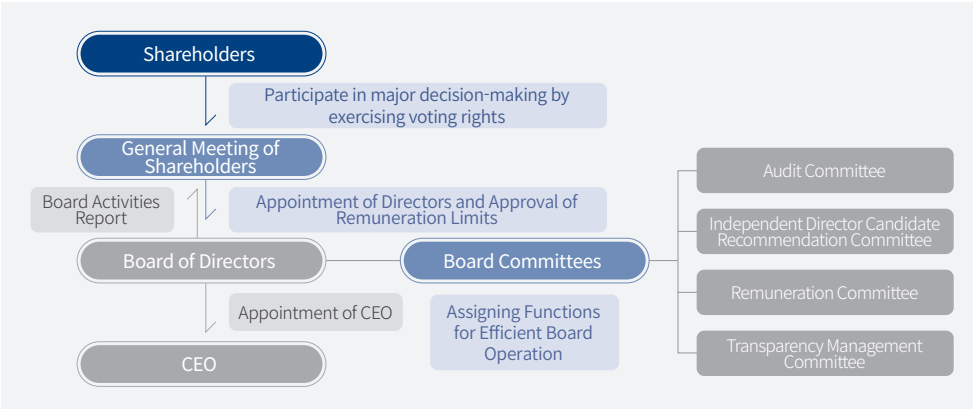
Training Provided to the Audit Committee

Training Date	Description	Attendees
May 9, 2025	The Future of Corporate Governance in 2025 for the Board of Directors (BOD) and Audit Committee (Changes in the Domestic and Global Environment and Effective Response Strategies)	Paek Seung-Geun
July 1, 2025	Considerations for the Board of Directors (BOD) and Audit Committee in Preparation for Sustainability Disclosures	Kwag Se-boong, Kim Tae-Yeun

Board Operations

Hyundai Rotem's Board of Directors (BOD) convenes regular meetings quarterly and extraordinary meetings as needed. In accordance with the Articles of Incorporation, meetings are called by the Chair of the Board or a director specifically designated by the Board. All directors receive advance notice of the agenda, time, and location one week prior to each meeting. In 2025, the Board held a total of eight meetings, achieving an average attendance rate of 100%. Board resolutions require the attendance of a majority of the directors and the affirmative vote of a majority of those present. The Company allows directors to participate and vote via remote communication if they are unable to attend in person. The Board's agenda extends beyond the mandatory voting items required by the Commercial Act, the Capital Markets Act, and other relevant regulations to encompass key issues that significantly impact the company's sustainability, such as climate change, ESG strategies, fair trade, and safety and health. Following each meeting, the company collects separate written opinions on the agenda items from independent directors to ensure the free exchange of ideas. Hyundai Rotem actively integrates these discussions into its management activities to enhance the effectiveness of Board decisions.

Board Decision-Making Process



Conflict of Interest

Hyundai Rotem is committed to fundamentally preventing potential conflicts of interest during the Board of Directors' decision-making process and ensuring fairness in top-level decisions. In accordance with the Articles of Incorporation, directors with a special interest in a specific agenda item are prohibited from exercising their voting rights on that matter. Furthermore, the company ensures that all decisions are made within legal boundaries by requiring that any potential conflict of interest be addressed by prioritizing the interests of the company and its stakeholders, in line with the Ethics Charter and the Code of Ethical Conduct.

Governance

Board of Directors

Board Operations

2025 ESG Agenda Items

Category	Date	Agenda
Deliberation	Feb. 6, 2025	2025 Safety and Health Plan
Deliberation	Feb. 6, 2025	Transactions Between Directors and the Company
Deliberation	Feb. 6, 2025	Approval of the Total Transaction Limit with the Largest Shareholder and Related Parties
Deliberation	Feb. 21, 2025	2025 Sustainable Management Implementation Plan
Deliberation	Feb. 21, 2025	Fair Trade Compliance Program Performance and Plans
Deliberation	May 14, 2025	Hyundai Rotem Human Rights and Supply Chain Transparency Statement
Deliberation	Jun. 27, 2025	Publication of the 2025 Sustainability Report
Deliberation	Dec. 18, 2025	Enactment of Sustainability Disclosure Regulations
Report	Jun. 27, 2025	Fair Trade Compliance Program Performance and Plans
Report	Aug. 5, 2025	Status of Safety and Health Plan Implementation

Board Committees

To maximize board expertise and facilitate efficient decision-making, Hyundai Rotem operates four committees under the Board of Directors (BOD): the Audit Committee, the Transparency Management Committee, the Remuneration Committee, and the Independent Director Candidate Recommendation Committee. These committees conduct in-depth discussions in their respective areas, and the company actively provides the necessary information and budget to ensure their independent operation. Furthermore, the company documents the operational regulations for all committees and transparently discloses them on its official website.



Audit Committee

The Audit Committee consists of three directors—one accounting and finance expert and two independent directors—with expertise in fields such as accounting, finance, administration, and commercial law. It plays a key role in overseeing the company’s financial soundness and management transparency. The committee deliberates and resolves on financial audits, operational oversight, and matters delegated by the Board. It protects shareholder rights by closely reviewing the appropriateness of the Financial Statements as well as the audit procedures and results of external auditors. To ensure member independence, the accounting and finance expert is appointed directly at the general shareholders’ meeting, separately from other directors. The Audit Committee meets regularly at least once a quarter, convening a total of seven times in 2025.

Independent Director Candidate Recommendation Committee

The Independent Director Candidate Recommendation Committee consists of one inside director and two independent directors in accordance with relevant laws and internal regulations, playing a pivotal role in the independent director appointment process. The committee identifies individuals with the expertise and capabilities required for management, rigorously evaluates their qualifications, and recommends them as candidates. The final recommended candidates are officially appointed upon approval at the General Meeting of Shareholders, thereby ensuring transparency and fairness in the appointment process.

Remuneration Committee

The Remuneration Committee consists entirely of three independent directors to ensure the objectivity and rationality of the director compensation system. The committee meets at least once a year to deliberate and resolve on the director compensation system, including compensation limits and payment methods. In 2025, the committee responsibly fulfilled its role by holding two meetings.

Transparency Management Committee

The Transparency Management Committee deliberates on matters that significantly impact shareholder rights and interests, as well as key management issues such as the transparency of internal transactions among group affiliates, monitoring of the Compliance Program (CP) implementation, mergers and acquisitions (M&A), the acquisition and disposal of major assets, and the execution of self-dealing transactions. Additionally, it comprehensively reviews major ESG risks, including issues related to climate change, safety and health, human rights, supply chain sustainability, and local communities. To ensure independence and objectivity, the committee is composed entirely of independent directors, and all its activities are transparently disclosed through various channels, including the Corporate Governance Report.

Governance

Board of Directors Evaluation

Performance Evaluation and Compensation

Evaluation of the Board of Directors and Independent Directors

Hyundai Rotem conducts an annual evaluation of the Board of Directors (BOD) and its committees to enhance board effectiveness and accountability. In addition, the company conducts a separate evaluation of independent directors to verify their independent participation in the Board and its committees. In the 2025 evaluation, the Board scored an average of 4.78 out of 5, while its committees scored 4.74. The independent director evaluation, which combines self-assessments and peer reviews, recorded an average score of 4.92. The company uses these annual evaluation results as foundational data to continuously enhance board operations.

Category	Evaluating Entity	Evaluation Cycle	Assessment Method	Assessment Criteria	Evaluation Score (out of 5)
Evaluation of Board Activities	Company	Annually	Director Evaluation	Composition, roles and responsibilities, operations, and performance of the Board, etc.	4.78
Committee Activity Evaluation	Company	Annually	Director Evaluation	Expertise, roles and responsibilities, operations, and performance of the committees, etc.	4.74
Independent Director Performance Evaluation	Company	Annually	Self-evaluation, peer evaluation	Independence, leadership, ethical awareness, diligence, contribution to enhancing diversity, etc.	4.92

Board of Directors Compensation

Hyundai Rotem aligns its director remuneration policy with the enhancement of long-term shareholder value. Individual director remuneration is determined at an appropriate level based on a comprehensive evaluation of contributions to the Board of Directors (BOD) and its subcommittees, job responsibilities, and the company’s financial performance. The Board reviews the director remuneration limit, which is then approved at the General Meeting of Shareholders. The company transparently discloses all remuneration details in its annual report. Director performance evaluations are based on individual achievements and serve as a key criterion for determining both remuneration and reappointment. To maintain independence, members of the Audit Committee do not receive any additional compensation beyond their standard director remuneration.

(Unit: KRW million)

Category	2023	2024	2025
CEO	2,550	2,553	3,258
Independent Director	72	72	78
Board of Directors (BOD)	512	585	652

Performance Incentive System for Inside Directors

Hyundai Rotem’s remuneration system for inside directors consists of a base salary, including rank and role-based pay, and performance incentives linked to corporate performance and individual contributions. The Company awards these incentives based on a comprehensive evaluation of financial results, such as revenue and operating profit, alongside the achievement of individual goals. The incentives reflect cumulative achievements and contributions throughout the director’s tenure, with the performance evaluation period spanning their total time in office.

Executive Compensation Criteria

Hyundai Rotem operates a formal evaluation and compensation system to determine executive compensation. Base salary is determined by position and role, while bonuses are based on a comprehensive evaluation of the business environment, annual business performance, and individual executive contributions. This system enhances the objectivity of executive evaluations and the transparency of the compensation decision process.

Sustainability-Linked Incentives

Hyundai Rotem differentiates performance indicators based on the specific roles and responsibilities of its executives, clarifying their duties by heavily incorporating ESG factors. Executives in business divisions, production, and R&D centers are evaluated primarily on practical, business-linked ESG performance, such as the financial performance of low-carbon products, as well as investments and R&D performance for climate change response. Corporate planning and support divisions are evaluated based on key indicators such as the establishment and execution of company-wide ESG risk response strategies, which cover climate change, safety and health, and social contribution. Each executive assesses climate-related risks and opportunities, responsibly managing R&D for low-carbon products along with associated capital expenditures (CapEx) and operating expenses (OpEx). The CEO synthesizes these plans and execution results to review the Company’s climate change response direction and employee incentive structure.

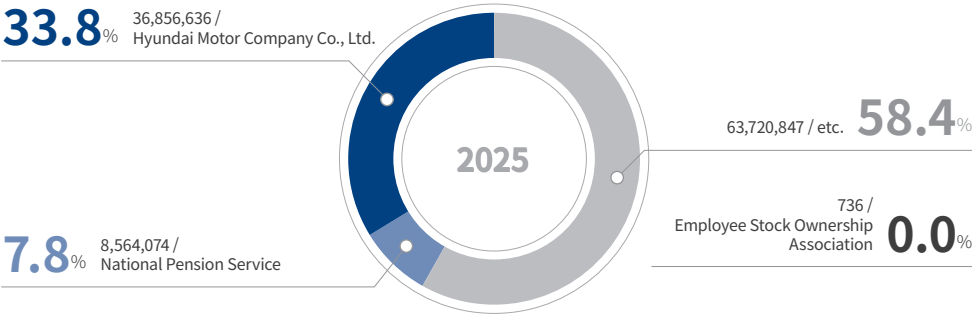
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Protection of Shareholder Rights

Shareholder Composition

Under its Articles of Incorporation, Hyundai Rotem is authorized to issue up to 200 million shares, with 109,142,293 shares issued to date. The par value is KRW 5,000 per share. All issued shares are common stock, carrying equal voting rights proportional to the number of shares held. As of the end of December 2025, Hyundai Motor Company is the largest shareholder, holding 33.8% of the total shares.



Establishment of the Board of Independent Directors

In November 2025, Hyundai Rotem appointed independent directors through a Board of Directors (BOD) resolution and established the Board of Independent Directors consisting solely of independent directors. This initiative strengthens board independence and contributes to protecting shareholder rights and enhancing governance transparency.

Establishment of Dividend Policy

Hyundai Rotem consistently pays dividends to enhance shareholder value, determining the payout amount by comprehensively considering investments for sustainable growth, financial soundness, and expanded shareholder returns. In February 2025, the Company transitioned its dividend policy from a Dividend Per Share (DPS) approach to a Dividend Payout Ratio basis. The Company raised the target payout ratio to 8%, applying this to the annual dividends from 2025 to 2027. Accordingly, the 2025 dividend doubled compared to the previous policy, reaching KRW 600 per share (an 8.5% payout ratio, totaling KRW 65.5 billion). The Company remains committed to steadily expanding shareholder returns and rewarding performance while upholding a predictable and sustainable dividend policy through stable growth in the payout ratio.

Dividend Policy Implementation Status

Date	Dividend Policy Objectives	Dividend Policy Implementation Status	Achievement rate against target (%)
February 2025	Increased by 10-50% year-over-year	Implemented	100%
February 2026	Increased dividend payout ratio to approximately 8% compared to the previous level	Implemented	100%

Ensuring Shareholder Rights

Hyundai Rotem shareholders can exercise their voting rights on key matters, including dividend payouts and the distribution of residual assets. Relevant information, such as the dividend history for the past five years, is transparently available at any time on the official website and the electronic disclosure system (DART). The company places the highest priority on protecting shareholder interests when making decisions that could significantly impact its corporate existence or shareholder rights.

Shareholder Rights Protection Activities

Hyundai Rotem is committed to protecting shareholder rights and enhancing shareholder value through active communication. To facilitate the exercise of voting rights, the company implements shareholder-friendly practices, such as operating an electronic voting system and scheduling general shareholder meetings on non-peak days. Notably, the company provides notice of the agenda for the annual general meeting four weeks in advance—two weeks earlier than the statutory requirement—ensuring shareholders have ample time for review. Furthermore, to enhance the credibility of its shareholder protection efforts, the company transparently discloses meeting outcomes on its website, including the approval and disapproval rates for each agenda item, the attendance rate excluding the largest shareholder and affiliated parties, and the overall status of voting rights exercised. In addition, the company actively shares its business performance and vision by hosting domestic and international investor relations (IR) events four times a year. Related information is available through the Data Analysis, Retrieval and Transfer System (DART) and the Korea Exchange’s disclosure channel (KIND).

Information Disclosure Activities

To enhance the reliability of its public disclosures, Hyundai Rotem has operated a systematic disclosure management system centered around the Disclosure Information Management Committee since 2017. By designating dedicated disclosure managers and personnel for each business division, the Company ensures the accuracy and timeliness of its information. These efforts have been externally recognized, with the company being named an Excellent Disclosure Corporation in 2020 and an Excellent English Disclosure Corporation in 2024. Disclosure personnel participate in training programs hosted by the Korea Listed Companies Association to stay updated on the latest regulations, and they identify potential disclosure issues in advance through monthly departmental meetings. Furthermore, the company emphasizes the importance of disclosure in its new employee training programs, contributing to enhanced shareholder trust through these structured activities.

Ethics and Compliance

Ethical Management

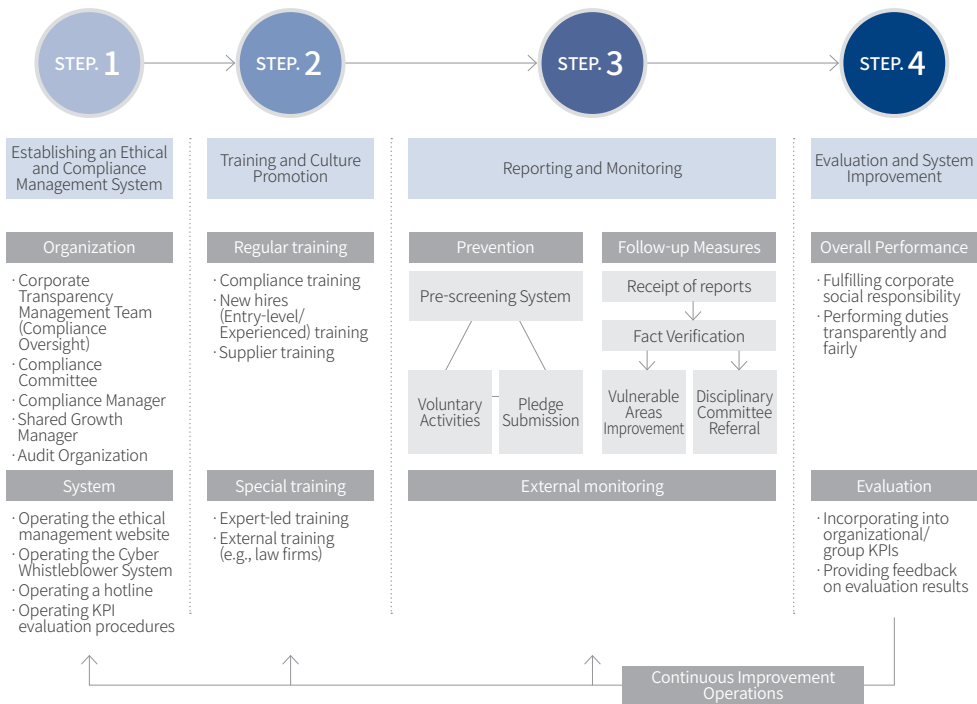
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Ethical Management Governance

Led by the Corporate Transparency Management Team, Hyundai Rotem systematically implements ethics and compliance management through collaboration among relevant departments. The Corporate Transparency Management Team oversees overall compliance management, including training, fostering a compliance culture, and monitoring, through the Fair Trade Compliance Program. The Compliance Council and the Compliance Officer regularly manage and review the program. Notably, the Compliance Manager reports the program’s operational performance and key issues to the Board of Directors (BOD), thereby supporting executive oversight and transparent, responsible management. Furthermore, the Shared Growth manager addresses ethical issues that may arise during transactions with suppliers, while the internal audit organization manages internal ethics-related matters to elevate the overall standard of ethical management across the Company. Through these efforts, Hyundai Rotem continuously strives to internalize a culture of compliance and realize responsible corporate management.

Ethics and Compliance Management System Operation Process



Ethical Management Framework

Hyundai Rotem considers the transparent and fair execution of duties a core management principle and ensures that all employees strictly comply with laws and ethics. This ethical management serves as the foundation for fulfilling corporate social responsibility, which encompasses economic, legal, ethical, and discretionary responsibilities, and for securing sustainable competitiveness by improving irrational practices. Hyundai Rotem’s Ethics Charter and Code of Ethics apply equally to employees of domestic and overseas production and sales subsidiaries, affiliates, and joint ventures, and serve as essential standards to be observed in all transactions with clients and suppliers. Furthermore, the company actively encourages all stakeholders to participate in ethical management, creating a sound industrial ecosystem for mutual growth.



Ethical Management Pledges by Employees and Suppliers

To internalize ethical management, Hyundai Rotem operates a regular pledge process for employees and suppliers. The company collects a ‘Compliance Management Pledge’ from all employees annually to foster a sense of responsibility for regulatory compliance. Furthermore, Hyundai Rotem separately receives an ‘Ethical Management Pledge’ from Purchasing Division employees and suppliers to clarify their obligations regarding transparency and fairness in business transactions.

In 2025, a total of 1,243 suppliers participated in the ethical management pledge, and the company sent official letters to suppliers on four occasions requesting compliance with transparency and fairness.

As such, Hyundai Rotem is making company-wide efforts to foster a culture where employees and suppliers clearly recognize the importance of ethical management and practice it together.

Ethics and Compliance

Ethical Management STRATEGY

Ethical Management Framework

Ethics and Compliance Management Strategy



Ethics Charter

- Hyundai Rotem conducts business based on clear and transparent standards, and fulfills its responsibilities with the utmost dedication.
- Hyundai Rotem competes fairly in the market and engages in fair transactions with its business partners.
- Hyundai Rotem provides safe products, optimal services, and accurate information to realize customer value, and strictly protects personal information. Hyundai Rotem respects each employee as an independent individual, providing fair working conditions and a safe work environment.
- As a global corporate citizen, Hyundai Rotem contributes to sustainable development that enables mutual prosperity for all stakeholders by fulfilling its social responsibilities.

Four Principles of the Code of Ethical Conduct

1. Transparent and Fair Execution of Duties
2. Maintenance of Transparent and Fair Relationships with Stakeholders
3. Prohibition of Personal Gain Using Company Assets
4. Protection of Company Information

Training and Culture

Ethics and Compliance Training Program

Hyundai Rotem regularly conducts ethics and compliance training to ensure that all employees clearly understand and apply relevant laws and ethical standards to their work. The training content reflects the latest legal revisions and market changes to enhance its effectiveness. The company has also maximized accessibility and participation by expanding on-demand online video content. Through these efforts, Hyundai Rotem continuously strengthens its training programs to establish a company-wide culture of ethics and compliance.

Status of Ethics and Compliance Training by Job Function

Category		Content	Target	Frequency
Compliance Training	New employee training	Understanding of fair trade and CP operation	New Hires	Upon hiring
	Online (or group) training	Amendments to the Fair Trade Act, Subcontracting Act, and other regulations, cases of legal violations, etc.	All employees	At least once a year
Fair Trade Act (internal transactions/ collusion) training		Internal transactions, collusion, transparency/fairness, etc.	Purchasing, Sales, Support, PM, etc.	At least once a year
Subcontracting Act Training		Subcontracting laws (e.g., misappropriation of technical data), violation cases, etc.	Purchasing, Sales, PM, R&D center, etc.	At least once a year
Supplier Training	Supplier subcommittee meetings, sharing of Shared Growth programs, etc.		Suppliers	Biannually (first and second half)
	Supplier Capacity Building Seminar			Annually (Suwon, Changwon)

Promoting a Culture of Ethics and Compliance Among Employees

In addition to training, Hyundai Rotem operates various communication channels to help employees naturally cultivate ethics and compliance awareness in their daily work. Notably, the company established a ‘Legal Board’ on the corporate intranet and publishes a monthly ‘Compliance Insight’ to provide practical legal information. This includes updates on legislative changes, fair trade trends, and recent legal precedents and violation cases. These initiatives ensure easy access to legal knowledge, helping employees internalize ethical standards and actively promoting a culture of ethics and compliance.

Ethics and Compliance

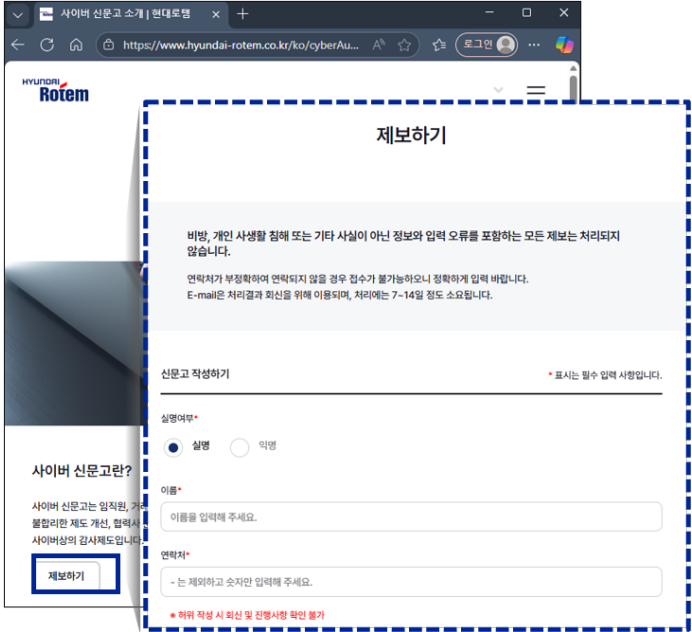
Ethical Management

RISK MANAGEMENT

Reporting and Monitoring

Internal and External Reporting Systems

To establish a transparent and fair corporate culture, Hyundai Rotem operates reporting channels that allow all stakeholders to safely report unethical conduct. External stakeholders, including suppliers, can anonymously report unfair trade practices, corruption, human rights violations, and ethical breaches through the Cyber Whistleblower System on the official website, while employees can submit reports via the internal whistleblower system on the company groupware. These channels also serve as platforms for suggesting system improvements, and the company handles all reports fairly while strictly protecting the identities of whistleblowers.

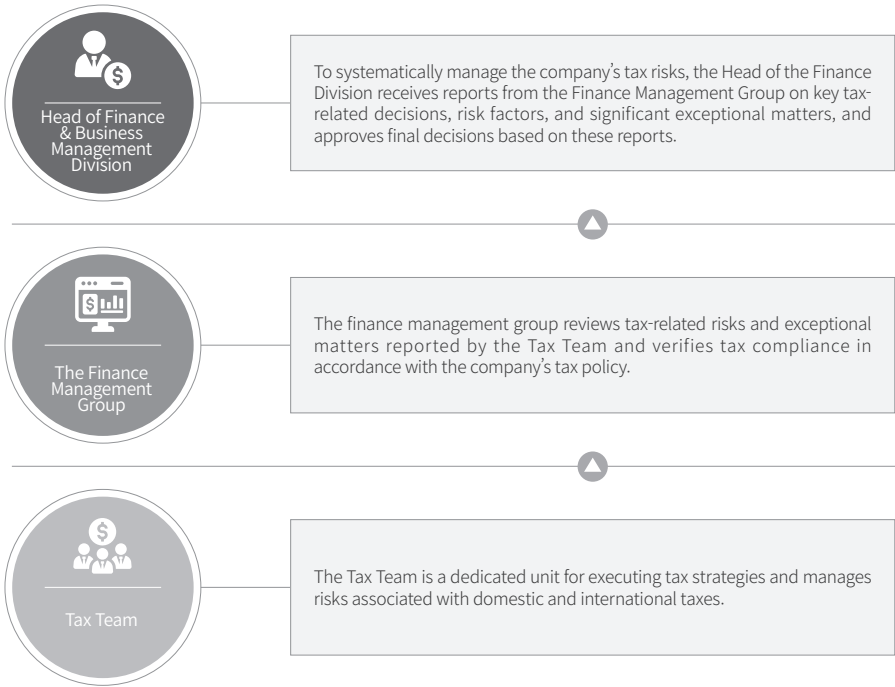


Online Reporting

Tax Management

Hyundai Rotem is committed to fulfilling its tax obligations and ensuring tax transparency across all business activities. To this end, the company strictly prohibits artificial tax avoidance through the use of tax havens or structures lacking commercial substance. To minimize risks such as double taxation, all international transactions comply with the internationally recognized arm's length principle. Furthermore, the company transparently discloses relevant data by filing Base Erosion and Profit Shifting (BEPS) reports for its cross-border transactions. When engaging in new overseas projects, the company proactively manages potential tax risks by thoroughly reviewing local tax laws and anticipated regulatory changes.

Tax-related Governance



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Ethics and Compliance

Ethical Management RISK MANAGEMENT

Tax Management

Tax Risk Identification and Prevention

Hyundai Rotem minimizes tax risks by managing comprehensive customs operations, including the import and clearance of cargo, reporting of off-site operations, and material requirement management. To ensure compliance with customs regulations, the company regularly trains relevant departments on applicable laws and clearance procedures. Furthermore, the company strengthens its compliance framework through comprehensive pre- and post-inspections, maintaining an AA rating for regulatory compliance by minimizing customs error rates. In 2024, the company achieved recertification as an AEO (Authorized Economic Operator), a designation that grants simplified customs procedures to companies meeting stringent standards. As a result, Hyundai Rotem benefits from expedited customs clearance, including inspection exemptions, when importing from countries with an AEO Mutual Recognition Arrangement (MRA). To maintain this certification, the company ensures strict adherence to the program's requirements by completing mandatory annual training.



AEO (Authorized Economic Operator) Certificate

Tax Management Process

	Review of Current Tax Issues	· Reviewing the impact of emerging tax issues on the company · Reviewing the potential impact of changes in tax laws on the company · Reviewing tax risks prior to tax audits (conducted every five years) and minimizing audit-related risks
	Review of Tax Filing Appropriateness	· Reviewing the appropriateness of tax bases and amounts prior to tax filings, including withholding tax (10th of each month), VAT (25th of each month), year-end tax settlement (March 10th of each year), and corporate tax (end of March each year) (Filing Manager → Team Leader → Office Head → Division Head)
	Review of New Project Bids	· Conducting tax review for newly bid overseas projects · Reviewing whether corporate tax, VAT, withholding tax, and personal income tax are appropriately reflected in bid prices · Assessing tax risks associated with business structures · Conducting preliminary tax risk assessments for new markets through external consultants
	Review of Tax Systems by Country	· Reviewing tax systems by country and assessing the impact of tax law changes on the company
	Review of Tax Filing Appropriateness for Overseas Sites	· Reviewing tax returns and Financial Statements prior to corporate tax filings for each overseas site to ensure appropriateness before submission · Collaborating with headquarters to prepare local TP documentation
	Compliance with Global Minimum Tax Regulations	· Disclose notes and file reports related to the Global Minimum Tax
	Responding to Tax Issues at Overseas Operations	· Conducting preliminary reviews of tax matters through regular business trips to overseas sites · Communicating and coordinating with local tax agents when overseas tax issues arise

Ethics and Compliance

Fair Trade RISK MANAGEMENT

Compliance Program (CP)

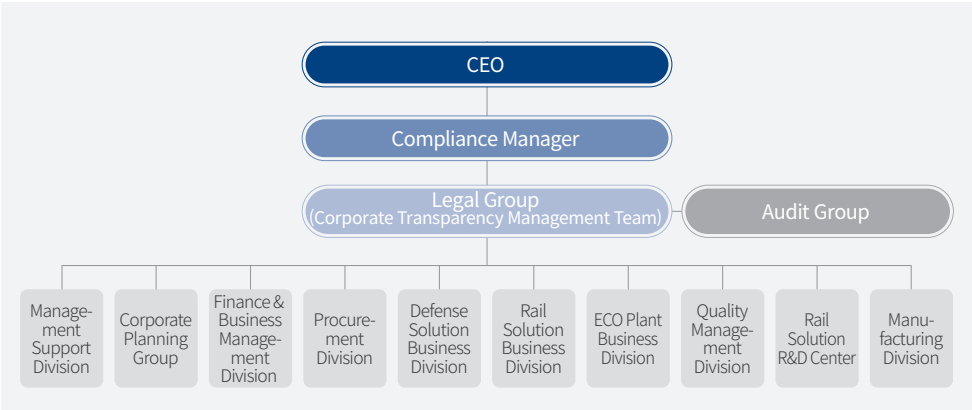
Hyundai Rotem operates the Fair Trade Compliance Program (CP) to proactively prevent risks associated with fair trade law violations and to internalize a culture of compliance. In addition, the company transparently discloses clear standards of conduct for all employees and CP operational regulations on its official website. To swiftly respond to rapidly changing regulations and market environments, the company annually revises and distributes the ‘Fair Trade Compliance Manual,’ which serves as a comprehensive CP guide.

The Fair Trade Compliance Council serves as the highest decision-making body for Hyundai Rotem’s Compliance Program (CP) and oversees its overall operations. Comprising the Compliance Manager (Director of Management Support Division) and the heads of each division, the Council establishes fundamental compliance policies and regularly reviews divisional compliance activities during its quarterly meetings. The Compliance Council also performs essential functions to ensure the effective operation of the CP, including discussing disciplinary actions for regulatory violations and providing recommendations and advisory support for necessary measures.

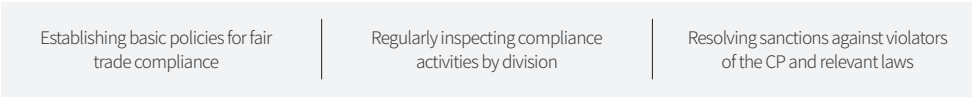
The annual activity plans and operational status discussed by the council are regularly reported to the Board of Directors (BOD), ensuring that company-wide compliance and ethical management are systematically implemented under the supervision of top management.

[Fair Trade Code of Conduct](#)

Composition of the Compliance Council



Role of the Compliance Council



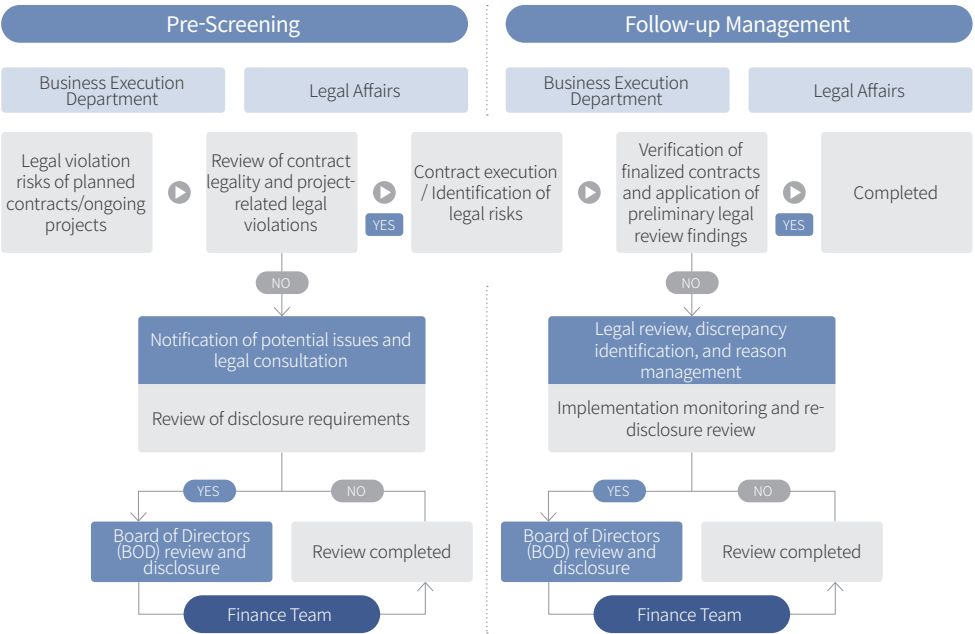
Fair Trade Compliance Monitoring

Fair Trade Pre-Screening System

Hyundai Rotem operates the Fair Trade Pre-Screening System to systematically manage risks that may arise before and after business execution. Through collaboration between business execution departments and the Legal Affairs Office (Corporate Transparency Management Team), this system proactively reviews the legality of contracts and potential legal violations, and conducts follow-up management throughout contract implementation.

During the pre-screening stage, the company prevents potential disputes by closely reviewing the legal validity of contracts and the materiality of risks. In the follow-up management stage, the company comprehensively monitors compliance during actual contract implementation and strengthens responsible management by reviewing whether to include relevant transactions for re-disclosure if necessary.

Fair Trade Pre-Screening Process



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Ethics and Compliance

Fair Trade RISK MANAGEMENT

Fair Trade Compliance Monitoring

Conducting On-site Inspections for Fair Trade Compliance

Hyundai Rotem conducts annual inspections across all departments to preemptively identify and manage fair trade compliance risks. The company operates a phased inspection system, first identifying high-risk departments through written assessments before conducting in-depth on-site due diligence.

The company immediately addresses vulnerabilities identified during due diligence with corrective actions. The company also implements practical follow-up measures, such as providing customized fair trade training for relevant employees and issuing detailed guidelines tailored to specific job functions. Through these efforts, Hyundai Rotem strengthens the risk management capabilities of each department and advances its prevention-oriented fair trade management system.

Raising Awareness of Fair Trade

Posting the CEO’s Declaration of Fair Trade Compliance

Hyundai Rotem posts the CEO’s Declaration of Fair Trade Compliance biannually to foster a fair and transparent trade culture across the organization. By publishing this declaration on the internal bulletin board and the corporate website, the company continuously reminds employees of the importance of fair trade and strives to enhance stakeholder trust.



Fair Trade Training Program

Hyundai Rotem provides Fair Trade Compliance Program (CP) training for all employees, including contract workers. The company tailors the training content based on job grade, department, and task relevance. To ensure accessibility, training videos are available year-round via PCs and mobile devices, allowing employees to complete the courses anytime and anywhere. The curriculum covers the latest amendments to essential business regulations, including the Fair Trade Act. The company assesses the effectiveness of the program based on completion results and tracks employee comprehension through quantitative metrics. Additionally, Hyundai Rotem annually revises and distributes its Fair Trade Handbook to embed a culture of fair trade compliance throughout the organization.



Conducting Anti-Collusion Training

Hyundai Rotem conducts regular fair trade training for all sales employees to eradicate collusion and establish fair competition. The training is designed to enhance understanding of anti-collusion laws and the prohibition of unfair collaborative practices, providing a self-assessment checklist for employees to use in their daily operations. Additionally, the company focuses on strengthening practical preventive measures by sharing actual violation cases to raise employee awareness and proactively mitigate fair trade risks.

Process for Fair Trade with Related Parties and Competitors

Hyundai Rotem operates internal control processes to mitigate the risk of fair trade violations and establish a transparent trade culture. In particular, the company mandates prior reviews for transactions with related parties, including affiliates, to ensure legitimacy and reasonableness, thereby preventing unfair practices. Furthermore, under the Competitor Contact Reporting System, employees who come into contact with competitors must voluntarily report the interaction to receive relevant guidelines. This helps control potential risks that could lead to collusion or other unfair collaborative acts.

Undergoing External Evaluation of the Fair Trade Compliance Program to Enhance External Credibility

Hyundai Rotem’s Fair Trade Compliance Program (CP) achieved an ‘AA’ rating for two consecutive years (2024 and 2025) in the CP evaluation administered by the Fair Trade Commission. This officially recognizes that the company’s compliance system operates systematically and effectively at a high standard. Building on this achievement, Hyundai Rotem is committed to further strengthening its compliance-based management capabilities and firmly embedding a culture of fair trade throughout the organization.

Supplier Fair Trade Practice Program

Hyundai Rotem conducts regular communication activities and campaigns to foster a sound and transparent business culture based on mutually beneficial cooperation with suppliers. The company regularly hosts the ‘Hyundai Rotem Partners Day’ and subcommittee meetings to discuss transparency and fairness in fair trade practices and to listen to feedback from the field. In addition, the company continuously strives to embed a transparent and fair partnership culture throughout the organization by running a campaign against the exchange of gifts.

Ethics and Compliance

Ethical Management METRICS & TARGETS

Ethical Management Performance

Hyundai Rotem implements proactive preventive measures, including compliance inspections, ethics and compliance training, and the operation of internal and external reporting systems, to firmly establish a culture of ethical management and compliance. In 2025, the company conducted ongoing legal risk assessments on supply contracts and achieved full employee participation in ethics and compliance training. Furthermore, the company promptly processes internal and external reports submitted through the cyber whistleblower system.

Ethics and Compliance Program

Category	Details	Specifics
Compliance inspections	Ongoing	Legal risk reviews of product supply agreements, service agreements, MOUs, NDAs, etc.
	Ongoing	Legal reviews of disputes with stakeholders, including clients and suppliers
Ethics and Compliance training	June	Fair trade training
	November	Compliance Training
Compliance awareness	January, July	Posting of the CEO's Declaration of Fair Trade Compliance
	January	Collection of compliance management pledges
	Ongoing	Notices on recent legislative amendments and law enforcement policy trends

Ethics and Compliance Training Performance

Category	2023	2024	2025
Number of Training Sessions	5 sessions ¹⁾	6 sessions ¹⁾	6 sessions
Number of Training Participants	3,838 persons	4,263 persons	2,414 persons
Training Participation Rate	100% ¹⁾	100%	100%

1) Historical data (2023, 2024) has been revised following the change in training calculation criteria to the number of training sessions by program.

Internal and External Cyber Whistleblower System Reports and Resolutions

Category		Unit	2023	2024	2025
Cyber Whistleblower System	Whistleblowing Reports	Cases	1	2	0
	Report Resolution Rate	%	100	100	-

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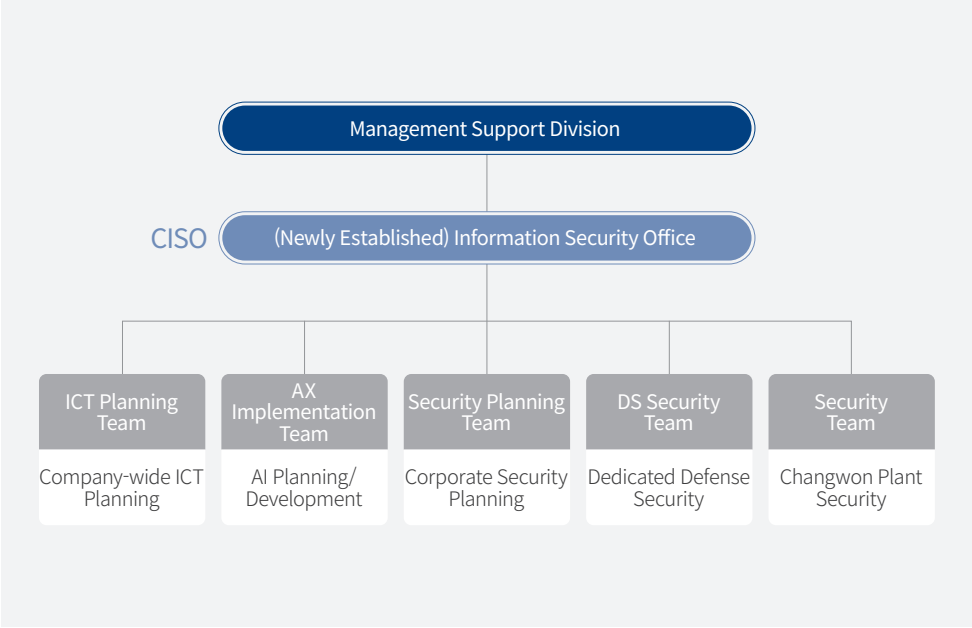
Information Security

Information Security Management GOVERNANCE

Information Security Management System

Hyundai Rotem’s information security organization is responsible for protecting the company’s core assets from increasingly sophisticated external cyber threats and the risk of internal information leaks. It oversees the information security system by establishing, approving, and implementing company-wide security policies, conducting and responding to internal and external security audits, and providing security training for employees. The company manages information security risks by appointing security managers and dedicated personnel at each site, and maintains a consistent and systematic level of information security by sharing key issues and operational updates through regular security council meetings involving the company-wide information security organization.

Information Security Organization Chart



Information Security Management STRATEGY

Information Security Activities

Security Training for Core Technology Handlers

In line with the Ministry of Trade, Industry and Energy’s policies to prevent the leakage of national core technologies and strengthen their protection, Hyundai Rotem is continuously enhancing its security training to raise awareness of the importance of core technologies and prevent their leakage. The training focused on essential practical topics, including an overview of core technologies and the necessity of their protection, recent amendments to the Industrial Technology Protection Act, and Hyundai Rotem’s current portfolio of core technologies along with its management and protection systems. This program ensured that personnel handling core technologies fully understood the latest regulations and internal security procedures. Based on the results of satisfaction surveys and feedback analysis, the company plans to provide even more effective security training for these personnel in the future

Regular Employee Pledge Campaign

Hyundai Rotem conducts a regular pledge signing campaign as an internal control measure to enhance employee security awareness and comply with legal requirements. This campaign aims to ensure all employees clearly understand their information security responsibilities and commit to fulfilling their compliance obligations. In 2025, the company achieved a 100% completion rate for pledge collection across three areas: Trade Secret Protection Pledges from 3,026 general and research employees, National Core Technology Protection Pledges from 129 personnel handling national core technologies, and Personal Information Security Pledges from 358 personal information handlers. To enhance the effectiveness of these pledges, the company continues to award team and individual KPI bonus points upon completion and integrate the campaign with Security Day training. Through these initiatives, the company plans to reinforce awareness of the importance of trade secrets, national core technologies, and personal information, thereby solidifying a company-wide security culture.

Information Security Management System (ISO 27001) Certification

Hyundai Rotem recognizes the critical importance of information security and maintains certification to ISO 27001:2022, the international standard for information security management systems. This certification officially demonstrates that the company’s information security management system meets international requirements and operates effectively. Since achieving its initial certification in 2008, the company has successfully maintained its status through continuous system improvements and rigorous management, and remains committed to securely protecting the information of its customers and stakeholders.

Information Security

Information Security Management

STRATEGY

Information Security Activities

Personal Information Protection

Hyundai Rotem strictly complies with its obligations under the Personal Information Protection Act and systematically manages the entire information lifecycle—from collection and use to disposal—in accordance with established principles. The company minimizes the processing of critical personal information, such as sensitive and unique identification information, and enhances security by implementing technical safeguards. Furthermore, the company mandates regular training at least once a year for all employees handling personal information. Through this systematic management and proactive prevention, the company has maintained zero incidents of complaints, regulatory violations, or leaks related to customer personal information.

Personal Information Protection Targets by Division



Personal Information Protection Targets

Automation of testing and inspection and securing quality personnel expertise

Supplier User Information

Personal Information System

Visitor Information



Operations Manager

HR Team, Procurement Team

Supplier Support Team

ICT Planning Team

Biz. Support Team, Security Manager

Information Security Risk Management

Hyundai Rotem operates a systematic information security risk management process to prevent the leakage of corporate and customer information. First, the company identifies potential risks by comprehensively analyzing internal and external environments, emerging security threats, and system vulnerabilities. The company then prioritizes actions for the identified risks based on their severity. Finally, the company addresses these risks sequentially, starting with high-risk items, and is committed to continuously enhancing its information security posture to prevent recurrence.

Information Security Risk Management System



Step.1 Information Security Environment Analysis

- Analysis of internal environment and issues
- Analysis of external environment and issues
- Expectations and requirements of stakeholders
- Legal compliance
- Existing security activities and issues
- Suitability of certification scope



Step.2 Risk Assessment and Treatment

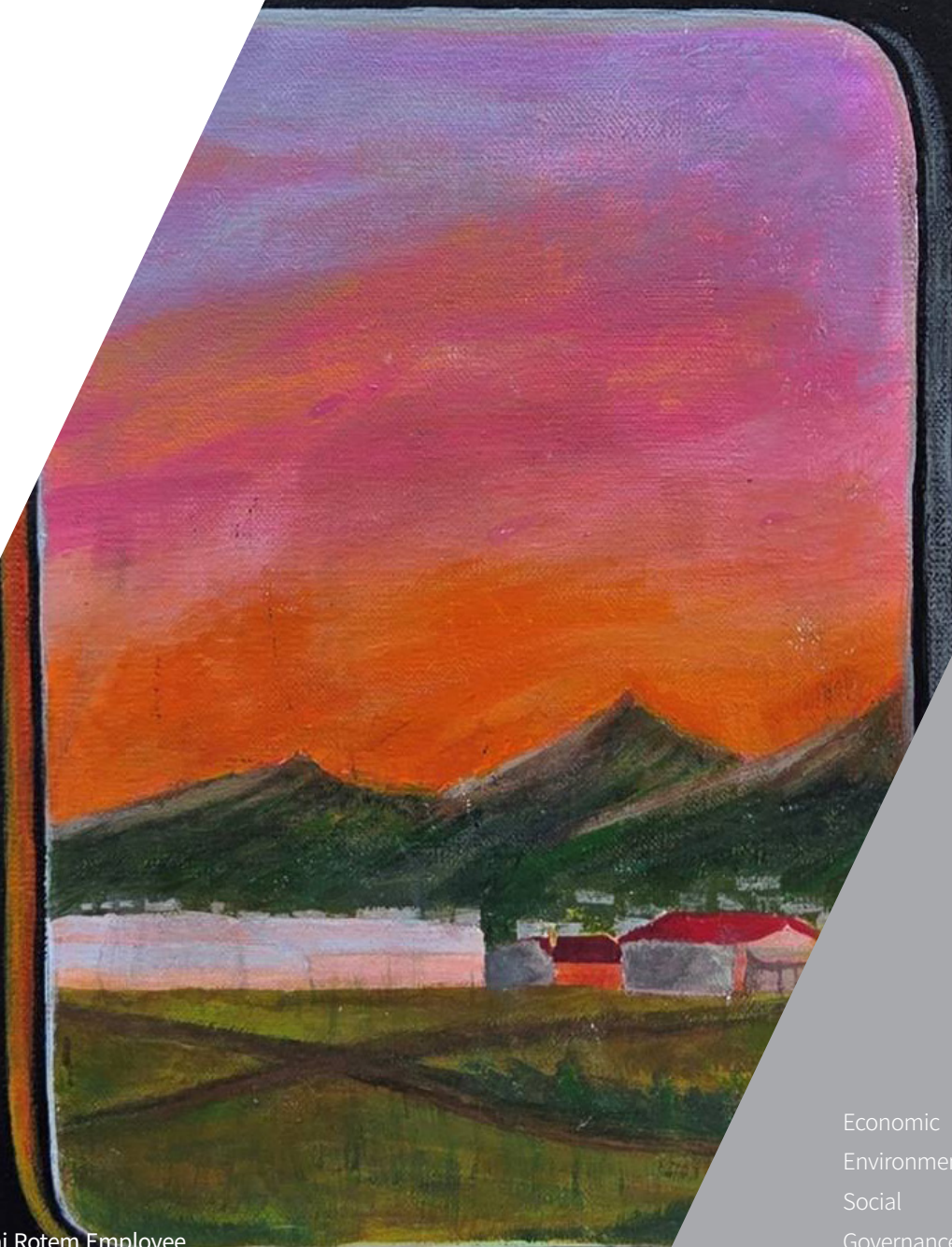
- | | |
|--|--|
| Risk Assessment <ul style="list-style-type: none">· Risk identification· Risk assessment· Risk level determination· Prioritization of risk treatment | Risk Treatment <ul style="list-style-type: none">· Establishment of risk treatment measures· Preparation of Statement of Applicability· Establishment of risk treatment plans· Approval by risk treatment owners |
|--|--|



Step.3 Application of Results

- Continuous management of risks identified as high-risk
- Application of control measures to reduce risk levels
- Implementation of continuous improvement activities

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Travel / Mirae Kang, Hyundai Rotem Employee

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Economic*

Financial Status

	Category	Unit	2023	2024	2025
Assets	Current Assets		3,690	3,686	7,163
	Non-current Assets		1,552	1,599	2,155
	Total		5,242	5,285	9,318
Liabilities	Current Liabilities		3,205	3,020	5,776
	Non-current Liabilities		390	256	501
	Total		3,595	3,276	6,277
Equity	Common Stock Capital	KRW billion	546	546	546
	Share Premium		520	520	520
	Retained Earnings		317	688 ¹⁾	1,434
	Other Capital Components		297	291	579
	Non-controlling Interests		-33	-36	-38
	Total		1,647	2,009 ¹⁾	3,041
Equity Ratio (Equity/Assets)		%	31	38	33
Debt Ratio (Liabilities/Equity)			218	163	206

1) Restated prior-year (2024) data.

Financial Performance (Consolidated)

	Category	Unit	2023	2024	2025
Sales			3,587	4,377	5,839
Cost of Sales			3,123	3,548	4,447
Gross Profit			464	829	1,392
Operating Profit			210	457	1,006
EBITDA (Operating Profit + Depreciation + Amortization)		KRW billion	250	504 ¹⁾	1,065
Profit(Loss) Before Tax			181	510	1,004
Tax Expense (Income)			24	104	234
Profit (Loss)			156	405	770

1) Restated prior-year (2024) data.

Economic Value Generated and Distributed

	Category	Unit	2023	2024	2025
Economic Value Distributed (Consolidated)	Total Dividends (Shareholders and Investors) ¹⁾		11 ²⁾	11	22
	Interest Expenses (Shareholders and Investors)		29	17	8
	Employee Salaries (Employees)		460	577	653
	Raw Material Costs (Suppliers)		1,394	1,974	2,481
	Corporate Taxes (Government)		24	104	234
	Donations (Local Community)		1	1	2
	Total		1,919	2,684	3,400
Economic Value Distributed (Separate basis)	Total Dividends (Shareholders and Investors) ¹⁾	KRW billion	11 ²⁾	11	22
	Interest Expenses (Shareholders and Investors)		27	14	6
	Employee Salaries (Employees)		423	525	575
	Raw Material Costs (Suppliers)		1,414	2,066	2,545
	Corporate Taxes (Government)		23	105	229
	Donations (Local Community)		1	1	2
	Total		1,899	2,722	3,378

1) Disclosed figures are based on “dividends recognized as distributions to owners” as presented in the annual report. (Total cash dividends can be found in Section 6, “Matters Concerning Dividends,” of the annual report.)

2) Restated to reflect data omitted from the prior-year (2023).

*Differences may occur between actual and reported amounts due to rounding

Factbook

Economic

Intellectual Property

	Category		Unit	2023	2024	2025
Current Status of Intellectual Property	Patents	Domestic	Cases	613	628	642
		Overseas		7	7	10
		Subtotal		620	635	652
	Designs	Domestic		320	364	395
		Overseas		4	4	5
		Subtotal		324	368	400
	Copyrights	Domestic		78	78	88
		Overseas		0	0	0
		Subtotal		78	78	88
	Trademarks	Domestic		51	51	51
		Overseas		0	0	0
		Subtotal		51	51	51

R&D Investment

	Category	Unit	2023	2024	2025
R&D expenses		KRW million	145,163	195,874	220,366
Number of R&D positions (Number of Employees)		Persons	933	988	1,138
R&D expenses to sales ratio		%	4.2	4.5	3.9

Government Subsidies

	Category	Unit	2023	2024	2025
Monetary value of financial assistance received from the government (R&D support, etc.) ¹⁾		KRW 100 million	116	102	143

1) Prior-year (2023, 2024) data restated due to changes in calculation methodology.

Production

	Category		Unit	2023	2024	2025
Products/parts manufactured by the company	RS	Production volume	Number	491 ¹⁾	295	400
	DS	Production volume	Number	267 ¹⁾	373	418
Area of Production Plants	Changwon		m²	629,891	629,891	629,891
Remanufactured products and service revenue	RS	KRW 100 million		629	501	416
	DS			2,703	2,425	2,665
	EP			671	544	200
	Total			4,003	3,470	3,281

1) Restated prior-year (2023) data.

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Environmental

Scope 1 and 2 Greenhouse Gas Emissions^{1),2)}

Category			Unit	2023	2024	2025
Domestic	Changwon Plant	Scope 1 Emissions	tCO ₂ eq	5,575	6,181	7,030
		Scope 2 Emissions		12,480	12,791	13,788
		Subtotal		18,055	18,972	20,818
	Dangjin Plant	Scope 1 Emissions		833	896	841
		Scope 2 Emissions		2,637	2,422	1,724
		Subtotal		3,470	3,318	2,565
	Uiwang Business Site	Scope 1 Emissions		616	525	682
		Scope 2 Emissions		3,631	3,659	3,610
		Subtotal		4,247	4,184	4,292
	Other domestic sites (CS base, etc.)	Scope 1 Emissions		19	18	69
		Scope 2 Emissions		203	197	490
		Subtotal		222	215	559
Domestic Total	Scope 1 Emissions	7,043	7,620	8,622		
	Scope 2 Emissions	18,951	19,069	19,612		
	Total	25,994	26,689	28,234		
Overseas	Hyundai Rotem Türkiye	Scope 1	-	7	138	
		Scope 2	52	115	220	
		Subtotal	52	122	358	
	Hyundai Rotem Brasil	Scope 1	4	5	-	
		Scope 2	138	53	-	
		Subtotal	142	58	-	
	Hyundai Rotem USA	Scope 1	-	-	-	
		Scope 2	4	21	2	
		Subtotal	4	21	2	
	Hyundai Rotem Smart Electric America	Scope 1	-	-	-	
		Scope 2	-	-	15	
		Subtotal	-	-	15	
	Hyundai Rotem New Zealand/ New Zealand Branch	Scope 1	-	-	56	
		Scope 2	32	52	48	
		Subtotal	32	52	104	
	Hyundai Rotem Australia/Australia Branch	Scope 1	-	-	-	
		Scope 2	23	423	11	
		Subtotal	23	423	11	
	Hyundai Rotem Europe	Scope 1	-	-	-	
		Scope 2	6	17	474	
		Subtotal	6	17	474	
	Other Overseas Sites	Scope 1	-	-	78	
		Scope 2	234	108	96	
		Subtotal	234	108	174	
Overseas Total	Scope 1 Emissions	4	13	272		
	Scope 2 Emissions	490	788	866		
	Total	494	801	1,138		

1) In 2025, the reporting scope for greenhouse gas emissions and energy data was expanded to include all domestic and overseas sites and subsidiaries on a consolidated basis.

2) Discrepancies in certain figures may occur due to rounding of decimal points.

Scope 1 and 2 Greenhouse Gas Emissions^{1),2)}

Category			Unit	2023	2024	2025
Subsidiaries ³⁾	Rotem SRS ⁴⁾	Scope 1	tCO ₂ eq	-	-	-
		Scope 2		-	-	4,286
		Subtotal		-	-	4,286
	S-Trans	Scope 1		-	-	-
		Scope 2		-	-	4
		Subtotal		-	-	4
	Gimpo Goldline SRS ⁵⁾	Scope 1		-	-	28
		Scope 2		-	-	9,882
		Subtotal		-	-	9,910
	Total for subsidiaries	Scope 1 Emissions		-	-	28
		Scope 2 Emissions		-	-	14,172
		Total		-	-	14,200
(Domestic + Overseas) Total	Scope 1 Emissions	7,051		7,632	8,894	
	Scope 2 Emissions	19,441		19,857	20,478	
	Total	26,492		27,489	29,372	
(Domestic + Overseas+ Subsidiaries) Total	Scope 1 Emissions	7,051		7,632	8,922	
	Scope 2 Emissions	19,441		19,857	34,650	
	Total	26,492		27,489	43,571	

1) In 2025, the reporting scope for greenhouse gas emissions and energy data was expanded to include all domestic and overseas sites and subsidiaries on a consolidated basis.

2) Discrepancies in certain figures may occur due to rounding of decimal points.

3) Newly compiled and disclosed in 2025

4) Headquarters, Sillim Line Operation Site

5) Depot, Unyang Station, Pungmu Station, Gimpo Airport Station

Greenhouse Gas Emissions Intensity^{1), 2)}

Category			Unit	2023	2024	2025
Excluding subsidiaries	Sales Revenue (Consolidated)		KRW billion	3,587	4,377	5,839
	Total Greenhouse Gas Emissions		tCO ₂ eq	26,492	27,489	29,372
	GHG Emissions Intensity		tCO ₂ eq/KRW billion	7.4	6.3	5.0
Including subsidiaries	Sales Revenue (Consolidated)		KRW billion	N/A	N/A	5,839
	Total Greenhouse Gas Emissions		tCO ₂ eq	N/A	N/A	43,571
	GHG Emissions Intensity		tCO ₂ eq/KRW billion	N/A	N/A	7.5

1) As the reporting scope for greenhouse gas emissions and energy data was expanded in 2025 to include all domestic and overseas sites and subsidiaries on a consolidated basis, greenhouse gas emissions intensity data is disclosed both with and without subsidiaries to ensure comparability.

2) Based on total scope 1 and 2 emissions

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Environmental

Scope 3 Greenhouse Gas Emissions ¹⁾

		Category	Unit	2023	2024	2025
Social		Category 1	Purchased Goods and Services	66,232	61,358	497,600 ²⁾
Governance		Category 2	Capital Goods	140	54	76
Factbook		Category 3	Fuel- and Energy-related Activities (Not Included in Scope 1 or Scope 2)	2,847	2,912	3,411
		Category 4	Upstream Transportation and Distribution	53,949	44,453	40,427
		Category 5	Waste Generated in Operations	2,141	1,463	4,477
Economic		Category 6	Business Travel	1,291	9,161	9,112
→ Environmental		Category 7	Employee Commuting	3,027	3,385	3,371
Social		Category 8	Upstream Leased Assets	-	-	116
Governance		Category 9	Downstream Transportation and Distribution	-	-	465
		Category 10	Processing of Sold Products	-	-	-
Appendix		Category 11	Use of Sold Products	8,754,044	7,389,601	4,070,985 ³⁾
		Category 12	End-of-Life Treatment of Sold Products	4,049	2,630	2,406
		Category 13	Downstream Leased Assets	-	-	73
		Category 14	Franchises	-	-	-
		Category 15	Investments	-	-	14
		Total Scope 3 Emissions		8,887,721	7,515,017	4,632,534

1) Discrepancies in certain figures may occur due to rounding.

2) Emissions increased due to the expansion of the calculation boundary to all business divisions and a change in methodology from product sampling to a spend-based approach.

3) Emissions decreased due to lower shipment volumes in the reporting period and the completion in the prior year of deliveries of products with high use-phase emissions.

Energy Intensity¹⁾

	Category	Unit	2023	2024	2025
Excluding Subsidiaries	Sales Revenue (Consolidated)	KRW billion	3,587	4,377	5,839
	Total Energy Consumption	TJ	536.6	561.5	609
	Energy Consumption Intensity	TJ/KRW billion	0.15	0.13	0.10
Including subsidiaries	Sales Revenue (Consolidated)	KRW billion	N/A	N/A	5,839
	Total Energy Consumption	TJ	N/A	N/A	936
	Energy Consumption Intensity	TJ/KRW billion	N/A	N/A	0.16

1) As the reporting scope for greenhouse gas emissions and energy data in 2025 has been expanded to include all domestic and overseas sites and subsidiaries on a consolidated basis, energy intensity data both excluding and including subsidiaries are disclosed together to ensure comparability.

Non-renewable Fuel Consumption

	Category	Unit	2023	2024	2025
Total Non-Renewable Fuel Consumption within the Organization	LNG	km ³	2,652	2,861	3,491
	LPG	ton	1	2	4
	Kerosene		14	4	7
	Gasoline	kl	38	10	61
	Diesel		355	428	367

Renewable Energy¹⁾

	Category	Unit	2023	2024	2025
Renewable Energy	Total Consumption	MWh	0	0	119
	Total Consumption	TJ	0	0	0.43

1) Based on solar power consumption at the Changwon Plant in Korea

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Energy Consumption by Site¹⁾

		Category		Unit	2023	2024	2025
Domestic	Changwon Plant	Direct Energy	LNG	TJ	90.1	98.5	120.0
			LPG		-	-	-
			Diesel		12.8	16.0	12.2
			Gasoline		0.22	0.25	0.2
			Kerosene		0.50	0.15	0.3
			Indirect (External) Energy				
			Electricity ²⁾		260.8	267.3	288.1
		Subtotal			364.4	382.2	420.9
	Dangjin Plant	Direct Energy	LNG		11.7	14.2	14.3
			LPG		-	-	-
			Diesel		0.1	0.1	0.1
			Gasoline		0.06	0.06	0.1
			Kerosene		-	-	-
			Indirect (External) Energy				
		Electricity ²⁾	55.1	50.6	39.7		
	Subtotal		67.0	65.0	54.1		

1) The company does not use other non-renewable energy fuels, such as nuclear fuel, coal, oil, or natural gas.
2) Non-renewable Purchased Electricity

Energy Consumption by Site¹⁾

Category			Unit	2023	2024	2025
Domestic Uiwang Business Site	Direct Energy	LNG	TJ	9.7	10.1	10.8
		LPG		-	-	0.1
		Diesel		0.4	0.0	0.9
		Gasoline		0.97	-	1.0
		Kerosene		-	-	-
	Indirect (External) Energy	Electricity ²⁾		75.9	76.5	83.1
	Subtotal	86.9		86.6	95.8	
	Other Domestic Sites (CS base, etc.)	Direct Energy		LNG	0.4	0.4
LPG			-	-	-	
Diesel			-	-	-	
Gasoline			-	-	-	
Kerosene			-	-	-	
Indirect (External) Energy		Electricity ²⁾	4.2	4.1	11.1	
Subtotal		4.6	4.5	12.4		
Domestic Subtotal			523.0	538.3	583.2	

1) The company does not use other non-renewable energy fuels, such as nuclear fuel, coal, oil, or natural gas.
2) Non-renewable Purchased Electricity

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Energy Consumption by Site¹⁾

Category				Unit	2023	2024	2025
Overseas	Hyundai Rotem Türkiye	Direct Energy	LNG	TJ	-	-	2.7
			LPG		-	-	-
			Diesel		-	-	-
			Gasoline		-	-	-
			Kerosene		-	-	-
		Indirect (External) Energy	Electricity ²⁾		1.3	2.8	5.3
		Subtotal			1.3	2.8	8.0
	Hyundai Rotem Brasil	Direct Energy	LNG		-	-	-
			LPG		0.1	0.1	-
			Diesel		-	-	-
			Gasoline		-	-	-
			Kerosene		-	-	-
		Indirect (External) Energy	Electricity ²⁾		4.7	5.0	-
		Subtotal			4.7	5.1	-
	Hyundai Rotem USA	Direct Energy	LNG		-	-	-
			LPG		-	-	-
			Diesel		-	-	-
			Gasoline		-	-	-
			Kerosene		-	-	-
		Indirect (External) Energy	Electricity ²⁾		0.1	0.6	0.1
		Subtotal			0.1	0.6	0.1

1) The company does not use other non-renewable energy fuels, such as nuclear fuel, coal, oil, or natural gas.
2) Non-renewable Purchased Electricity

Energy Consumption by Site¹⁾

Category				Unit	2023	2024	2025
Overseas	Hyundai Rotem Smart Electric America	Direct Energy	LNG	TJ	N/A	N/A	-
			LPG		N/A	N/A	-
			Diesel		N/A	N/A	-
			Gasoline		N/A	N/A	-
			Kerosene		N/A	N/A	-
		Indirect (External) Energy	Electricity ²⁾		N/A	N/A	0.6
		Subtotal			N/A	N/A	0.6
	Hyundai Rotem New Zealand/ New Zealand Branch	Direct Energy	LNG		-	-	0.8
			LPG		-	-	0.0
			Diesel		-	-	0.2
			Gasoline		-	-	-
			Kerosene		-	-	-
		Indirect (External) Energy	Electricity ²⁾		3.0	4.2	4.3
		Subtotal			3.0	4.2	5.3
	Hyundai Rotem Australia/ Australia Branch	Direct Energy	LNG		-	-	-
			LPG		-	-	-
			Diesel		-	-	-
			Gasoline		-	-	-
			Kerosene		-	-	-
		Indirect (External) Energy	Electricity ²⁾		0.3	8.4	0.2
		Subtotal			0.3	8.4	0.2

1) The company does not use other non-renewable energy fuels, such as nuclear fuel, coal, oil, or natural gas.
2) Non-renewable Purchased Electricity

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Energy Consumption by Site¹⁾

Category		Unit	2023	2024	2025
Overseas	Hyundai Rotem Europe	Direct Energy			
		LNG	-	-	-
		LPG	-	-	-
		Diesel	-	-	-
		Gasoline	-	-	-
		Kerosene	-	-	-
		Indirect (External) Energy	Electricity ²⁾	0.1	0.3
	Subtotal		0.1	0.3	8.6
	Other Overseas Sites	Direct Energy			
		LNG	-	-	-
		LPG	-	-	-
		Diesel	-	-	0.5
		Gasoline	-	-	0.6
		Kerosene	-	-	-
		Indirect (External) Energy	Electricity ²⁾	4.1	1.9
Subtotal		4.1	1.9	2.8	
Overseas Subtotal		13.6	23.2	25.8	

1) The company does not use other non-renewable energy fuels, such as nuclear fuel, coal, oil, or natural gas.
2) Non-renewable Purchased Electricity

Energy Consumption by Site¹⁾

Category				Unit	2023	2024	2025
Subsidiaries ²⁾ Rotem SRS ³⁾	Direct Energy	LNG	TJ	-	-	-	
		LPG		-	-	-	
		Diesel		-	-	-	
		Gasoline		-	-	-	
		Kerosene		-	-	-	
	Indirect (External) Energy	Electricity ⁴⁾		-	-	98.6	
	Subtotal	-		-	98.6		
	S-Trans	Direct Energy		LNG	-	-	-
				LPG	-	-	-
				Diesel	-	-	-
				Gasoline	-	-	-
				Kerosene	-	-	-
	Indirect (External) Energy	Electricity ⁴⁾		-	-	0.1	
	Subtotal	-		-	0.1		
	Gimpo Goldline SRS ⁵⁾	Direct Energy		LNG	-	-	0.6
				LPG	-	-	-
				Diesel	-	-	-
				Gasoline	-	-	-
				Kerosene	-	-	-
	Indirect (External) Energy	Electricity ⁴⁾		-	-	227.4	
	Subtotal	-		-	227.9		
	Subsidiaries Subtotal				-	-	326.6
Subtotal (Domestic + Overseas + Subsidiaries)				536.6	561.5	935.6	

1) The company does not use other non-renewable energy fuels, such as nuclear fuel, coal, oil, or natural gas.
2) In 2025, the company expanded the reporting scope for greenhouse gas emissions and energy data to include all domestic and overseas sites and subsidiaries on a consolidated basis.
3) Headquarters, Sillim Line Operation Site
4) Non-renewable Purchased Electricity
5) Depot, Unyang Station, Pungmu Station, Gimpo Airport

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Total Water Withdrawal and Consumption by Source¹⁾

Category			Unit	2023	2024	2025	
Water Withdrawal (Consumption)	Changwon Plant	Industrial Water	ton	0	0	0	
		Municipal Water		366,388	336,429	289,426	
		Groundwater		0	0	0	
		Reused Wastewater		0	0	0	
		Total		366,388	336,429	289,426	
	Dangjin Plant	Industrial Water		0	0	0	
		Municipal Water		22,194	16,389	14,800	
		Groundwater		0	0	0	
		Reused Wastewater		0	0	0	
		Total		22,194	16,389	14,800	
	Uiwang Business Site	Industrial Water		0 ²⁾	0 ²⁾	0	
		Municipal Water		23,779	28,860	3,580	
		Groundwater		6,381 ²⁾	1,399 ²⁾	5,180	
		Reused Wastewater		0	0	0	
		Total		30,160	30,259 ³⁾	8,760	
	Total			418,742	383,077 ³⁾	312,986	
	Water Intensity	Sales Revenue(Separate)		KRW billion	3,498	4,323	5,695
Water Consumption		ton	418,742	383,077 ³⁾	312,986		
Water Consumption Intensity		tons/KRW billion	120	89	55		

1) Wastewater volumes are disclosed under water pollutant emissions.
2) Prior-year (2023, 2024) data restated due to a change in the calculation criteria for water withdrawal.
3) Data summation error in the prior-year (2024) data has been corrected.

Management of Water-Stressed Areas

Category			Unit	2023	2024	2025
Management of Water-Stressed Areas	Number of Sites in Water-Stressed Areas		EA	N/A	N/A	N/A
	Total Water Withdrawal in Water-Stressed Areas	Surface Water	ton	N/A	N/A	N/A
		Groundwater		N/A	N/A	N/A
		Seawater		N/A	N/A	N/A
		Other		N/A	N/A	N/A
	Total Water Consumption in Water-Stressed Areas			N/A	N/A	N/A

Water Pollutant Emissions¹⁾

	Category	Unit	2023	2024	2025	
Domestic Site (Changwon Plant)	BOD	kg/yr	120	117	104	
	TOC		159.6	85	73	
		ppm	14.6	9.3	6	
	SS	kg/yr	106.0	64	39	
		ppm	9.7	7.0	3	
	T-N	kg/yr	193.8	105	192	
	T-P		2.9	2.3	1	
	Total Wastewater Discharge (Changwon Plant) ²⁾		ton	10,930	9,120	13,315
Domestic Sites (Uiwang business site) ³⁾	TOC	kg/yr	0.30	0.14	0.16	
		ppm	4.05	1.90	2.15	
	SS	kg/yr	0.42	0.16	0.21	
		ppm	5.60	2.20	2.80	
	T-N	kg/yr	0.35	0.34	0.29	
	T-P		-	-	-	
	Total Wastewater Discharge (Uiwang business site) ⁴⁾		ton	56	61	42

1) For the Dangjin plant, accurate measurement of wastewater and water pollutant emissions is not feasible.
2) Portion of municipal water at the Changwon plant is discharged after treatment.
3) Water pollutant emissions for the Uiwang site are newly disclosed, including data for prior years (2023, 2024).
4) Portion of groundwater at the Uiwang site is used in processes and discharged after treatment.

Water Reuse Rate

	Category	Unit	2023	2024	2025
Water Reuse Rate (Changwon Plant)	Wastewater Reuse	ton	N/A	25,195	9,049 ¹⁾
	Sewage Reuse		N/A	N/A	N/A
	Total Reused Water		N/A	25,195	9,049 ¹⁾
	Water Reuse Rate	%	N/A	6	3 ¹⁾

1) Water reuse volume decreased due to a year-over-year reduction in the number of leak tests.

Raw Materials Usage

	Category	Unit	2023	2024	2025
Raw Materials Usage	Steel	ton	29,069	27,753	29,832
	Paint		277	264	270
	Total		29,346	28,017	30,102

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Waste Emission, Recycling Rate, and Waste Emissions Intensity

Category				Unit	2023	2024	2025
Changwon Plant	Hazardous (Designated) Waste	Treatment	Waste oil-based paint	ton	99	134	133
		Recycling	Waste batteries		303	296	255
	General Waste	Incineration	Waste synthetic resins		516	185	197
		Landfill	Dust		105	98	67
		Recycling	Waste wood		2,270	2,219	2,480
	Waste Subtotal		3,292		2,933	3,133	
	Recycling Subtotal		2,573		2,516	2,735	
	Recycling Rate		%		78	86	87
	Dangjin Plant	Hazardous (Designated) Waste	Treatment		Waste oil-based paint	ton	23
Recycling			Waste cutting oil	16	9		10
General Waste		Incineration	Waste synthetic resins	121	132		81
		Landfill	Dust	15	10		13
		Recycling	Waste wood	325	210		208
Waste Subtotal		500	417	331			
Recycling Subtotal		341	218	218			
Recycling Rate		%	68	52	66		
Uiwang Business Site		Hazardous (Designated) Waste	Treatment	Waste oil-based paint	ton		68
	Recycling		Waste cutting oil	4		8	2
	General Waste	Incineration	Waste synthetic resins	4		116	92
		Landfill	Dust	91		0	0
		Recycling	Waste wood	14		10	14
	Waste Subtotal		113	137		116	
	Recycling Subtotal		18	18		16	
	Recycling Rate		%	16		13	14
	Total	Total Waste		ton		3,905	3,487
Total Recycling		2,932	2,752		2,969		
Recycling Rate		%	75		79	83	
Waste Emission Intensity	Sales Revenue (Separate)		KRW billion	3,498	4,323	5,695	
	Waste Emission		ton	3,905	3,487	3,580	
	Waste Emissions Intensity		tons/KRW billion	1.12	0.81	0.63	

Hazardous Chemicals Management¹⁾

Category		Unit	2023	2024	2025
Hazardous Chemical Use	Changwon Plant	ton	0.03	6.3	11.3
	Dangjin Plant		0	0	0
	Uiwang business site		0	0	0
	Total		0.03	6.3	11.3
Hazardous Chemical Usage Intensity	Sales Revenue (Separate)	KRW trillion	3.50	4.32	5.70
	Hazardous Chemical Usage Intensity	ton/KRW trillion	0.01	1.46	1.98

1) Increased hazardous chemical usage resulting from a newly awarded project (MBTA, USA) involving non-substitutable hazardous chemicals

Air Pollutant Emissions

Category		Unit	2023	2024	2025
Changwon Plant	NOx (Nitrogen Oxides)		960	924	337
	SOx (Sulfur Oxides)		161	2	12
	Dust		2,932	2,796	2,710
Dangjin Plant	NOx (Nitrogen Oxides)	kg/yr	113	76 ¹⁾	103
	SOx (Sulfur Oxides)		0	0	0
	Dust		307	208	803
Uiwang business site	Dust		470	278	57
Percentage of air pollutant emissions in densely populated areas	Emissions		0	0	0

1) Restated prior-year (2024) data.

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Eco-friendly Sales¹⁾

	Category	Unit	2023	2024	2025
K-Taxonomy	Proportion of Sales	%	47	38	37
	Sales Revenue	KRW 100 million	16,660	16,465	20,928
DS	Proportion of Sales	%	0.3 ²⁾	0.2 ²⁾	0.2
	Sales Revenue	KRW 100 million	120	97	113
RS	Proportion of Sales	%	41	34	34
	Sales Revenue	KRW 100 million	14,529	14,914	19,171
EP	Proportion of Sales	%	6	3	3
	Sales Revenue	KRW 100 million	2,011	1,455	1,644

Green Economic Activities³⁾

	Category	Unit	2023	2024	2025
CapEx ⁴⁾	Acquisition of Tangible Assets		138	431	253
	Acquisition of Intangible Assets		155	100	43
	Subtotal	KRW 100 million	293	531	296
OpEx ⁵⁾	R&D expenses		278	265	251
	Subtotal		278	265	251

Green Purchasing

	Category	Unit	2023	2024	2025
Green Product Purchase		KRW 100 million	403.8	85.7	113.5

1) Hyundai Rotem defines revenue eligible under the K-Taxonomy as 'Eco-friendly Sales.'

2) Prior-year (2023,2024) data restated due to decimal truncation.

3) Starting this reporting period, the company replaces previous eco-friendly investment disclosures with CapEx and OpEx related to green economic activities under the K-Taxonomy, and has recalculated and retroactively disclosed figures for the past three years based on the same standard.

4) K-Taxonomy-eligible CapEx is calculated based on newly acquired and registered assets during the fiscal year, excluding adjustments for depreciation, write-downs, remeasurement, revaluation, impairment, and changes in fair value.

5) K-Taxonomy-eligible OpEx is calculated based on rent, IT operating expenses, bidding-related costs, and R&D expenses directly related to green economic activities.

Violations of Environmental Laws

	Category	Unit	2023	2024	2025
Environmental law violations and fines	Number of legal or regulatory violations	DS	0	0	0
		RS	0	0	0
		EP	0	0	1
	Amount of related fines	DS	0	0	0
		RS	0	0	0
		EP	0	0	0

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Organizational Size

	Category	Unit	2023	2024	2025
Number of Sites	Domestic	Sites	6	7 ¹⁾	7
	Overseas		21	31 ¹⁾	32
	Total		27	38 ¹⁾	39

1) Restated to include two sites (New Zealand Branch and Gimpo Goldline SRS) omitted from the 2024 reporting scope.

Employee Status¹⁾

	Category	Unit	2023	2024	2025
Total Number of Employees					
By Age	Under 30	Persons	592	636	740
	30 to under 50		2,106	2,293	2,551
	50 and over		1,225	1,261	1,271
	Total		3,923	4,190	4,562
	Under 30	%	15	15	16
By Gender	30 to under 50		54	55	56
	50 and over		31	30	28
	Total		100	100	100
	Domestic	Male	3,712	3,942	4,246
	Overseas	Male	39	39	53
	Total	Male	3,751	3,981	4,299
	Domestic	Female	172	209	263
	Overseas	Female	0	0	0
By Region	Domestic - Changwon	Male	1,899	1,946	2,041
	Domestic - Dangjin	Male	181	169	148
	Domestic - Uiwang	Male	133	169	218
	Overseas	Male	39	39	53
	Total	Male	3,923	4,190	4,562
	Domestic - Changwon	Female	172	209	263
	Overseas	Female	0	0	0

1) The number of employees in the annual report excludes certain expatriates and dispatched personnel not on the domestic payroll. In contrast, the number of employees in the sustainability report includes all expatriates and dispatched personnel regardless of the payroll entity, which may result in discrepancies between the two reports.

*Locally hired employees at overseas sites are excluded from the scope of quantitative social data.

Employee Status¹⁾

	Category		Unit	2023	2024	2025
By Region	Domestic - Uiwang	Male	Persons	1,632	1,827	2,057
		Female		133	169	218
		Subtotal		1,765	1,996	2,275
	Overseas	Male		39	39	53
		Female		0	0	0
		Subtotal		39	39	53
	Total			3,923	4,190	4,562
By Employment Type	Permanent	Male		3,441	3,613	3,930
		Female		132	164	212
		Subtotal		3,573	3,777	4,142
	Contract	Male		310	368	369
		Female		40	45	51
		Subtotal		350	413	420
	Full-time Total ²⁾	Male		3,750	3,981	4,299
		Female	172	209	263	
		Subtotal	3,922	4,190	4,562	
	Part-time (Language Instructor)	Male	1	0	0	
		Female	0	0	0	
		Subtotal	1	0	0	
	Non-employee Workers (Dispatched Workers)		129	129	137	
By Job Category	Executives (Including Full-time Advisors)	Male	37	43	44	
		Female	0	0	0	
		Subtotal	37	43	44	
	Researchers	Male	861	941	1,069	
		Female	56	76	104	
		Subtotal	917	1,017	1,173	
	Office Workers	Male	1,504	1,621	1,779	
		Female	105	122	148	
		Subtotal	1,609	1,743	1,927	
	Technical Positions	Male	1,349	1,376	1,407	
		Female	11	11	11	
		Subtotal	1,360	1,387 ³⁾	1,418	
	Total		3,923	4,190	4,562	

1) The number of employees in the annual report excludes certain expatriates and dispatched personnel not on the domestic payroll. In contrast, the number of employees in the sustainability report includes all expatriates and dispatched personnel regardless of the payroll entity, which may result in discrepancies between the two reports.

2) Full-time employees = Permanent employees + Contract employees

3) A data summation error in the prior-year (2024) data has been corrected.

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New Employee Hires

	Category	Unit	2023	2024	2025
By Age	Under 30		250	240	304
	30 to under 50		288	193	235
	50 and over		128	24	32
	Total		666	457	571
By Gender	Male	Persons	609	396	498
	Female		57	61	73
	Total		666	457	571
By Region	Changwon		338	155	215
	Dangjin		16	3	5
	Uiwang		312	299	351
	Total		666	457	571
New employee hire rate		%	17.0	10.9	12.5
Future new business areas		Persons	76	66	93

Employee Turnover

	Category	Unit	2023	2024	2025
By Age	Under 30	Persons	44	68	56
	30 to under 50		37 ¹⁾	56	46
	50 and over		78	99	54
	Total		159	223	156
By Gender	Male		149	201	135
	Female		10	22	21
	Total		159	223	156
By Region	Changwon		71	100	53
	Dangjin		83	6	7
	Uiwang		5	117	96
	Total	159	223	156	
Total Turnover Rate		%	4.1	5.3	3.4
Voluntary Turnover Rate (excluding early retirement, intra-group transfers, retirement, and contract termination)		Persons	79	86	54
		%	2.0	2.1	1.2
Average Years of Service		Years	13.2	11.6	9.4

1) Restated prior-year (2023) data.

Employee Diversity (Minorities)

	Category		Unit	2023	2024	2025	
Female	Female Employees		Persons	172	209	263	
	Female Employee Ratio		%	4.4	5.0	5.8	
	Female Managers (Senior Manager and above)	Domestic	Persons	20	37	44	
		Overseas		0	0	0	
Subtotal		20		37	44		
Female Managers by Position	Management (Senior Manager Level)	Number of female employees	Persons	20	37	44	
		Total number of employees		1,590	1,736	1,760	
		Female Employee Ratio		%	1.3	2.1	2.5
	Junior Management (Manager Level)	Number of female employees	Persons	141	161	157	
		Total number of employees		931	1024	1,079	
		Female Employee Ratio		%	15.1	15.7	14.6
	Executives	Number of female employees	Persons	0	0	0	
		Total number of employees		37	43	37	
		Female Employee Ratio		%	0.0	0.0	0.0
	Revenue- Generating Departments	Number of female employees	Persons	56	53	61	
		Total number of employees		1126	837	748	
		Female Employee Ratio		%	5.0	6.3	8.2
STEM Departments	Number of female employees	Persons	57	71	104		
	Total number of employees		933	876	1,180		
	Female Employee Ratio		%	6.1	8.1	8.8	
Employees with disabilities ¹⁾	Headcount	Persons	88	121	100		
	Ratio	%	2.2	2.9	2.2		
Veterans	Headcount	Persons	109	129	135		
	Ratio	%	2.8	3.1	3.0		

1) In accordance with Article 28-3 of the 「Act on the Employment Promotion and Vocational Rehabilitation of Persons with Disabilities」 (and Article 26-2 of its Enforcement Decree), one employee with severe disabilities working 60 hours or more per month is counted as two employees.

Labor Practices

	Category	Unit	2023	2024	2025
Labor Union Membership Rate of Eligible Employees ¹⁾	Collective bargaining Coverage Rate	%	35 ²⁾	34 ²⁾	32

1) Number of union members as of year-end / Total number of employees (excluding executives, advisors, outside directors, consultants, and dispatched workers)

2) Restated prior-year (2023, 2024) data.

Factbook

Social

Employee Training

Category			Unit	2023	2024	2025
Total number of employees participated in training			Persons	2,685	3,141	3,824
Total training cost				1,588,572 ¹⁾	2,234,932 ¹⁾	2,785,527
Average training cost per employee	Average per employee	Average training cost	KRW thousand	405 ¹⁾	533 ¹⁾	728
Total training hours				112,770	140,866	146,107
Average training hours per employee	Average per employee	Total employees		42	45	38
	By Gender	Male		40	44	39
		Female		65	51	32
	By employee type	Executives		5.2	10	8
		General/Research, Senior Manager	Hours	41.2	43.9	38
		General/Research, Manager		50.1	63.3	50
		Contract employees		2.4	18.4	22
		Dispatched workers		6.9	24.6	21
		Technical staff		52.5	22.8	33

1) Average cost figures may differ due to alignment with training expense criteria in the financial statements.

Number of Employees Receiving Regular Performance Evaluations¹⁾

	Category		Unit	2023	2024	2025
Employees receiving regular performance and career development reviews	By Gender	Male	Persons	3,442	3,649	4,025
		Female		149	193	210
		Subtotal		3,591	3,842	4,235

1) Excluding new hires and employees on leave

Safety^{1), 2)}

Category		Unit	2023	2024	2025
Occupational accidents ³⁾	Number of work-related fatalities (Employees)		0	0	0
	Number of work-related fatalities (Suppliers)		0	0	1
	Number of occupational injuries and illnesses (Employees)		10	9	10
	Number of occupational injuries and illnesses (Suppliers)		3	3	5
	Number of occupational injuries (Employees)		9	8	9
	Number of occupational injuries (Suppliers)		3	2	5
	Number of occupational illnesses (Employees)		1	1	1
	Number of occupational illnesses (Suppliers)		0	1	0
	Number of lost time injuries (Employees)		10 ⁸⁾	9	10
	Number of lost time injuries (Suppliers)		3 ⁸⁾	3	5
	Number of total recordable injuries (Employees)		10	9	10
	Number of total recordable injuries (Suppliers)		3	3	5
Total Recordable Injury Frequency Rate (TRIFR) ⁴⁾	Employees	Number of incidents / 1,000,000 work hours	1.32	1.11	1.15
	Suppliers		0.85	0.58	0.83
Total Recordable Incident Rate (TRIR) ⁵⁾	Employees	Number of incidents / 200,000 work hours	0.26 ⁸⁾	0.22	0.23
	Suppliers		0.17 ⁸⁾	0.12	0.17
Lost Time Injury Frequency Rate (LTIFR) ⁶⁾	Employees	Number of incidents / 1,000,000 work hours	1.32	1.11	1.15
	Suppliers		0.85	0.58	0.83
Total Work Hours	Employees	Hours	7,560,000	8,132,000	8,670,000
	Suppliers		3,512,000	5,212,000	6,030,000
Occupational Illness Frequency Rate (OIFR) ⁷⁾	Employees	Number of incidents / 1,000,000 work hours	0.13	0.12	0.12
	Suppliers		0	0.19	0

1) Employees : Regular and contract workers

2) Suppliers : Resident contractors, construction contractors, and dispatched workers

3) Based on approved industrial accidents for the current year

4) Total Recordable Injury Frequency Rate (TRIFR) = (Number of recordable incidents × 1,000,000) ÷ Total hours worked

5) Total Recordable Incident Rate (TRIR) = (Number of recordable incidents × 200,000) ÷ Total hours worked

6) Lost Time Injury Frequency Rate (LTIFR) = (Number of lost time incidents × 1,000,000) ÷ Total hours worked

7) Occupational Illness Frequency Rate (OIFR) = (Number of occupational illness cases × 1,000,000) ÷ Total hours worked

8) Restated prior-year (2023) data.

Factbook

Social

Employees Taking Parental Leave

Category		Unit	2023	2024	2025
Employees on parental leave	Male		15	25	28
	Female		7	5	9
	Subtotal		22	30	37
Employees returning to work after parental leave ¹⁾	Male	Persons	11	16 ¹⁾	17
	Female		3	2 ¹⁾	4
	Subtotal		14	18 ¹⁾	21
Employees retained for at least one year after returning to work	Male		14	24	16
	Female		7	5	4
	Subtotal		21	29	20

1) Restated prior-year (2024) data.

Incidents of Discrimination and Corrective Actions Taken

Category		Unit	2023	2024	2025
Number of grievances related to social impacts	Cases		0 ¹⁾	0 ¹⁾	0
Number of resolved grievances			0 ¹⁾	0 ¹⁾	0

1) Restated prior-year(2023,2024) data due to misclassification of disciplinary action cases as discrimination incidents. As disciplinary actions do not constitute discrimination, the figures has been retroactively restated to zero.

Social Contribution Investment and Participation

Category			Unit	2023	2024	2025
Social Contribution Investment	Social Contribution expenses		KRW million	1,209	1,186	2,114
Social Contribution Participation	Annual participants (including duplicates)	Donations	Persons	1,842	1,205	1,147
	Total participation hours		hours	5,965	5,754	5,159
	Participation hours per employee			3.2 ¹⁾	4.8 ¹⁾	4.5
Donations as a percentage of Revenue			%	0.04	0.03	0.03
Social Contribution Expenditure	Cash Donations	Charitable Contributions	KRW million	811	1,024	1,746
		Charitable Contribution Ratio	%	40	67	93 ²⁾
		Community Investment Ratio		60	33	33
		Total Cash Contributions		811	1,024	1,887 ³⁾
	In-kind Contributions		KRW million	398	128	226
	Monetary Value of Employee Volunteer Hours			308	349	315
	Total			1,517	1,501	2,428

- 1) Restated prior-year (2023, 2024) data due to a change in calculation criteria.
2) Change in calculation criteria for 2025 (The Charitable Contribution Ratio is calculated as the proportion of charitable contributions to Total Cash Contributions.)
3) Total Cash Contributions comprises 'Charitable Contributions (KRW 1,746 million)', reflecting social contribution activities, and 'Business-Linked Contributions'.

Supply Chain of Organization

Category		Unit	2023	2024	2025
Number of Suppliers	Total number of Tier 1 suppliers	Entities	1,624	1,682	1,497
	Core Tier 1 suppliers		204	150	150
Percentage of total Purchase Cost	Total Tier 1 suppliers	%	100	100	100
Financial value provided to suppliers	Core Tier 1 suppliers		53	52	48
	Contract amount	KRW 100 million	21,666	29,919	36,574

Supply Chain Management

Category		Unit	2023	2024	2025
Suppliers that underwent regular evaluation	Major domestic suppliers	Entities	158	168	166
Suppliers that underwent ESG evaluation	Major domestic and overseas suppliers		129	186	150

Factbook

Governance

Board Structure¹⁾

	Category	Unit	2023	2024	2025
Single-tier Board System (2026.03 Annual Report)	Inside Director (Executive Director)		3	3	3
	Independent Director		4	4	4
	Total		7	7	7
Board Diversity by Age	Under 30	Persons	0	0	0
	30s		0	0	0
	40s		0	0	0
	50s		3	3	2
	60 and over		4	4	5
	Total		7	7	7
	Under 30	%	0	0	0
	30s		0	0	0
	40s		0	0	0
	50s		43	43	29
	60 and over		57	57	71
	Total		100	100	100
Board Diversity by Gender	Male	Persons	6	6	5
	Female		1	1	2
	Total		7	7	7
	Male	%	86	86	71
	Female		14	14	29
	Total		100	100	100
Board Effectiveness	Average Attendance Rate	%	100	100	100
	Minimum Attendance Rate		100	100	100
	Average Attendance Rate of Independent Directors		100	100	100
	Approval Rate		100	100	100
Board Expertise	Number of Independent/Other Non-Executive Directors with Industry Experience	Persons	1	1	2
	Number of Audit Committee members with accounting/financial expertise (CFA, CPA, relevant accounting/finance experience, etc.)		1	1	1

1) As this sustainability report covers performance from January to December 2025, the data disclosed is as of December 2025. (The Board structure as of March 2026 is available in 'VI. Matters Concerning Corporate Bodies including the Board of Directors' of the March 2026 Quarterly Report.)

Board Structure¹⁾

	Category	Unit	2023	2024	2025
Number of positions held by each member	Lee Yong-bae		3	3	2
	Kim Doo-hong		1	1	1
	Kim Jeong-hoon		1	1	1
	Kim Tae-Yeun		N/A	N/A	3
	Paek Seung-Geun		N/A	N/A	4
	Yun Ji-won		2	2	3
	Kwag Se-boong		3	3	5
Number of positions held by the Board members at other companies or organizations	Lee Yong-bae	Positions	0	0	0
	Kim Doo-hong		0	0	0
	Kim Jeong-hoon		0	0	0
	Kim Tae-Yeun		N/A	N/A	1
	Paek Seung-Geun		N/A	N/A	1
	Yun Ji-won		1	1	1
	Kwag Se-boong		2	2	2

1) As this sustainability report covers performance from January to December 2025, the data disclosed is as of December 2025. (The Board structure as of March 2026 is available in 'VI. Matters Concerning Corporate Bodies including the Board of Directors' of the March 2026 Quarterly Report.)

Board Activities¹⁾

Category			Unit	2023	2024	2025
Number of Board Meetings Held			Meetings	8	7	8
Independent Director Activities	Number of agenda items opposed or modified by independent directors		Items	0	0	0
	Independent Director Attendance Rate	Audit Committee	%	100	100	100
		Independent Director Candidate Recommendation Committee		100	100	100
		Transparency Management Committee		100	100	100
		Remuneration Committee		100	100	100
Number of Board committee meetings held	Audit Committee		Meetings	10	9	7
	Transparency Management Committee			6	5	5
	Independent Director Candidate Recommendation Committee			1	1	2
	Remuneration Committee			1	2	2
	Frequency of ESG-related Agenda Items			13	8	10
Establishment of an ESG-based Decision-Making System	Reporting ESG Agenda Items to the Board	Reporting		5	3	2
		Deliberation		8	5	8

1) As this sustainability report covers performance from January to December 2025, the data disclosed is as of December 2025. (The Board structure as of March 2026 is available in 'VI. Matters Concerning Corporate Bodies including the Board of Directors' of the March 2026 Quarterly Report.)

Factbook

Governance

CEO and Employee Remuneration¹⁾

	Category	Unit	2023	2024	2025
CEO Compensation	Total Annual Compensation	KRW million	2,550	2,553	3,258
	Year-over-year Change Rate		12.0	0.0	27.6
	Annual Total Compensation Ratio	%	0.6	0.5	0.6
Board of Directors Compensation	Average Compensation per Board Member	KRW million	512	585	507
Employee Compensation	Average Employee Compensation (Excluding CEO)	KRW million	103	120	120
	Compensation Ratio Compared to Average Employee Salary	times	24.8	21.3	27.2
	Average Salary (Male)	KRW 10,000	10,452	12,162	12,226
	Average Salary (Female)		6,857	8,344	8,361
	Ratio of Female to Male Average Salary	%	66	69	68
	Ratio of Female to Male Basic Salary by Job Level		100	100	100

1) As of December 2025

Corporate Code of Conduct and ethics/compliance management training

	Category	Unit	2023	2024	2025
Code of Conduct Application Rate	Board Members	%	100	100	100
	Employees		100	100	100
	Business Partners (Tier 1 Suppliers)		100	100	100
	Approval Rate		100	100	100
Number of employees targeted for ethics and compliance training		Persons	700	773	820
Ethics and compliance training provision rate	Employees	%	100	100	100
Ethics and compliance employee training completion rate	Fair trade training		100	100	100
Ethics and compliance training sessions per employee		Sessions	5 ¹⁾	6 ¹⁾	6
Total ethics and compliance training hours per employee		Hours	5 ¹⁾	6 ¹⁾	6
Employees trained in ethics and compliance ²⁾		Persons	3,838	4,263	2,414

1) Restated prior-year (2023, 2024) data due to a change in the training calculation criteria to the number of sessions by program.

2) Based on regular employees; the number of employees trained exceeds the total number of employees as it aggregates the number of participants across all training sessions.

Compliance Management Evaluation and Violation Reporting

	Category	Unit	2023	2024	2025
Internal/External Whistleblowing Reports and Suggestions	Whistleblowing reports and suggestions received	Cases	1	2	0
	Whistleblowing reports and suggestions Resolution Rate	%	100	100	-
Sanctions by the Fair Trade Commission		Cases	0	0	0

Audit Committee Activities

	Category	Unit	2023	2024	2025
Status of non-audit service contracts		KRW million	6	270	22

Equity

	Category	Unit	2023	2024	2025
Investor Relations (IR)		Meetings	4	4	13
Voluntary disclosures		Cases	1	7	4

Information Security / Cybersecurity

	Category	Unit	2023	2024	2025
Information Security breaches or cybersecurity incidents	Cases		0	0	0
Information Security breaches or incidents involving customer personal information			0	0	0
Customers affected by company data breaches		Persons	0	0	0
Total amount of fines or penalties paid due to Information Security breaches or cybersecurity incidents		KRW	0	0	0
Number of complaints concerning customer privacy received from outside parties and substantiated by the organization	Cases		0	0	0
Complaints regarding personal information breaches		Number of complaints from regulatory agencies	0	0	0

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UN SDGs

1 NO POVERTY Targets 1.3, 1.4 1.3 Implement nationally appropriate social protection systems and measures for all, including social safety nets, and achieve substantial coverage of the poor and the vulnerable by 2030. 1.4 By 2030, ensure that all men and women, particularly the poor and the vulnerable, have equal rights to economic resources, as well as access to, ownership of, and control over basic services, land, and other forms of property. Key Activities of Hyundai Rotem · Heroes' Home: Constructing and renovating homes for 5 low-income households of Korean War veterans in Türkiye (2026) · Providing academic scholarships for elementary, middle, and high school students, and employment preparation funds for adult children of veterans' bereaved families · Supporting the livelihood stability of vulnerable groups in local communities: Providing daily necessities for holidays, seasonal items for heatwaves and cold snaps, and regular goods sponsorship for low-income households	2 ZERO HUNGER Target 2.1 2.1 By 2030, end hunger and ensure access by all people, in particular the poor and people in vulnerable situations, including infants, to safe, nutritious and sufficient food all year round Key Activities of Hyundai Rotem · Sharing Kimchi of Love: Participated in the annual kimchi-making event and donated KRW 13 million to low-income vulnerable groups and welfare facilities in Uiwang · Community outreach in Changwon: Provided food to free meal centers for vulnerable groups during holidays and donated funds for Chuseok meals (KRW 10 million)	3 GOOD HEALTH AND WELL-BEING Target 3.4, 3.8 3.4 By 2030, reduce by one third premature mortality from non-communicable diseases through prevention and treatment and promote mental health and well-being. 3.8 Achieve universal health coverage, including financial risk protection, access to quality essential health-care services and access to safe, effective, quality and affordable essential medicines and vaccines for all. Key Activities of Hyundai Rotem · Sponsoring the Invictus Games: Signed an MOU with the Korea Disabled Veterans Organization and officially sponsored the national team of wounded veterans participating in the 2025 Invictus Games in Canada. · Supporting the physical and mental rehabilitation and social reintegration of wounded veterans through sports. · Supporting medical expenses for low-income families in Uiwang: Donated funds to vulnerable low-income groups requiring emergency surgery and treatment (total of KRW 27 million in 2025, up to KRW 3 million per person).	4 QUALITY EDUCATION Target 4.1, 4.a 4.1 By 2030, ensure that all girls and boys complete free, equitable and quality primary and secondary education leading to relevant and effective learning outcomes. 4.a Build and upgrade education facilities that are child, disability and gender sensitive and provide safe, non-violent, inclusive and effective learning environments for all. Key Activities of Hyundai Rotem · Heroes Home Scholarship Program: Providing academic scholarships to descendants (elementary, middle, and high school students) of overseas war veterans and job preparation funds to adult children to realize the value of intergenerational veteran support. · Educational support for children in Egyptian refugee areas: Provided school kits (school supplies and hygiene products) and hosted three psychosocial support sessions for refugee children in the Borg El Arab and Montaza areas. · Plans to expand support for sustainable educational infrastructure, including classroom environment improvements and the establishment of hygiene and safety facilities.
5 GENDER EQUALITY Target 5.1 5.1 End all forms of discrimination against all women and girls everywhere Key Activities of Hyundai Rotem · Maintained the Family-Friendly Company Certification (initially certified in 2014) · Operated work-life balance programs, including parental leave, flexible working hours, and childbirth support	6 CLEAN WATER AND SANITATION Target 6.3 6.3 By 2030, improve water quality by reducing pollution, eliminating dumping and minimizing release of hazardous chemicals and materials, halving the proportion of untreated wastewater and substantially increasing recycling and safe reuse globally Key Activities of Hyundai Rotem · Expanding water reuse: Saved an average of 5,400 tons per month by gradually replacing old water supply pipes 2023~2026 · Reused 9,049 tons of water annually at the railway vehicle water leak test facility and plan to expand the scope of reuse facilities in the future	8 DECENT WORK AND ECONOMIC GROWTH Target 8.3 8.3 Promote development-oriented policies that support productive activities, decent job creation, entrepreneurship, creativity and innovation, and encourage the formalization and growth of micro-, small- and medium-sized enterprises, including through access to financial services. Key Activities of Hyundai Rotem · Shared Growth financial support: Supported suppliers in securing operating funds, facilities, and equipment by operating various financial support programs, including the Win-Win Growth Fund, direct support, and joint project guarantees. · Shared Growth technical and training support: Provided technical training to 5,898 employees from 654 suppliers in 2025, conducted 719 cases of technical support (such as joint R&D), and achieved the highest rating (Grade S) for operating the National HRD Consortium. · Job creation for suppliers: Achieved a 90% localization rate for K2 Tank parts, supported the hiring of 340 employees by suppliers in 2025 in connection with training programs run by the Technical Training Institute, and was selected as an excellent company by the Shared Growth Committee for four consecutive years.	9 INDUSTRY, INNOVATION AND INFRASTRUCTURE Target 9.4 9.4 By 2030, upgrade infrastructure and retrofit industries to make them sustainable, with increased resource-use efficiency and greater adoption of clean and environmentally sound technologies and industrial processes. Key Activities of Hyundai Rotem · Building a hydrogen railway ecosystem: Developing the world's first commercial-stage hydrogen fuel cell tram and leading the development of hydrogen-based railway infrastructure, such as hydrogen-electric locomotives and hydrogen-powered vehicles · Developing low-carbon, high-speed train technologies: Completing the development of core technologies for 370 km/h high-speed trains (2025), including technologies to reduce aerodynamic noise, vibration and running resistance, while achieving the first export of a high-speed train to Uzbekistan Railways. · Advancement of ECO Plant Smart Logistics: Supplying unmanned port robots, entering the autonomous driving-based multipurpose and physical AI markets, and advancing hub-type hydrogen charging station infrastructure.

UN SDGs



Target 11.2
11.2 By 2030, provide access to safe, affordable, accessible and sustainable transport systems for all, with special attention to the needs of those in vulnerable situations, women, children, persons with disabilities and older persons, notably by expanding public transport.

Key Activities of Hyundai Rotem

- Subway for All: Completed a pilot project for universal design-based directional signs for the mobility impaired at 10 stations, including Seoul Station and City Hall Station (2025), confirming an average reduction of 6 minutes and 25 seconds in wayfinding time and a decrease in psychological burden for 86.7% of participants.
- Expanding installation across stations in Seoul and pursuing inclusion in the Seoul Metropolitan Government’s standard guidelines by 2026.



Target 12.5
12.5 By 2030, substantially reduce waste generation through prevention, reduction, recycling and reuse.

Key Activities of Hyundai Rotem

- Expand recycling and reuse: Reuse e-waste (e.g., laptops) after repair and target a 90% recycling rate by 2027
- Establish a waste inventory: Monitor the entire process from generation to disposal on a monthly basis, conduct regular on-site inspections of outsourced waste treatment companies, and gradually pursue Zero Waste to Landfill (ZWTL) certification



Target 13.2, 13.3
13.2 Integrate climate change measures into national policies, strategies, and planning
13.3 Improve education, awareness-raising, and human and institutional capacity on climate change mitigation, adaptation, impact reduction, and early warning

Key Activities of Hyundai Rotem

- Establishing a net zero strategy: Implementing greenhouse gas management policies, including the introduction of renewable energy and carbon absorption and offset activities, to achieve the 2050 net zero target.
- Greenhouse gas reduction activities: Advancing greenhouse gas reduction at worksites, analyzing climate change-related risks and opportunities, and operating a lifecycle emissions management system that includes the supply chain.



Target 15.5
15.5 Take urgent and significant action to reduce the degradation of natural habitats, halt the loss of biodiversity, and protect and prevent the extinction of threatened species.

Key Activities of Hyundai Rotem

- BLUE Re-BORN: Creating wetlands to restore the habitat of the endangered narrow-mouthed toad in urban forests (public-private partnership with Uiwang City, Phase 1 completion in 2025)
- Strengthening ecosystem monitoring and providing hands-on ecological education for local residents in 2026 programs for local residents in 2026.



Target 16.5, 16.6
16.5 Substantially reduce corruption and bribery in all their forms.
16.6 Develop effective, accountable and transparent institutions at all levels.

Key Activities of Hyundai Rotem

- Compliance Program (CP): Disclosing operational regulations on the website, revising the compliance manual annually, and posting the CEO's declaration of compliance twice a year.
- Operating the Fair Trade Pre-Screening System: Preventing potential disputes and strengthening responsible management by operating a system to check contract legality and risks before and after business execution.
- Tax risk management: Conducting regular training for relevant departments to ensure compliance with the Customs Act, maintained an AA grade in regulatory compliance by minimizing customs clearance error scores and obtained AEO (Authorized Economic Operator) recertification

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GRI Index

Statement of use	Hyundai Rotem has reported its sustainability performance in accordance with the GRI Standards for the period from January 1, 2025 to December 31, 2025.
GRI 1 used	GRI 1: Foundation 2021
Applicable GRI Sector Standards	-

Universal Standards

GRI 2 : General Disclosure			
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2-23	Policy Commitments	21,43,48,66,86	
2-24	Embedding Policy Commitments	21,44,48,63,86	
2-25	Processes to Remediate Negative Impacts	45, 88, 92	
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2-27	Compliance with laws and regulations	105	Annual Report XI. Other Matters Necessary for Investor Protection – 3. Matters Related to Sanctions, etc.
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3-3	Management of material topics	19	

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201-2	Financial implications and other risks and opportunities due to climate change	27	
201-4	Financial assistance received from government	97	
GRI 205: Anti-corruption			
205-2	Communication and training about anti-corruption policies and procedures	87, 111	
205-3	Confirmed incidents of corruption and actions taken	111	
GRI 206: Anti-competitive Behavior			
206-1	Legal actions for anti-competitive behavior, anti-trust, and monopoly practices	111	Annual Report XI. Other Matters Necessary for Investor Protection – 3. Matters Related to Sanctions, etc.
GRI 207: Tax			
207-1	Approach to tax management	88,89	
207-2	Tax governance, control, and risk management	88,89	

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GRI Index

Topic-specific Standards

Environmental			
No.	Title	Page	Note
GRI 101: Biodiversity			
101-2	Management of biodiversity impacts	37,38	
101-4	Identification of biodiversity impacts	37,38	
101-5	Direct drivers of biodiversity loss	37	
101-6	Changes in the state of biodiversity	38	
101-7	Ecosystem services	39,40	
GRI 302: Energy			
302-1	Energy consumption within the organization	99-102	
302-3	Energy intensity	99	
GRI 303: Water and Effluents			
303-2	Management of water discharge-related impacts	35,36,103	
303-3	Water withdrawal	103	
303-4	Water discharge	103	
303-5	Water consumption	103	
GRI 305: Emissions			
305-1	Direct (Scope 1) GHG emissions	98	
305-2	Energy indirect (Scope 2) GHG emissions	98	
305-3	Other indirect (Scope 3) GHG emissions	99	
305-4	GHG emissions intensity	99	
305-6	Emissions of ozone-depleting substances (ODS)	N/A	
305-7	NOx, SOx, and other significant air emissions	104	
GRI 306: Waste			
306-3	Waste generated	104	
306-4	Waste diverted from disposal	104	
GRI 308: Supplier Environmental Assessment			
308-1	New suppliers screened using environmental criteria	67,68,109	
308-2	Negative environmental impacts in the supply chain and actions taken	67	

Social			
No.	Title	Page	Note
GRI 401: Employment			
401-1	New employee hires and employee turnover	107	
401-2	Benefits provided to full-time employees that are not provided to temporary or part-time employees	61	
401-3	Parental leave	61,109	
GRI 403: Occupational Health and Safety			
403-1	Occupational health and safety management system	47	
403-2	Hazard identification, risk assessment, and incident investigation	49,52,53	
403-3	Occupational health services	49-53	
403-4	Worker participation, consultation, and communication on occupational health and safety	47,49,53	
403-5	Worker training on occupational health and safety	49,52,53	
403-6	Promotion of worker health	50	
403-7	Prevention and mitigation of occupational health and safety impacts directly linked by business relationships	49-54	
403-8	Workers covered by an occupational health and safety management system	47	
403-9	Work-related injuries	108	
403-10	Work-related ill health	108	
GRI 404: Training and Education			
404-1	Average hours of training per year per employee	108	
404-2	Programs for upgrading employee skills and transition assistance programs	57, 108	
404-3	Percentage of employees receiving regular performance and career development reviews	108	
GRI 405: Diversity and Equal Opportunity			
405-1	Diversity of governance bodies and employees	107	
405-2	Ratio of basic salary and remuneration of women to men	111	
GRI 406: Non-discrimination			
406-1	Incidents of discrimination and corrective actions taken	109	
GRI 414: Supplier Social Assessment			
414-1	New suppliers that were screened using social criteria	67,68,109	
414-2	Negative social impacts in the supply chain and actions taken	67	
GRI 418: Customer Privacy			
418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data	111	

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SASB Index

1. Industrial Machinery & Goods

Category	Code	Item	Unit	2025	Page
Energy Management	RT-IG-130a.1	(1) Total energy consumed	GJ		99-102
		(2) Percentage grid electricity	%		
		(3) Percentage renewable	%		
Workplace Health & Safety	RT-IG-320a.1	(1) Total Recordable Injury Frequency Rate (TRIFR)	%	Employees - 1.15	
				Contractors - 0.83	
		(2) Occupational Fatality Rate	%	Employees - 0	
				Contractors - 0.03	
		(3) Near Miss Frequency Rate (NMFR)	%	6.15	
Materials Sourcing	RT-IG-440a.1	Description of the management of risks associated with the use of critical materials	N/A		66
Remanufacturing Design & Services	RT-IG-440b.1	Revenue from remanufactured products and remanufacturing services	KRW	RS - KRW 41.6 billion, DS - KRW 266.5 billion, EP - KRW 20 billion Total - KRW 328.1 billion	
Activity Metrics	RT-IG-000.A	Units produced by product category	Number	RS production - 400 DS production - 418	
Activity Metrics	RT-IG-000.B	Number of Employees	Persons	4,562	

2. Engineering & Construction Services

Category	Code	Item	Unit	2025	Page
Environmental Impacts of Project Development	IF-EN-160a.1	Number of incidents of non-compliance with environmental permits, standards, and regulations	Number	0	14, 26, 37, 38
	IF-EN-160a.2	Discussion of processes to assess and manage environmental risks associated with project design, siting, and construction	N/A		
Structural Integrity & Safety	IF-EN-250a.2	Total amount of monetary losses as a result of legal proceedings associated with defect- and safety-related incidents	KRW	“No losses incurred”	
Workplace Health & Safety	IF-EN-320a.1	(1) TRIR (Total Recordable Incident Rate) for (a) direct employees and (b) contract employees	%	1.15	
				0.83	
		(2) Fatality rate for (a) direct employees and (b) contract employees	%	0	
				0.03	
Lifecycle Impacts of Buildings and Infrastructure	IF-EN-410a.1	(1) Commissioned projects certified to a third-party multi-attribute sustainability standard	Number	Hyundai Rotem obtained Green Technology Certification from the Korea Institute for Advancement of Technology (KIAT) for its 'Zero Speed Regenerative Braking of Propulsion Control System,' an eco-friendly electrical braking technology for electrical multiple units (initially certified in 2022 and extended in 2025). This technology has been applied to various domestic and international projects, including Seoul Subway Line 2, the Mahmutbey electrical multiple units in Turkey, the Bundang, Gwacheon-Ansan, and Gyeongchun/Gyeongui-Jungang lines, and the GTX-A metropolitan express train. It has completed test runs and is currently in commercial operation on several lines.	23,28-31
		(2) Number of active projects seeking such certification	Number		
	IF-EN-410a.2	Discussion of processes to integrate operational-phase energy and water efficiency considerations into project planning and design	N/A		
Business Ethics	IF-EN-510a.3	(1) Description of policies and practices for prevention of bribery and corruption in the project bidding processes	N/A		86-92
		(2) Description of policies and practices for prevention of anti-competitive behavior in the project bidding processes	N/A		86-92

SASB Index

3. Aerospace & Defense

Category	Code	Item	Unit	2025	Page
Energy Management	RT-AE-130a.1	(1) Total energy consumed	GJ		99-102
		(2) Percentage grid electricity	%		
		(3) Percentage renewable			
Hazardous Waste Management	RT-AE-150a.1	Hazardous Waste Generation	ton	420	
		Percentage recycled	%	63%	
Data Security	RT-AE-230a.1	(1) Number of data breaches	Cases	0	
		(2) Percentage involving confidential information	%	0	
	RT-AE-230a.2	(1) Description of approach to identifying and addressing data security risks in company operations			93-94
		(2) Description of approach to identifying and addressing data security risks in products			93-94
Fuel Economy & Emissions in Use-phase	RT-AE-410a.1	Revenue from alternative energy-related products	N/A		41
	RT-AE-410a.2	Discussion of strategy and description of approach to addressing fuel efficiency and greenhouse gas (GHG) emissions of products			27-31
Business Ethics	RT-AE-510a.3	Discussion of processes to manage business ethics risks throughout the value chain			86-92
Activity Metrics	RT-AE-000.A	Production by reportable segment	Units	RS production - 400 DS production - 418	
Activity Metrics	RT-AE-000.B	Number of Employees	Persons	4,562	

WEF-IBC Metrics

ESG Category	Theme	Metrics	Page
Governance	Governing Purpose	Setting Purpose	5
	Composition of the Board of Directors	Composition of the Board of Directors (BOD and Sub-committees)	81-83
	Stakeholder Engagement	Material Issues Impacting Stakeholders	16-17
	Ethical Conduct	Anti-corruption	86-88, 105
		Ethics Advisory and Reporting Procedures (Description of Internal and External Mechanisms)	86-88
	Oversight of Risks and Opportunities	Integration of Risk and Opportunity Factors into Business Processes	19
Planet	Climate	Greenhouse Gas (GHG) Emissions	98
	Water Availability	Water Consumption and Withdrawal in Water-Stressed Areas	103
	Air Pollution	Air Pollution	104
People	Dignity and Equality	Diversity and Inclusion (Percentage of Employees by Employee Category)	107
	Health and Well-being	Health and Safety (Number and Rate of Fatalities as a Result of the Following)	108
	Skills for the Future	Training Provided (Average Training Hours per Person)	108
Prosperity	Employment and Wealth Generation	Absolute Number and Rate of Employment (Number and Rate of New Hires)	107
		Absolute Employment Rate (Total Turnover Rate and Turnover Rate During the Reporting Period)	107
		Economic Contribution	96,97
	Innovation of better products and services	Total research and development expenses	97
	Community and social vitality	Total taxes paid (Total global taxes borne by the company)	97

TCFD Index

Title	Page	Note
Governance	a) The Board’s role regarding climate-related risks and opportunities	25
	b) Management’s role in assessing and managing climate-related risks and opportunities	25
Strategy	a) Description of the climate-related risks and opportunities the company has identified over the short, medium, and long term	26
	b) Description of the impact of climate-related risks and opportunities on the company’s businesses, strategy, and financial planning	26
	c) Description of the resilience of the company’s strategy, taking into consideration different climate-related scenarios, including a 2°C or lower scenario	26-28
Risk Management	a) Description of the company’s processes for identifying and assessing climate-related risks	29
	b) Description of the company’s processes for managing climate-related risks	29
	c) Description of how processes for identifying, assessing, and managing climate-related risks are integrated into the company’s overall risk management	29
Metrics and Targets	a) Disclosure of the metrics used by the company to assess climate-related risks and opportunities in line with its strategy and risk management processes	30-31
	b) Disclose Scope 1, Scope 2, and, if appropriate, Scope 3 Greenhouse Gas Emissions and related risks. a) Disclose the metrics used by the company to assess climate-related risks and opportunities in line with its strategy and risk management process.	30-31
	c) Disclose the targets used by the company to manage climate-related risks and opportunities and its performance against these targets.	30-31

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Stakeholder Communication

Economic Value Creation and Distribution

In 2025, Hyundai Rotem recorded consolidated revenue of KRW 5,839.0 billion, a 33% increase year-over-year, and posted a net profit for the sixth consecutive year. Hyundai Rotem distributes the economic value it generates to stakeholders, including shareholders, investors, the government, local communities, suppliers, and employees, and is committed to growing alongside them.

(Unit: KRW billion)				(Unit: KRW billion)				
Category	2023	2024	2025	Government (Corporate Tax Expense)	Local Communities (Donations)	Shareholders and Investors (Interest Expense)	Suppliers (Raw Material Costs)	Employees (Employee Salaries)
Revenue	3,587	4,377	5,839					
Operating Profit	210	457	1,006	234	2	8	2,481	653

Stakeholder Communication Channels and Details

 Employees	 Shareholders and Investors	 Customers	 Local Communities	 Suppliers	 Government and NGOs
Key Interests					
· Recruitment and Capacity Building · Work-Life Balance · Enhancement of Employee Safety and Health	· Ensuring Sound Governance · Risk Management · Research & Development and Technological Innovation · Economic Performance	· Enhancement of Product and Service Quality · Production of Eco-friendly Products · Product Safety · Customer Personal Information Protection · Research & Development and Technological Innovation	· Social Contribution Activities Including Volunteering and Donations · Minimizing Environmental Impact	· Shared Growth · Fair Trade · Supplier Safety Management · Protection of Workers' Human Rights	· Fair Trade · Minimizing Environmental Impact · Compliance System · Contribution to UN SDGs
Key Communication Channels and Frequency					
· Hyundai Rotem Groupware (Year-round) · Employee Surveys (As needed) · Communication Boards: Rotem Agora 2.0, HR System Improvement Q&A (Year-round) · Organizational Culture Change Activities - Motivation: 'Like a Compliment', 'Find the Best Compliment Message', 'Take a Break' Program (Monthly) - Development: Career Coaching, Mentor-Mentee Program (Monthly) · Labor-Management Council (Quarterly) · Business Status Briefing (Annually) · Defense Solution Business Division Briefing (Quarterly)	· Website (Ongoing) · General Shareholders' Meeting (Annually) · Electronic Voting (Annually) · Exchange Disclosures (Ongoing, Quarterly, and Semi-annually) · Earnings Conference Calls (Quarterly) · Non-Deal Roadshows (NDR) (2-3 times a Month)	· Hyundai Rotem Blog (Ongoing) · Customer Surveys by Business Division (Annually) · Domestic and Overseas Exhibitions (1-2 times a year) · End-User Military Commander and Quality Meetings (60 times, As needed) · Business Development Meetings with DTaQ (Twice, Semi-annually)	· Hyundai Rotem 3-Sarang Club (Annually in summer and winter) · Local community contribution activities through a sisterhood relationship with Social Welfare Corporation Dongjin (Annually) · Blood Donation Campaign (Annually) · Uiwang Kimchi Sharing Volunteer Work and Firefighting Facility Support (Annually) · Community Chest of Gyeongnam (As needed) · Southern Gyeonggi Clean River Social Contribution Project (Twice a year) · Civil-military through a 1-Company 1-Barracks sisterhood relationship with the Logistics Command exchange activities (Biannually) · 1-Company 1-Village sisterhood relationship with Buksang-myeon (As needed)	· External Whistleblower System (Year-round) · Supplier Portal (Year-round) · Supplier CEO Seminar (Annually) · Subcommittee Meetings (First and second half of the year) · Management visits to suppliers and in-person/virtual meetings between shared growth managers and suppliers (As needed) · Supplier safety training (As needed)	· Regular general meetings and Board meetings of the Korea Railway Association, Korea Rolling Stock Industries Association, and Korea Urban Railway Association (Annually) · Research associations and academic societies (As needed)

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ESG Policies



[Environmental Management Policy](#)



[Biodiversity Protection Policy](#)
[Deforestation Prevention Policy](#)



[Human Rights Charter](#)
[D&I Policy](#)



[Health, Safety and Environment Management Policy](#)



[Supply Chain Sustainability Management Policy](#)
[Responsible Raw Materials Sourcing Policy](#)



[Supplier Code of Conduct](#)



[Code of Ethics](#)



[Fair Trade Code of Conduct](#)

External associations and initiatives



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Independent Assurance Statement

To: The Stakeholders of HYUNDAI ROTEM

| Overview

The British Standards Institution (hereinafter referred to as the “Assurer”) was requested to verify the 2026 HYUNDAI ROTEM SUSTAINABILITY REPORT (hereinafter referred to as the “Report”). The Assurer is independent to HYUNDAI ROTEM and has no major operational financial interest other than the assurance of the Report. This assuranceopinion statement is intended to provide information related to the assurance of the HYUNDAI ROTEM’sreport relating to the environment, social and governance (ESG) to the relevant stakeholders and may not be used for any other purpose. This assurance opinion statement is prepared based on the information presented by the HYUNDAI ROTEM. The verification does not extend beyond such information and is solely based on it. In performing such verification, the Assurer has assumed that all such information is complete and accurate.

HYUNDAI ROTEM is responsible for managing the relevant information contained within the scope of assurance, operating the relevant internal control procedures, and for all information and claims contained in the Report. Any queries that may arise by virtue of this independent assurance opinion statement or matters relating to it should be addressed to HYUNDAI ROTEM only.

The Assurer is responsible for providing HYUNDAI ROTEM’s management team with an independent assurance opinion containing professional opinions derived by applying the assurance methodology to the scope specified, and to provide the information to all stakeholders of HYUNDAI ROTEM. The Assurer will not, in providing this Independentassurance opinion statement, accept or assume responsibility (legal or otherwise) or accept liability for or in connection with any other purpose for which it may be used, or to any person or party by whom the Independent assurance opinion statement may be read.

| Scope

- The scope of engagement agreed upon with HYUNDAI ROTEM includes the following:
- Report contents during the period from January 1st to December 31st 2025 included in the Report, some dataof 2026 are included.
 - Major assertion included in the Report, such as sustainability management policies and strategies, goals, projects, and performance, and the Report contents related to material issues determined as a result of materiality assessment.
 - Appropriateness and consistency of processes and systems for data collection, analysis and review.
 - Confirmation of the Report’s compliance with the AA1000 AccountAbility Four Principles and, where applicable, the reliability of the sustainability performance information contained within the Report, based on the type of sustainability assurance performed in accordance with AA1000 AS v3.

- The following contents were not included in the scope of assurance.
- Financial information in Appendix.
 - Index items related to other international standards and initiatives other than the GRI.
 - Other related additional information such as the website, business annual report.

| Assurance Level and Type

- The assurance level and type are as follows:
- Moderate level based on AA1000 AS and Type 2 (confirmation tothe four principles asdescribedin the AA1000 Accountability Principle 2018 and quality and reliability of specific performance information published in the report.)

| Description and sources of disclosures covered

Based on the scope and methodology of assurance applied, the Assurer reviewed the following disclosures based on the sampling of information and data provided by HYUNDAI ROTEM.

[Universal Standards]

2-1 to 2-5 (The organization and its reporting practices), 2-6 to 2-8 (Activities and workers), 2-9 to 2-21 (Governance), 2-22 to 2-28 (Strategy, policies and practices), 2-29 to 2-30 (Stakeholder engagement), 3-1 to 3-3 (Material Topics Disclosures)

[Topic Standards]

101-2, 101-4~7, 201-1~2, 201-4, 205-2~3, 206-1, 207-1~2, 302-1, 302-3, 303-2~5, 305-1~4, 305-6~7, 306-3~4, 308-1~2, 401-1~3, 403-1~10, 404-1~3, 405-1~2, 406-1, 414-1~2, 418-1

Methodology

- As a part of its independent assurance, the Assurer has used the methodology developed for relevant evidence collection in order to comply with the verification criteria and to reduce errors in reporting. The Assurer has performed the following activities;
- Validation of the materiality assessment and internal analytical process for determining assurance priorities, and a top-level review of issues that may be raised by external stakeholders in the context of sustainability.
 - Discussion with managers and representatives on stakeholder engagement.
 - Review of the supporting evidence related to the material issues through interviews with senior managers in the responsible departments.
 - Review of the system for sustainability management strategy process and implementation.
 - Review of the materiality issue analysis process and prioritization and verifying the results.
 - Verification of data generation, collection and reporting for each performance index and document review of relevant systems, policies, and procedures.
 - An assessment of HYUNDAI ROTEM’s reporting and management processes against the principles of Inclusivity, Materiality, Responsiveness and Impact as described in the AA1000 AccountAbility Principles Standard (2018).
 - Visit of the HQ of HYUNDAI ROTEM to confirm the data collection processes, record management practices.

Limitations and approach used to mitigate limitations

The Assurer performed limited verification for a limited period based on the data provided by HYUNDAI ROTEM. It implies that the Assurer is therefore subject to limitations relating to inherent risks that may exist without the identification of material errors. The Assurer does not provide assurance on possible future impacts that cannot be predicted or verified during the verification process and any additional aspects related thereto.

Competency and Independence

British Standards Institution (BSI) is a leading global standards and assessment body founded in 1901. BSI is an independent professional institution that specializes in quality, health, safety, social and environmental management with over 120 years history in providing independent assurance services globally. No member of the assurance team has a business relationship with HYUNDAI ROTEM. The Assurer has conducted this verification independently, and there has been no conflict of interest. All assurers who participated in the assurance have qualifications as an AA1000AS assurer, have a lot of assurance experience, and have in-depth understanding of the BSI Group’s assurance standard methodology.

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Independent Assurance Statement



| Opinion Statement

The assurance was conducted by a team of sustainability report assurers in accordance with the AA1000 Assurance Standard v3. The Assurer planned and performed the verification and collected sufficient evidence to explain HYUNDAI ROTEM’s approach to the AA1000 Assurance Standard and to provide confidence in its self-declaration of compliance with the GRI Standards.

On the basis of our methodology and the activities described above, it is our opinion that the information and data included in the Report are accurate and reliable and the Assurer cannot point out any substantial aspects of material with mistake or misstatement. We believe that the economic, social and environment performance indicators are accurate and are supported by robust internal control processes.

| Conclusions

The Report is prepared in accordance with the GRI Standards. (Reporting in accordance with the GRI standards). A detailed review against the AA1000 AccountAbility Principles of Inclusivity, Materiality, Responsiveness and Impact and the GRI Standards is set out as below.

Inclusivity: Stakeholder Engagement and Opinion

HYUNDAI ROTEM defines customers, employees, shareholders and investors, partners, and communities as key stakeholders that have a significant impact on corporate management activities, and operates communication channels suitable for each target. Through communication channels, the opinions and requirements of stakeholders are collected and reflected in management activities such as strategy establishment and implementation, and the relevant process is disclosed through reports.

Materiality: Identification and reporting of material sustainability topics

HYUNDAI ROTEM defines customers, employees, shareholders and investors, partners, and communities as key stakeholders that have a significant impact on corporate management activities, and operates communication channels suitable for each target. Through communication channels, the opinions and requirements of stakeholders are collected and reflected in management activities such as strategy establishment and implementation, and the relevant process is disclosed through reports.

Responsiveness: Responding to material sustainability topics and related impacts

HYUNDAI ROTEM has established a management process for key reporting issues related to important sustainability topics and related impacts. In order to adequately respond to the expectations of stakeholders, related policies, task performance status, activity performance, and response performance, including improvement measures, are disclosed through reports to implement systematic ESG management.

Impact: Impact of an organization’s activities and material sustainability topics on the organization and stakeholders

HYUNDAI ROTEM has established a process to identify and evaluate the impact on organizations and stakeholders related to key reporting issues. The results of the analysis of impact, risk, and opportunity factors on key reporting issues are used to make decisions to establish a response strategy for each issue, and the process is disclosed in the report.

| Findings and conclusions concerning the reliability and quality of specified performance information

Among the GRI Topic Standards, an assurance Type 2 were conducted against the following disclosures based on the information and data provided by HYUNDAI ROTEM. In order to verify the reliability and accuracy of the data and information, internal control procedures related to data processing, and management were verified through interviews with the responsible department, and accuracy was verified through sampling. Errors and intentional distortions in sustainability performance information included in the Report were not found through assurance processes. The HYUNDAI ROTEM manages the sustainability performance information through reliable internal control procedures and can track the process of deriving the source of the performance. Errors and unclear expressions found during the assurance process were corrected and the Assurer confirmed the final version of the Report prior to its final publication.

- GRI Topic Standards: 302-1~5, 303-1~5, 305-1~5, 305-7, 306-3~5, 401-1. 401-3, 403-9~10, 404-1

| Recommendations and Opportunity for improvement

The Assurer provides the following observations to the extent that they do not affect the assurance opinion;

- It is desirable to consider Value Chain more clearly.

| GRI-reporting

HYUNDAI ROTEM has self-declared compliance with GRI Standards. Based on the data and information provided by HYUNDAI ROTEM, the Assurer confirmed that the Report is prepared in accordance with the GRI Standards, and confirmed there are no errors in the disclosures related to the Universal Standards and Topic Standards Indicators. No sector standard is applied.

Issue Date: 11/06/2026
For and on behalf of BSI (British Standards Institution):

BSI representative

Jong Ho Lee Lead Assurer

Seonghwan Lim, Managing Director of BSI Korea

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GHG Verification Statement (Scope 1 & 2)

HYUNDAI ROTEM

| Organization (Responsible party) address 37, Cheoldobangmulgwan-ro, Uiwang-si, Gyeonggi-do,

| Verification Objective

This verification objectives to fairly reflect greenhouse gas data and information to ensure accuracy and without material discrepancies to provide a third-party verification opinion on Hyundai Rotem Company’s 2025 greenhouse gas emissions statement.

| Verification Scope

- 2025 Scope 1 & 2 Direct and Indirect Greenhouse Gas Emissions from domestic and overseas Sites
- **Reporting and Verification Period:** Greenhouse gas emissions for the one-year period from January 1 to December 31, 2025
 - **Organizational Boundary:** Domestic and overseas sites (Changwon Plant, Dangjin Plant, Uiwang R&D Center, Uiwang R&D Center Quantum Office, Northeast Line Office, Seosan Test Site, Defense Solution CS Office, Rotem SRS, S-trans, Gimpo Gold Line SRS, Hyundai EURotem, HR Mechanical Services Limited, Hyundai Rotem Europe, Rotem Equipment (Beijing) Corporation, Poland Branch, India Branch, Hyundai Rotem Australia PTY Limited, New Zealand Branch, Malaysia Branch, Taiwan Branch, Singapore Branch, Egypt Branch, Morocco Branch, Philippines Branch, Hyundai Rotem USA, USA Detroit Office, Hyundai Rotem Smart Electric America)
 - **Reporting Boundary:** Direct Greenhouse Gas Emissions (Scope 1), Indirect Greenhouse Gas Emissions (Scope 2)
 - **Excluded Sources:** The Canada, Ireland, Greece, Hong Kong, and Ukraine branches, as well as Maintrans, are excluded from the calculation because the executing agency bears the utility costs and Hyundai Rotem Company does not have operational control over these sites.

| Reporting and Verification Criteria

ISO 14064-1:2018 / ISO 14064-3:2019 / 2006 IPCC GHG Guideline / GHG Protocol / Guidelines for Reporting and Verification of GHG Emissions in the Emissions Trading System (K-ETS) / BSI’s Verification Manual of GHG Emissions

| Materiality Level

A level of 5% of total emissions is applied for material discrepancies (errors, omissions, or miss statements)

| Level of Assurance Limited Level of Assurance

| Verification Process and Limitations

Verification activities were conducted on the greenhouse gas emission information and data provided by the organization, including document review, risk analysis and interviews with responsible personnel, evaluation of monitoring and control systems through observation and investigation, and data verification through sampling recalculation, tracking, cross-checking, and adjustment. This verification process may be affected by limiting factors such as the limitations of the provided data and sampling and carries an inevitable risk that material discrepancies may go undetected due to these limitations.

- Hyundai Rotem Company is responsible for the preparation and fair presentation of the GHG statement and report in accordance with the agreed criteria. BSI Group Korea is responsible for expressing an opinion on the GHG statement based on the verification.

| Verification Data

The results of verifying the data in the organization’s GHG Report, which includes the greenhouse gas statement, are as follows. Details, including the boundary, method, limitations, and assumptions for estimating emissions by scope and category, are described in the verification report

Sites	Direct Emission (Scope 1)	Indirect Emission (Scope 2)	Total Emission in 2025
Changwon Plant	7,029.890	13,788.158	20,818.048
Dangjin Plant	840.936	1,724.232	2,565.168
Uiwang R&D Center	682.068	3,609.936	4,292.004
Uiwang R&D Center-Quantum Office	29.523	268.058	297.582
Seosan Test Site	38.811	182.469	221.280
Defense Solution CS Office-YangPyeong		7.250	7.250
Defense Solution CS Office-South Site		0.561	0.561
Defense Solution CS Office-NamYangJu		7.909	7.909
Northeast Line Office		6.013	6.013
Northeast Line Safety Education Center		7.735	7.735
Northeast Line Supervision Office		9.669	9.669
Hyundai EURotem	137.561	219.737	357.298
Hyundai Rotem USA		2.498	2.498
Hyundai Rotem Smart Electric America		14.766	14.766
Rotem Equioment's (Beijing) Corporation	0.185	2.541	2.726
Hyundai Rotem Europe-Warszawa		39.063	39.063
Hyundai Rotem Europe-Gdansk		435.429	435.429
Hyundai Rotem Australia Limited		11.386	11.386
HR Mechanical Services Limited	7.460	4.690	12.151

Sites	Direct Emission (Scope 1)	Indirect Emission (Scope 2)	Total Emission in 2025
USA Detroit Office		8.087	8.087
Poland Branch		7.724	7.724
India Branch		8.845	8.845
Australia Branch			
New Zealand Branch	49.028	43.483	92.510
Egypt Branch		7.909	7.909
Malaysia Branch		5.662	5.662
Taiwan Branch		12.657	12.657
Singapore Branch		1.955	1.955
Philippines Branch	78.440	38.019	116.459
Morocco Branch		1.374	1.374
Rotem SRS Head Office		8.042	8.042
Rotem SRS Sillim Line		4,278.648	4,278.648
S-Trans		3.753	3.753
Gimpo Goldline SRS-Gimpo Depot		2,747.010	2,747.010
Gimpo Goldline SRS-Unyang Station		2,275.488	2,275.488
Gimpo Goldline SRS-Pungmu Station		2,618.589	2,618.589
Gimpo Goldline SRS-Gimpo Int'l Airport Station	27.743	2,241.449	2,269.192
Total Emission in 2025	8,921.646	34,649.791	43,571.437

(Note: Scope and category were classified according to the GHG Protocol. Scope 2 indirect greenhouse gas emissions are regionbased; market-based and offset emissions are not reflected.)

| Verification Result: Verified as Satisfactory

As a result of conducting verification at a limited assurance level in accordance with verification processes and procedures, no material discrepancies were found that could be included in the greenhouse gas reports and statements prepared by Hyundai Rotem Company and no evidence could be found that the greenhouse gas data and information were unfair.

| BSI Group Korea is independent and has no financial interest in Hyundai Rotem Company. This 3rd party Verification Opinion has been prepared for Hyundai Rotem Company solely for the purposes of verifying its statement relating to its GHG emissions, more particularly described in the scope above. It was not prepared for any other purpose. In making this Statement, BSI Group Korea has assumed that all information provided to it by Hyundai Rotem Company is true, accurate and complete. BSI Group Korea accepts no liability to any third party who place reliance on this statement.

| Issuing body of verification opinion BSI Group Korea (Address: 8th Floor, Taehwa Building, Insadong 5-gil, Jongno-gu, Seoul)

| Verification Team Leader Yongjoon Kim (Lead verifier)

| Independent reviewer Seung Joon Yang (Lead verifier)

| Number of Verification Opinion GHGEV 845191

For and on behalf of BSI:
Issue Date: 29/05/2026

Head of Operation, NEA, SeongHwan Lim

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GHG Verification Statement (Scope 3)

HYUNDAI ROTEM

| Organization (Responsible party) address 37, Cheoldobangmulgwan-ro, Uiwang-si, Gyeonggi-do,

| Verification Objective

This verification objectives to fairly reflect greenhouse gas data and information to ensure accuracy and without material discrepancies to provide a third-party verification opinion on Hyundai Rotem Company’s 2025 greenhouse gas emissions statement.

| Verification Scope

- 2025 Scope 3 Other Indirect Greenhouse Gas Emissions from domestic and overseas Sites
- **Reporting and Verification Period:** Greenhouse gas emissions for the one-year period from January 1 to December 31, 2025
 - **Organizational Boundary:** Domestic and overseas sites (Changwon Plant, Dangjin Plant, Uiwang R&D Center, Uiwang R&D Center Quantum Office, Northeast Line Office, Seosan Test Site, Defense Solution CS Office, Rotem SRS, S-trans, Gimpo Gold Line SRS, Hyundai EURotem, HR Mechanical Services Limited, Hyundai Rotem Europe, Rotem Equipment (Beijing) Corporation, Poland Branch, India Branch, Hyundai Rotem Australia PTY Limited, New Zealand Branch, Malaysia Branch, Taiwan Branch, Singapore Branch, Egypt Branch, Morocco Branch, Philippines Branch, Hyundai Rotem USA, USA Detroit Office, Hyundai Rotem Smart Electric America)
 - **Reporting Boundary:** Other Indirect Greenhouse Gas Emissions (Scope 3) (CAT 1, 2, 3, 4, 5, 6, 7, 8, 9, 11, 12, 13, 15)
 - **Excluded Sources:** Calculations exclude facilities and equipment in C2; overland transportation from overseas ports/airports to destinations in C4; sewage and wastewater in C5; taxis in C6; and iron/steelmaking and hydrogen facilities in C12.

| Reporting and Verification Criteria

ISO 14064-1:2018 / ISO 14064-3:2019 / GHG Protocol / WRI/WBCSD GHG Protocol Corporate Value Chain (Scope 3) Standard / IPCC Guideline:2006 / BSI’s Verification Manual of GHG Emissions

| Materiality Level

A level of 5% of total emissions is applied for material discrepancies (errors, omissions, or miss statements)

| Level of Assurance Limited Level of Assurance

| Verification Process and Limitations

Verification activities were conducted on the greenhouse gas emission information and data provided by the organization, including document review, risk analysis and interviews with responsible personnel, evaluation of monitoring and control systems through observation and investigation, and data verification through sampling recalculation, tracking, cross-checking, and adjustment. This verification process may be affected by limiting factors such as the limitations of the provided data and sampling and carries an inevitable risk that material discrepancies may go undetected due to these limitations.

- Hyundai Rotem Company is responsible for the preparation and fair presentation of the GHG statement and report in accordance with the agreed criteria. BSI Group Korea is responsible for expressing an opinion on the GHG statement based on the verification.

| Verification Data

The results of verifying the data in the organization’s GHG Report, which includes the greenhouse gas statement, are as follows. Details, including the boundary, method, limitations, and assumptions for estimating emissions by scope and category, are described in the verification report

Categories	Emissions
Category 1. Purchased Goods and Services	497,600.408
Category 2. Capital Goods	75.510
Category 3. Fuel- and Energy-related Activities (Not Included in Scope 1 or Scope 2)	3,410.649
Category 4. Upstream Transportation and Distribution	40,427.217
Category 5. Waste Generated in Operations	4,477.022
Category 6. Business Travel	9,112.110
Category 7. Employee Commuting	3,371.000
Category 8. Upstream Leased Assets	116.015
Category 9. Downstream Transportation and Distribution	465.439
Category 11. Use of Sold Products	4,070,985.490
Category 12. End-of-Life Treatment of Sold Products	2,406.400
Category 13. Downstream Leased Assets	72.846
Category 15. Investments	13.740
Total (Scope 3)	4,632,533.847

| Verification Result: Verified as Satisfactory

As a result of conducting verification at a limited assurance level in accordance with verification processes and procedures, no material discrepancies were found that could be included in the greenhouse gas reports and statements prepared by Hyundai Rotem Company, and no evidence could be found that the greenhouse gas data and information were unfair.

BSI Group Korea is independent and has no financial interest in Hyundai Rotem Company. This 3rd party Verification Opinion has been prepared for Hyundai Rotem Company solely for the purposes of verifying its statement relating to its GHG emissions, more particularly described in the scope above. It was not prepared for any other purpose. In making this Statement, BSI Group Korea has assumed that all information provided to it by Hyundai Rotem Company is true, accurate and complete. BSI Group Korea accepts no liability to any third party who place reliance on this statement.

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For and on behalf of BSI:
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Head of Operation, NEA, SeongHwan Lim

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Contributors to this Report

Planning and Overall Management	
· Sustainability Team	
Departments Contributed to Publication	
· Business Analysis Team	· ECO Plant Manufacturing Team
· Maintenance Team	· Property Management Team
· HRD & Culture Team	· Rail R&D Planning Team
· Labor Relations Team	· Rail Business Management Team
· Defense R&D Planning Team	· Rolling Stock Manufacturing Control Team
· Defense Business Management Team	· Integrated Procurement Team
· Defense Manufacturing Control Team	· Corporate Transparency Management Team
· Security Planning Team	· Quality Planning Team
· Biz. Support Team	· Public Relations Team
· Supplier Cooperation Planning Team	· Accounting Team
· Tax Team	· HR Management Team
· Safety Planning Team	· HR Planning Team
· Safety & Support Team	· Investor Relations Team
· Safety Environment Team	· R&D Safety Team
· ECO Plant Business Management Team	

2026 Hyundai Rotem Sustainability Report

CREATIVE INNOVATION FOR A BETTER FUTURE